sabesp

Challenge Group D

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Sabesp at a glance

São Paulo's water and sewage monopoly: 375 cities, 28mn people served, and margins expanding every year

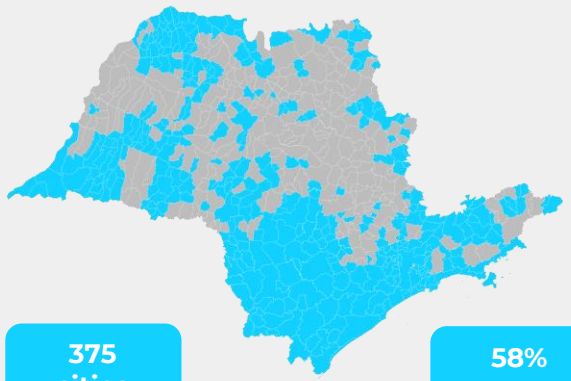
Sanitation built on two pillars

Sabesp operational financials

	Water	Sewage
Connections	9.47mn	8.21mn
People served	28.1mn	25.1mn
Billed volume	2,299mn m³	2,029mn m³

Location where it matters

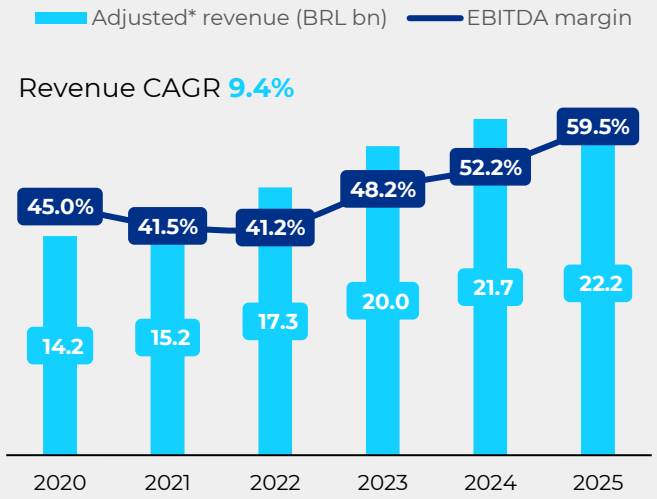
A dense footprint across Brazil's richest state



375 cities

58% coverage

Scaling with margin expansion



1973 — Foundation of São Paulo's state sanitation company

1997 — Initial listing on the Brazilian stock exchange

2002 — NYSE ADR listing

2004 — First major reduction in state ownership

2024 — Transition to private-sector ownership

2026 — EMAE acquisition

** Adjustments: removal of financial Asset, construction revenue and non-recurring items*

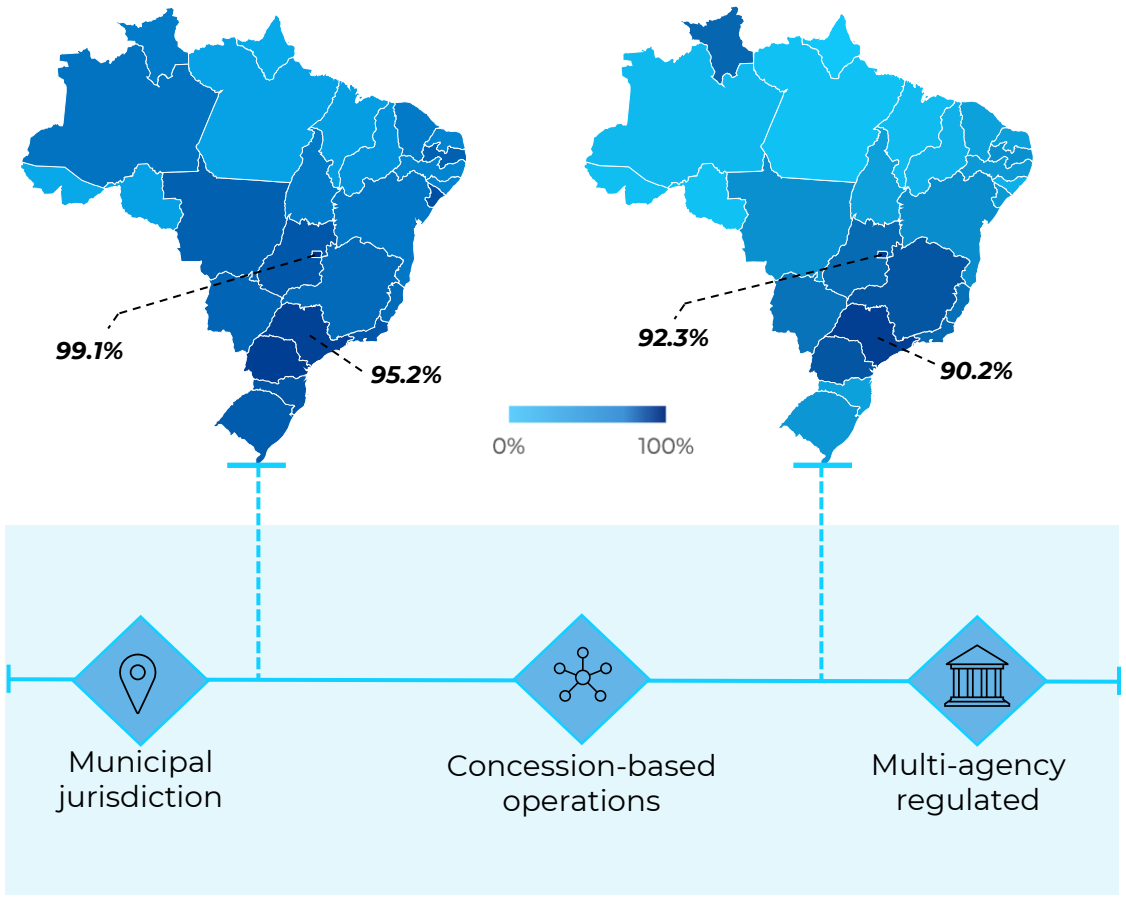
Sources: Company releases

Industry overview

Brazil's sanitation gap is large, underfunded, and now legally required to close by 2033

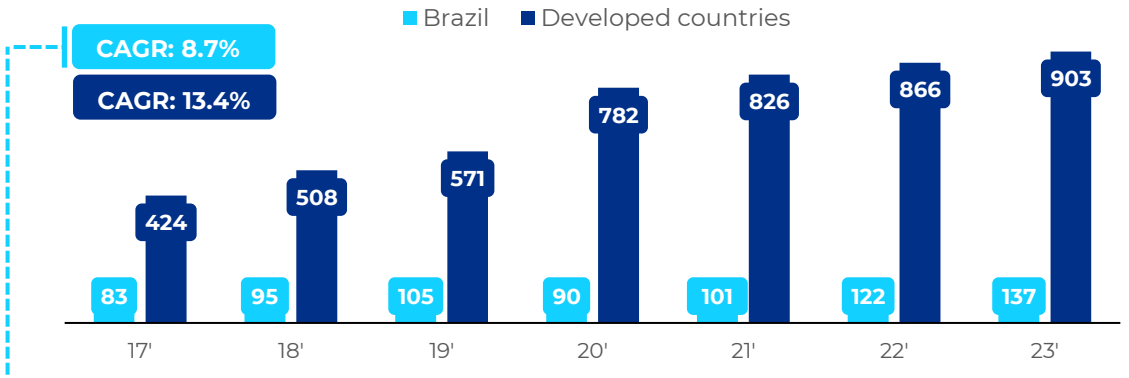
Sanitation Deficit in Brazil's Underdeveloped Regions...

Treated water coverage (%) and sewage coverage (%) by state in 2024



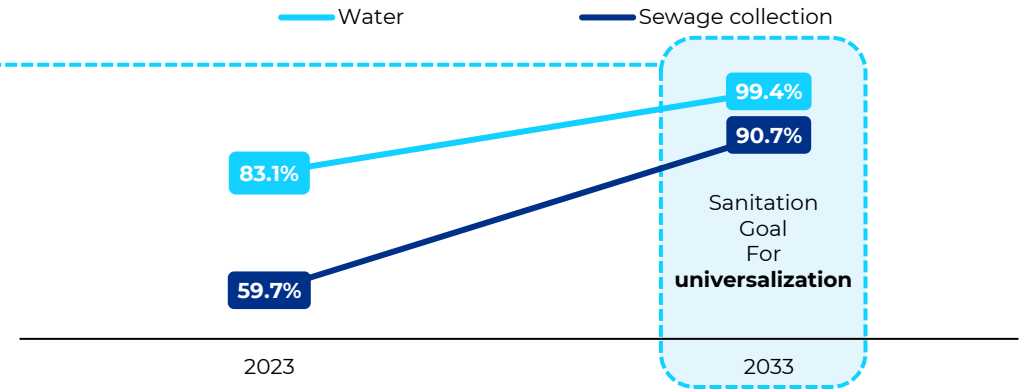
...driven by **capex far below** developed countries

Basic sanitation capex per capita (BRL): Brazil vs. Developed countries



Legal framework for basic sanitation: **universalization** road

SINISA universalization goal for 2033 (%)



Sources: Company releases, SINISA

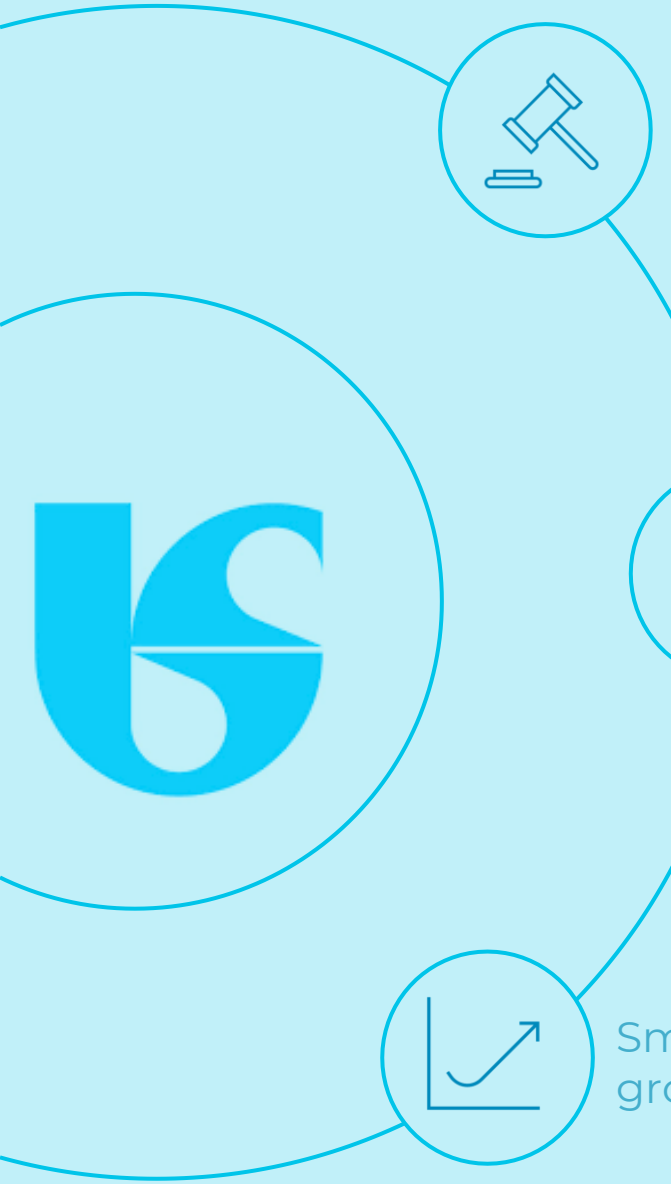
A binding framework that turns obligation into opportunity

Operational efficiency unlocked by privatization

Smart capital allocation and untapped growth levers

BUY!

A binding framework that turns obligation into opportunity



Operational efficiency unlocked by privatization

Smart capital allocation and untapped growth levers

Brazil's sanitation was trapped in a broken system

Fragmented regulation and weak competition led to chronic underinvestment in sanitation

Regulatory fragmentation **made sanitation uninvestable**

Old regulation carried structural barriers to private capital and efficiency

Structural framework of Law 11.445/2007

No binding universalization targets: zero consequences for underservice

No mandatory bidding: concessions awarded without competitive process

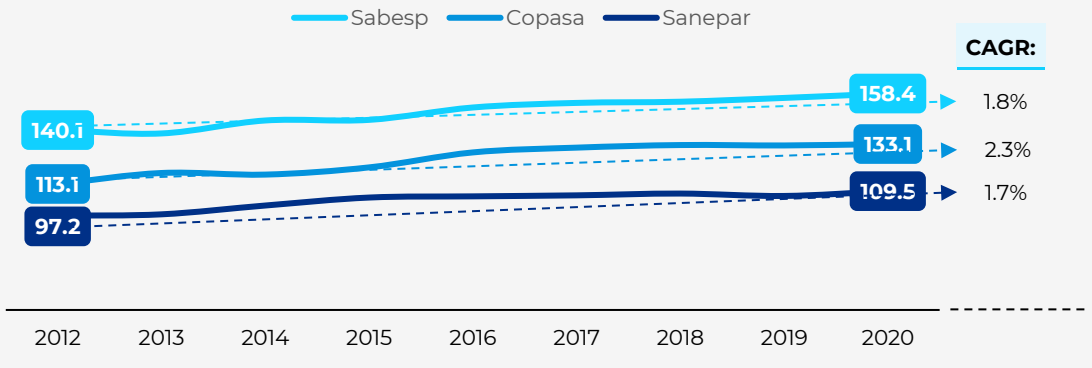
Political cycles: investment decisions driven by electoral timelines, not infrastructure needs

70+ regulators: no standardization, each municipality set its own rules

Unpredictable tariff frameworks: long-term returns were difficult to underwrite

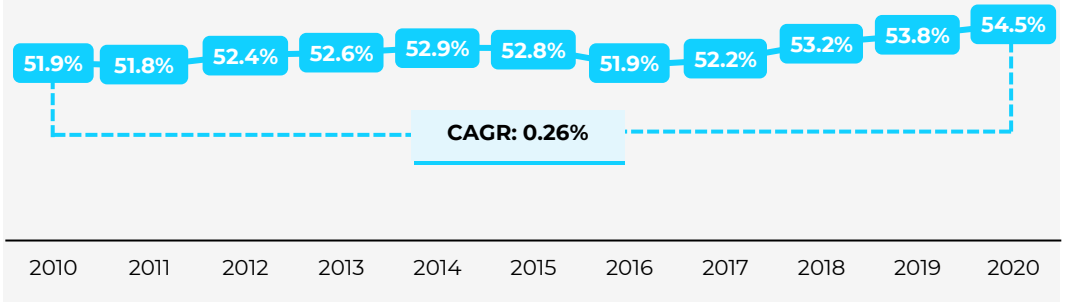
The **absence of competition** led to **low investments**...

Capex per capita (BRL) from main regional concessions



...causing the **"lost decade"** of sanitation

Sewage coverage (%) before the new legal framework for sanitation



Sources: Company releases

But 2020's new framework builds investable sanitation

Strategic regionalization and unified rules secure the long-term funding required for universal access

Now, market incentives **accelerate universalization**

Enhanced regulatory stability unlocks critical funding for regional players.

Regionalization

Shifted from isolated municipal contracts to **large regional concession blocks**

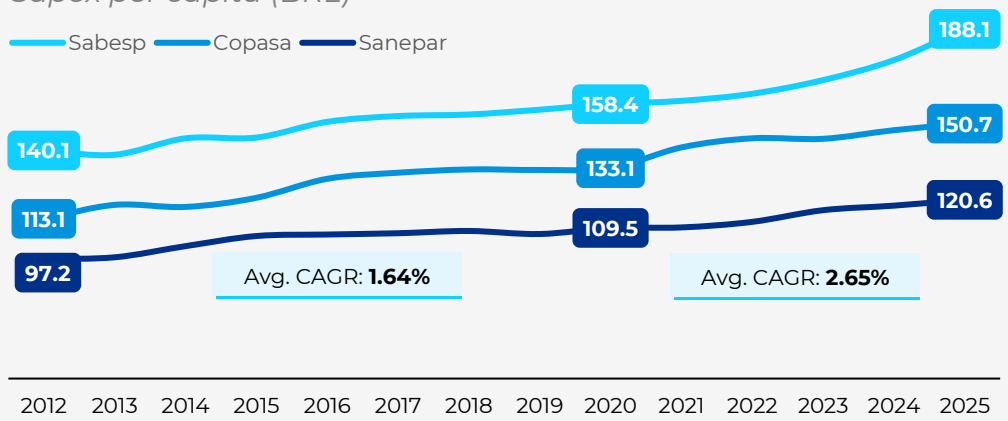
Mandatory universalization targets

Coverage goals became **legally binding obligations**

Single centralized regulator (ANA)

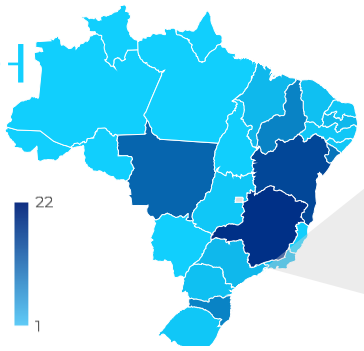
One unified **national regulatory authority** replaced 70+ municipal bodies,

Capex per capita (BRL)

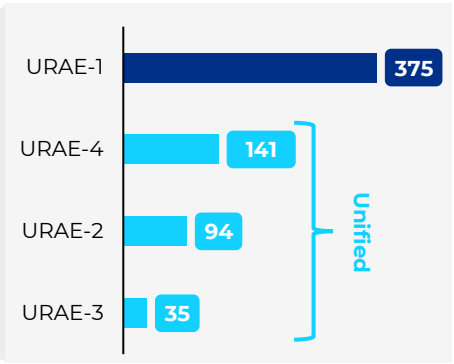


...supported by a new structured **regionalized model**...

Concession blocks per state, and São Paulo's municipalities per blocks

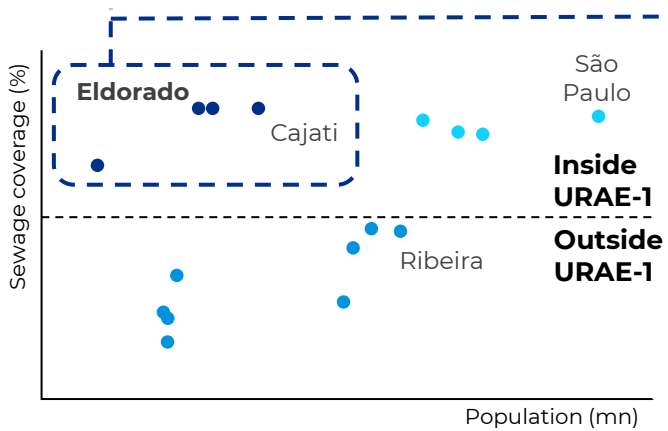


SP



...which enables **cross-subsidies** to deficitary municipalities

Population (mn) vs. Sewage coverage (%) chart:



Case study: El Dorado

Stand alone tariff	BRL 21.8/m³
URAE-1 avg. tariff	BRL 4.3/m³
Implicit subsidy	BRL 17.5/m³

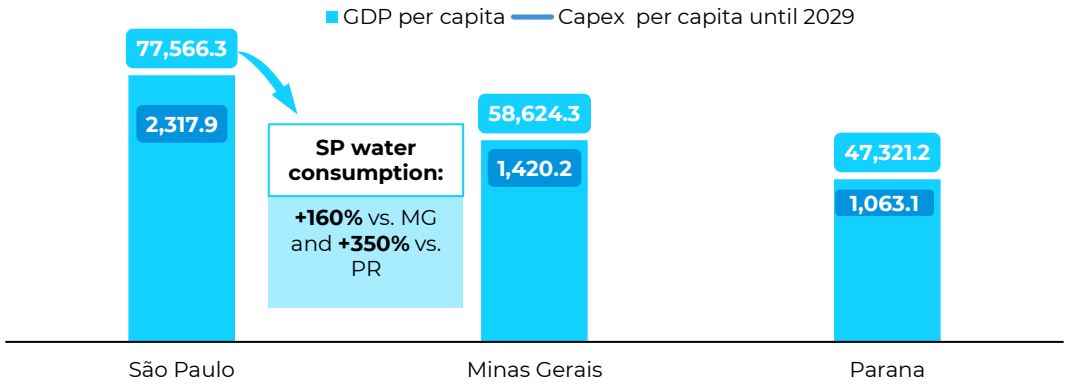
Sources: Company releases

However, not all concessions are created equal

São Paulo combines Brazil's strongest demand base with a more investor-friendly regulatory framework

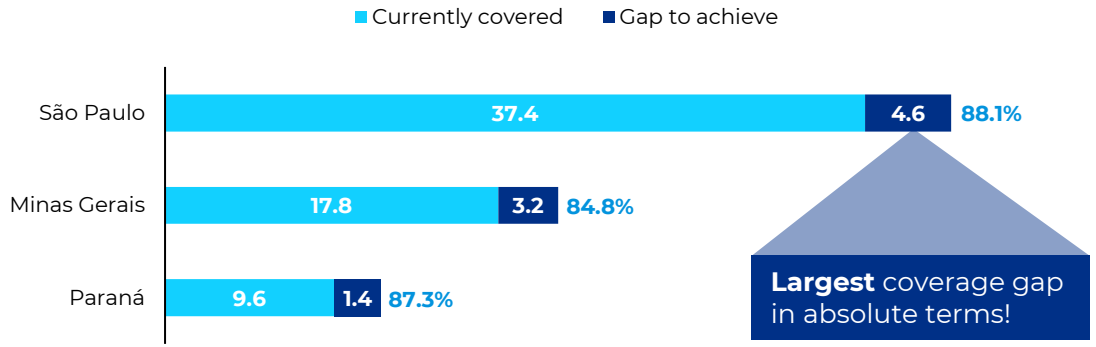
The **strongest demand** base...

GDP per capita (BRL) and capex per capita (BRL) until 2029



With a clear 2024–2034 **value-capture window**

Sewage coverage today vs. 90% mandatory target (population in mn)

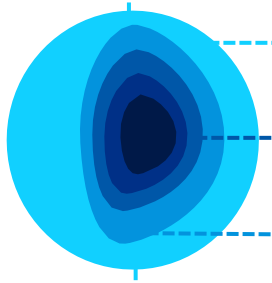


And URAE-1 **investor-friendly regulatory framework**

Regulated by ARSESP, São Paulo ensures a stable environment.

ARSESP

Single regulatory agency responsible for **overseeing water, sanitation, and energy services** in São Paulo.



Clause 8 (k): ARSESP must **publish regulatory impact** assessment before any new rule affecting Sabesp

Clause 34, §§2°–3°: State delegates **expropriation rights directly to the concessionaire.**

Clause 8 (§2°): Municipal or State failures cannot trigger concessionary **penalties** or **tariff reductions**



"Our priority at ARSESP is to ensure a predictable and stable regulatory environment for long-term investments in São Paulo"

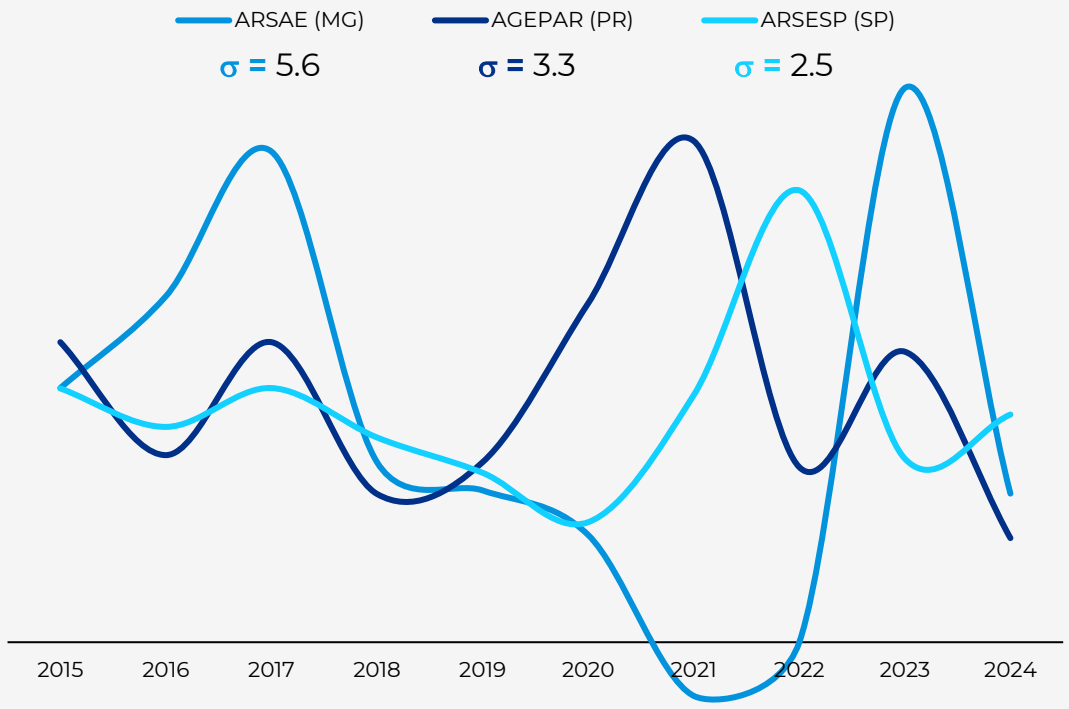
Diego Allan Vieira Domingues, Director, ARSESP

Sources: Company releases, IBGE

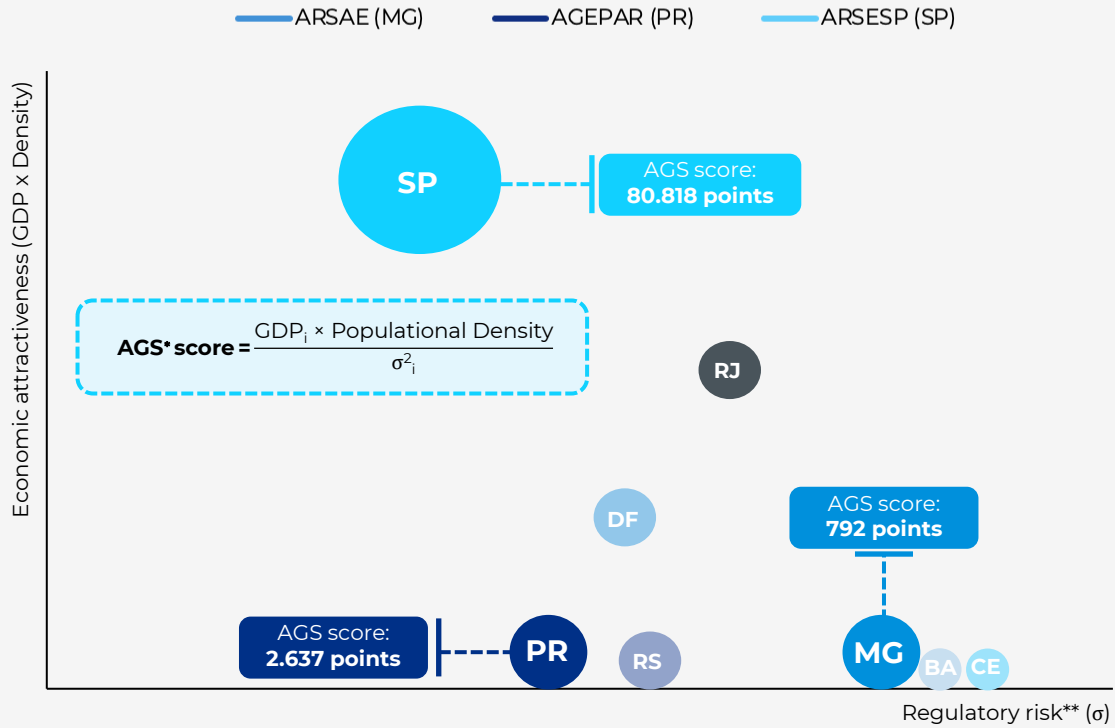
Driving capital attractiveness by minimizing tariff risk

Reduced tariff volatility drives unmatched capital attractiveness, considering an attractivity gravity score (AGS) model

Arsesp has a **low tariff volatility** compared to peers...



...Increasing **capital attractiveness,** given lower regulatory risk



** AGS: Attractiveness gravity score **Regulatory risk It is the risk of volatility regarding the tariff adjustment.*

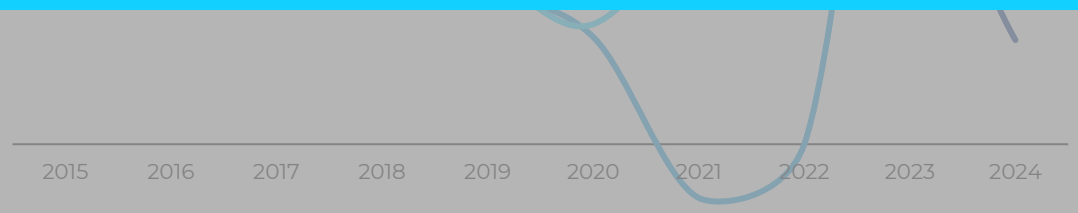
Sources: Company releases, ARSESP, AGEPAR, ARSAE

Driving capital attractiveness by minimizing tariff risk

Reduced tariff volatility drives unmatched capital attractiveness, considering an attractivity gravity score (AGS) model

Sabesp has a **low tariff volatility** compared to

So...who captures São Paulo's sanitation opportunity?





** AGS: Attractivity gravity score*

Sources: Company releases, ARSESP, AGEPAR, ARSAE

Sabesp unlocks opportunity, but under strict compliance

Binding milestones, financial guarantees, and penalties keep Sabesp accountable across the full 36-year concession.

Every obligation has **a deadline**. Every deadline has **a price**

Stringent financial safeguards and periodic audits enforce long-term compliance across the entire 36-year concession lifecycle

2024

BRL 200mn performance bond deposited

All **obligations begin**

Concession signed

DEC/2026

Regulatory accounting system required

Capex invisible to ARSESP without it

Regulatory accounting (DRC)

YEARLY

Independent auditor **certifies Capex**

Missed certification **= not recognized in RAB**

Annual asset valuation

2028

First-cycle Capex **enters RAB**

Defines **tariff for 2030–2034**

Tariff review

OCT/2058

Bond rises from **BRL 200mn to BRL 500mn**

Formal **asset reversion process** begins

Performance bond doubles

OCT/2060

100% of assets returned to the State

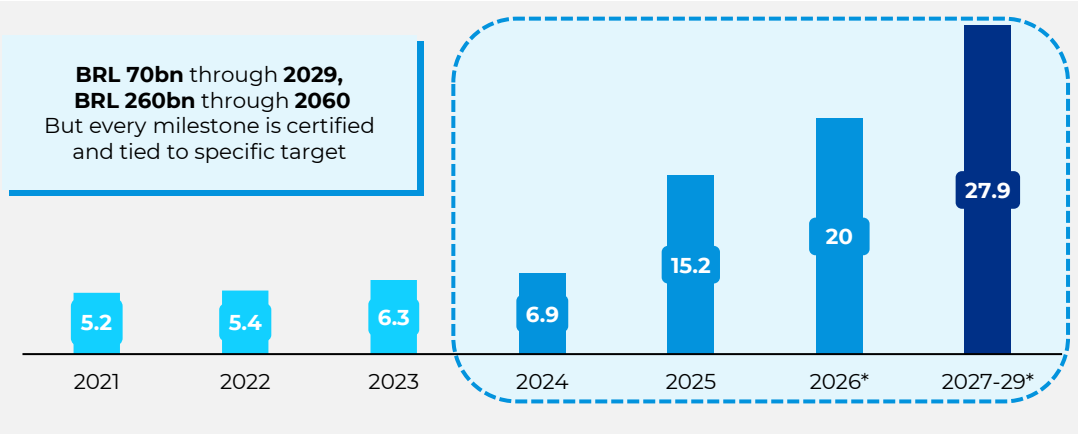
Below-standard assets replaced **at Sabesp's cost**

Asset reversion

With high **CAPEX obligations...**

Connection costs across universalization obligation milestones

BRL 70bn through **2029**,
BRL 260bn through **2060**
But every milestone is certified and tied to specific target



...and strict **penalties for underdelivery**

Penalties for failure to achieve universalization

Miss annual coverage targets

IRT falls up to −10 p.p., permanently lost within the cycle

Universalization deviation exceeds 3%:

ARSESP formally blocks all dividend distribution

Repeated annual failure across non-consecutive years:

ARSESP opens concession termination process

** 2026 CAPEX was given as guidance during the Investor Day*

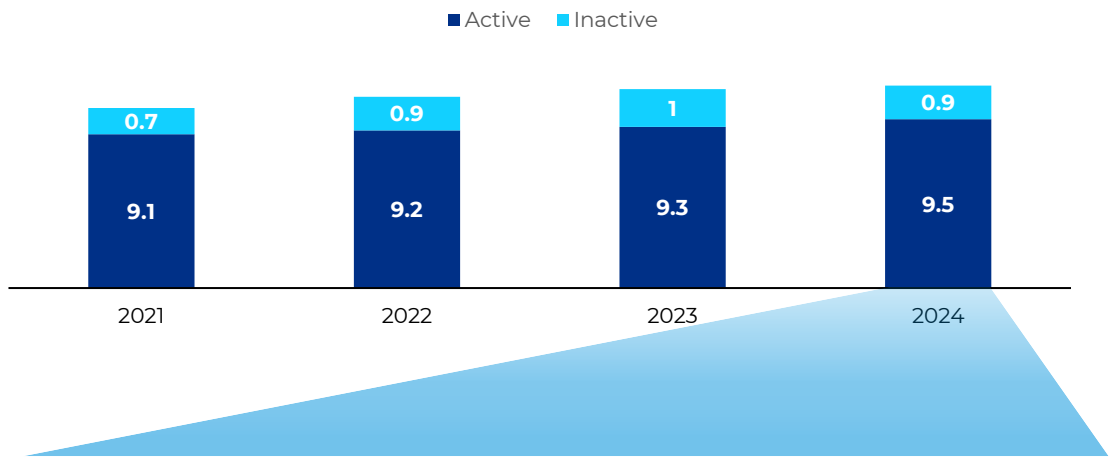
Sources: Company releases, ARSESP

Yet, obligations come bundled with economic rights

Revenue rights, state-funded easements, and legal protections offset the cost of obligations.

Network reach secures revenue, activated or not...

Active and inactive water connections (BRL mn)



*"Revenue is secured the **moment the network reaches a property**: whether the owner connects or not"*

clause 8(m)

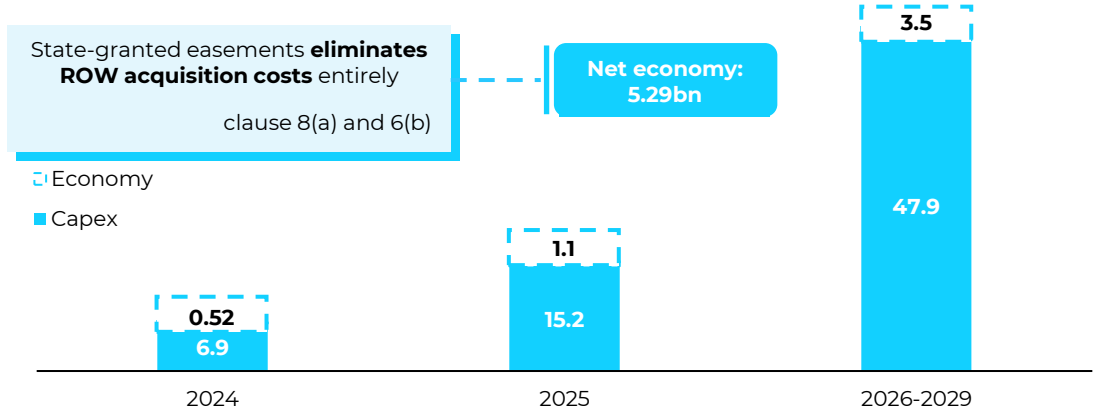
Total water connections: **10.4 mn**
Active connections: **9.47 mn**

Potential **incremental gain** of **BRL 453 mn/year!**

Unlocked by **ERP updates** tracking **active** vs. **inactive** connections

...while the **State pays for the right of way**

CAPEX and right of way (ROW) contract economies (BRL bn)



Legal analysis supports the **concession's economic balance**

Call with Rodrigo Giarola

*"Despite **ambitious universalization targets**, the concession preserves a favorable economic balance through **substantial contractual benefits**."*



Rodrigo Giarola
Senior Tax and Infrastructure lawyer at Pinheiro Neto

Sources: Company releases

FAUSP: shielding Sabesp's bottom line from political risk

A state fund automatically compensates Sabesp when tariffs are politically suppressed below equilibrium

Fausp: Securing revenue from **political pressure...**

When politics cut the tariff, FAUSP covers the revenue gap

Legally backed by State Law No. 17,853/2023, **FAUSP guarantees Sabesp's financial equilibrium** and institutional shielding."

The tension: governments want **cheap bills**; companies need adequate tariffs.

State intervention: a **reduction in the application tariff** driven by social policy goals.

Damage: Sabesp would bear direct **revenue losses**.

FAUSP: a SEMIL-managed fund that **institutionally covers these losses**, shielding Sabesp.

...by **channeling funds precisely** when it's needed.

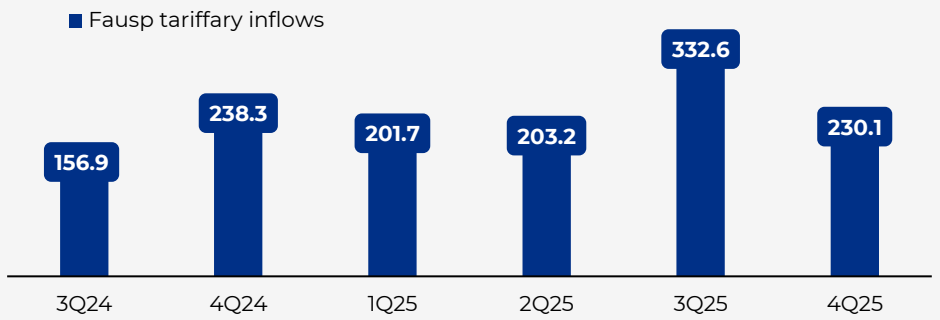
FAUSP mechanism and flows (BRL mn)

Outflows

Transfer to Sabesp: when **applied** tariff < **equilibrium** tariff

Inflows

Transfer from Sabesp: when **applied** tariff > **equilibrium** tariff



~ BRL 580 mn/year.

State dividends: 100% redirected to FAUSP.

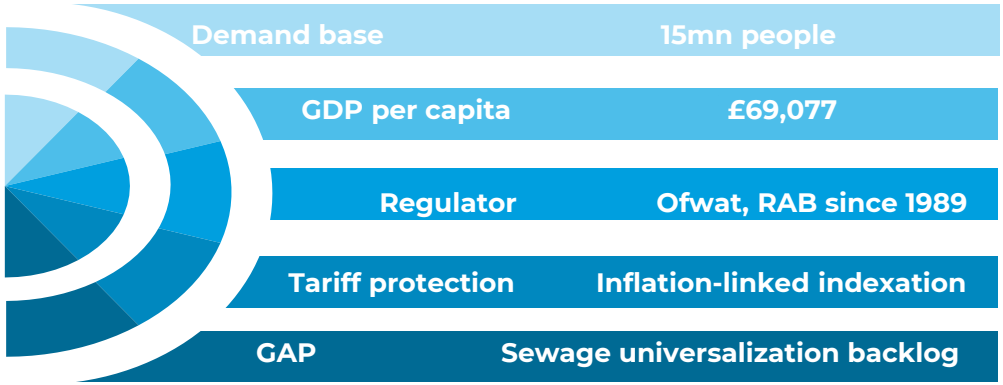
Sources: Company releases, FAUSP

A good framework is not enough. Thames Water proves it

London had every structural advantage São Paulo has. Execution destroyed the value the framework protected

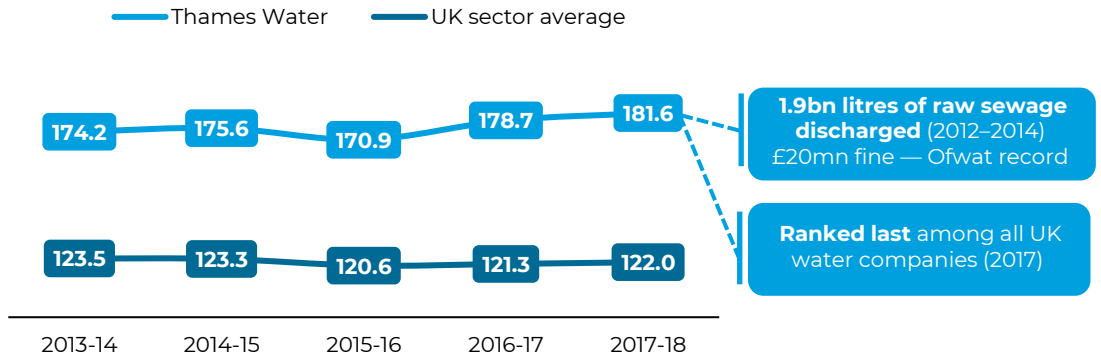
They had really strong **structural advantages...**

Regulatory and market conditions, Thames Water



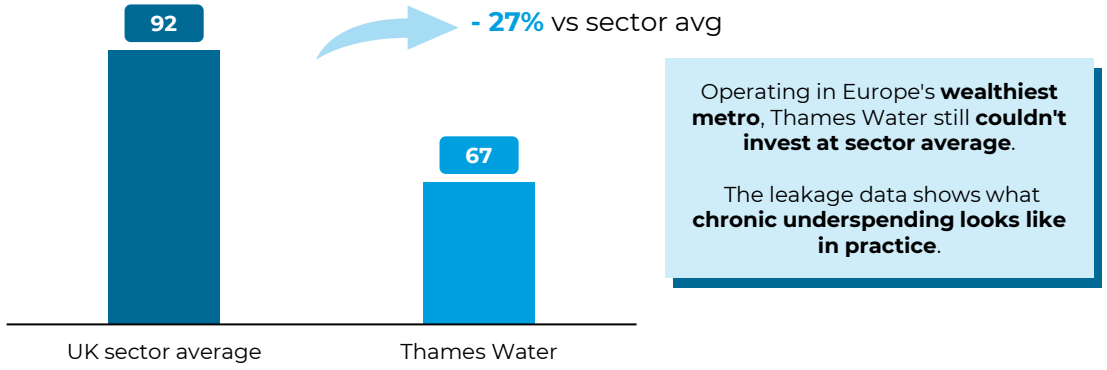
... but operational **efficiency never materialized**

Leakage per property served (liters/day)Thames Water vs. UK sector avg



... and the **Capex** deployed was never **enough to fix it**

Capex per capita (£), Thames Water vs. UK water sector average (2017)

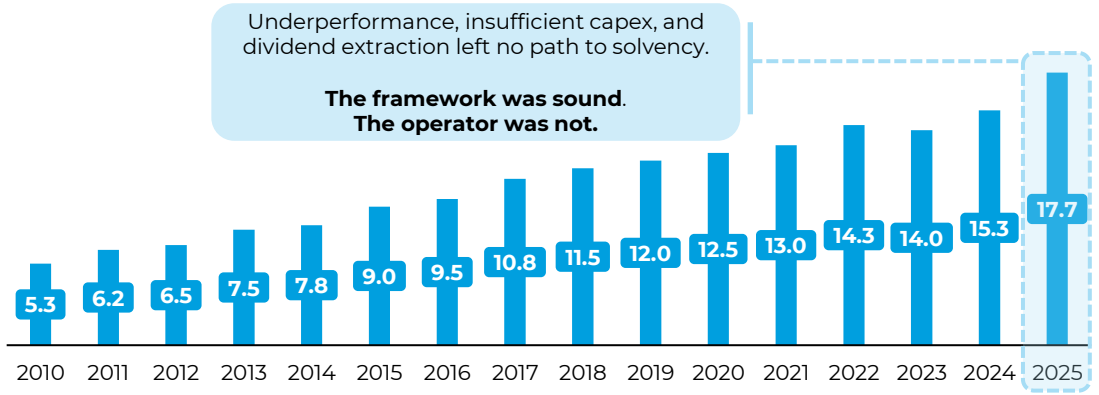


Operating in Europe's **wealthiest metro**, Thames Water still **couldn't invest at sector average**.

The leakage data shows what **chronic underspending looks like in practice**.

Underinvestment and extraction **collapsed the equity**

Net debt (£bn) 2007–2025



Sources: Company releases · CCW Resilience Report 2017-18 · Ofwat · Bluefield Research · ONS



A binding framework that turns obligation into opportunity

Operational efficiency unlocked by privatization

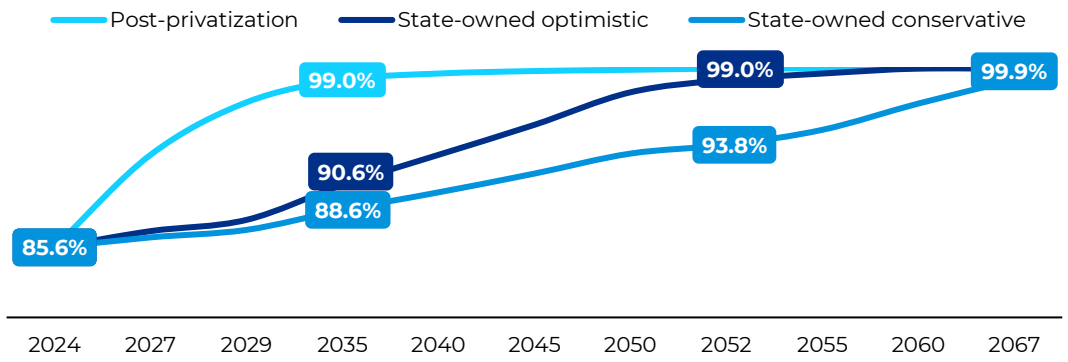
Smart capital allocation and untapped growth levers

Privatization reset control, incentives and execution

Governance redesign accelerated execution intensity and reshaped the company's capital allocation profile

State investment limits would **delay universalization**

Sewage coverage under private vs. state-owned CAPEX capacity



The **market endorsed** a fully funded model

Sabesp privatization awards

LATINFINANCE

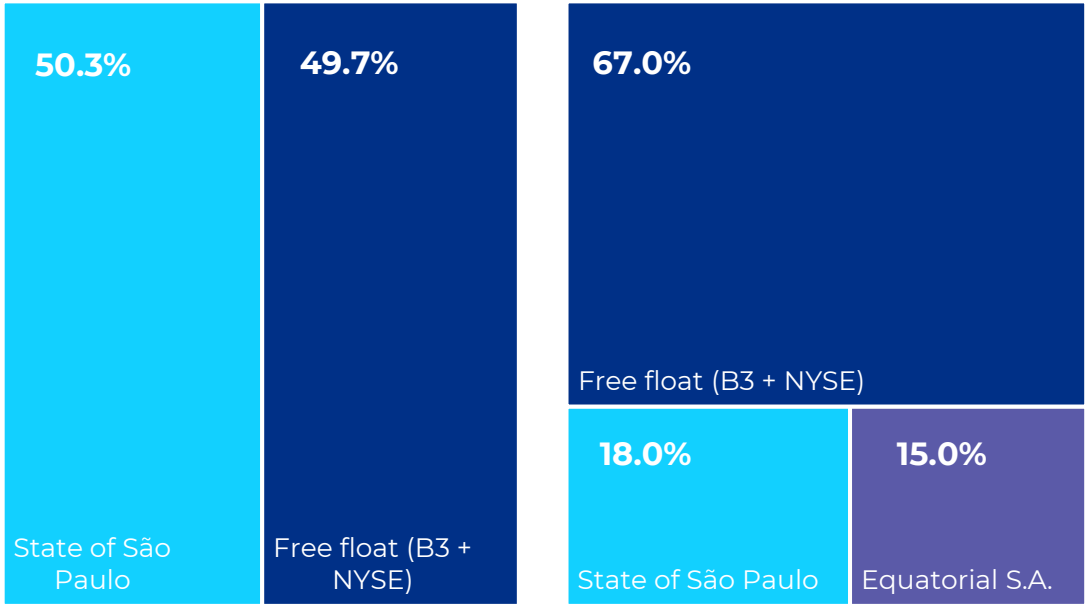
"Equity Follow-On of the Year - Sabesp."

*The **BRL 14.5 billion ($2.7 billion**) placement was the largest ever water and sanitation share offering anywhere in the world.*

January 31, 2025

Privatization reset **control, incentives and execution**

Shareholder structure 2023 vs 2026



Golden share: Veto rights over core business, company name and voting rules public mission preserved without majority

15% stake, full operational mandate **appoints CEO, CFO** and **board president** until 2035

No shareholder can **exceed 30% statutory cap** permanently protects the true corporation structure

Sources: Company releases, SEMIL, B3

With Equatorial bringing the execution playbook

A proven utility turnaround platform, built on disciplined acquisitions, opex control, and loss reduction

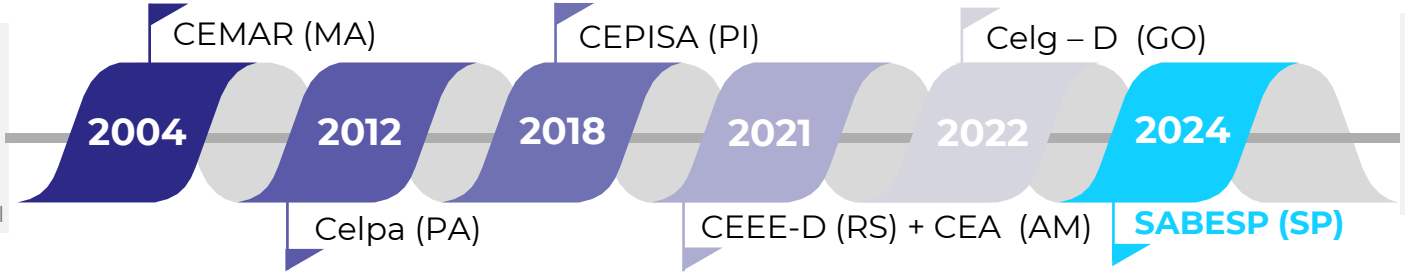
Equatorial has spent 20 years **acquiring** and **turning around** distressed utilities...

Seven concessions acquired since 2004 each one a turnaround story



"We bring deep infrastructure experience, deploy capital efficiently, and raise the bar on service delivery."

Augusto Miranda, CEO, Equatorial



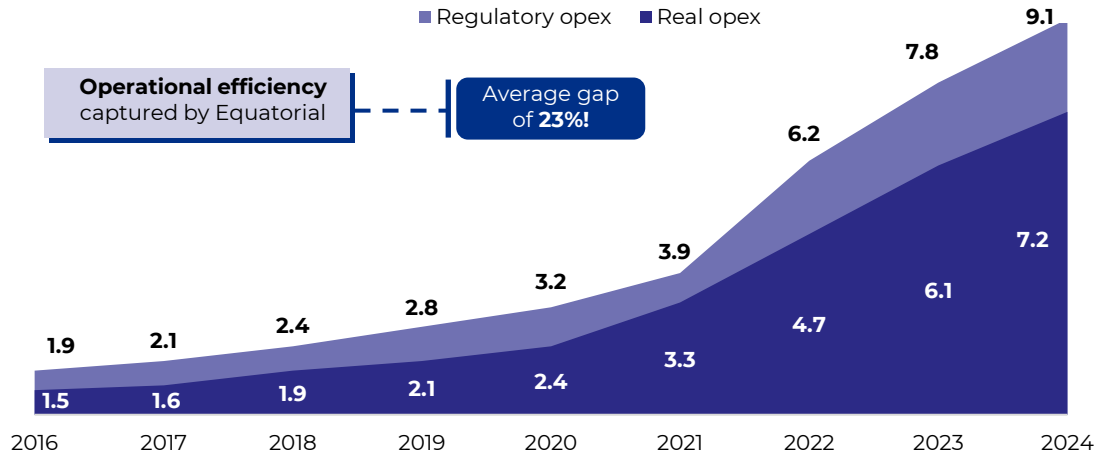
"Equatorial knows exactly how to close the efficiency gap. They've done it before, and Sabesp is next."

Carlos Piani, CEO, Sabesp



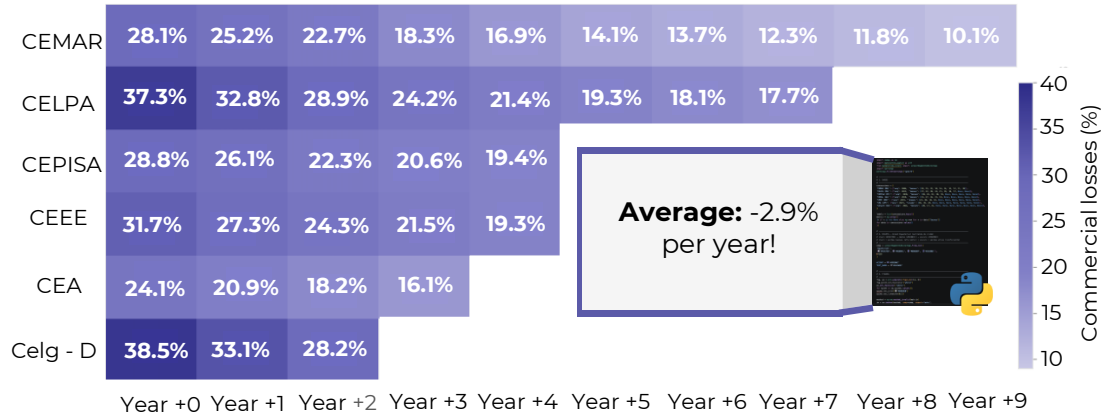
...driving OPEX consistently **below the regulatory ceiling**...

Equatorial regulatory opex vs. Real opex (BRL bn)



...and **replicating efficiency** across every concession

Energy theft and fraud losses (%) fall consistently after every acquisition



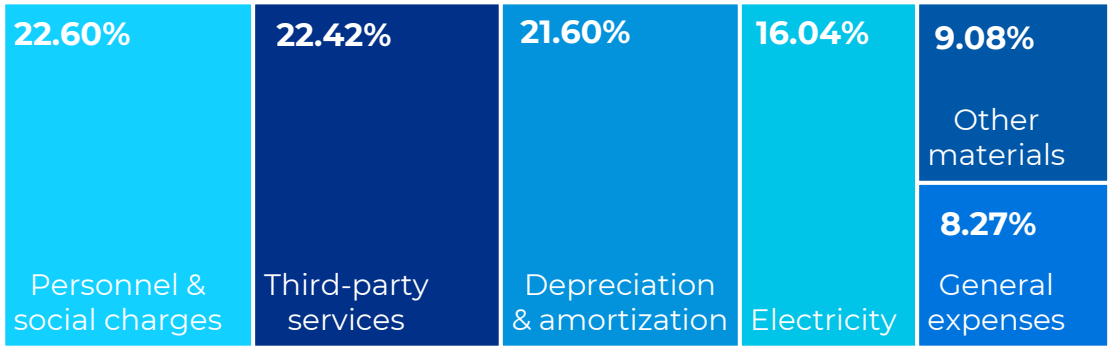
Sources: Equatorial releases, ANEEL, SAMP, PRODIST

The turnaround is already visible across Sabesp's cost base

Major cost lines are falling together, suggesting that Equatorial playbook is already taking hold

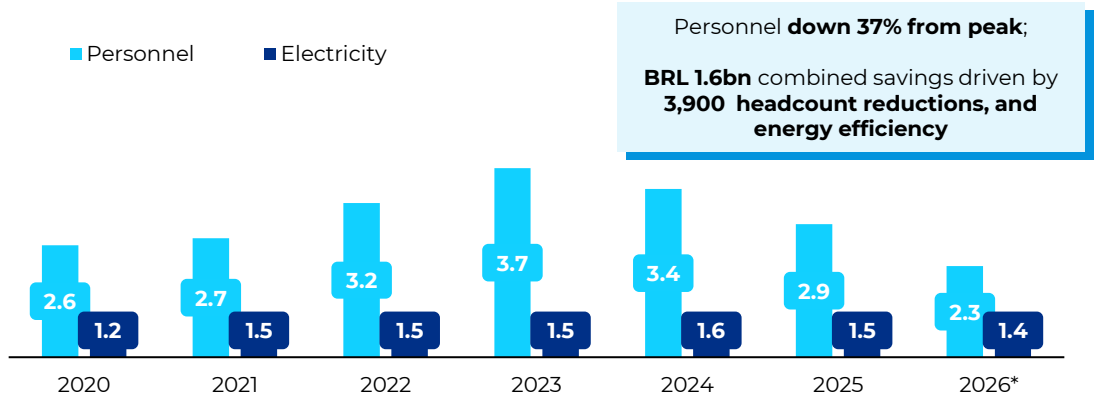
Personnel and energy were drivers in Sabesp's **cost base**

OPEX per category in 2025 (%)



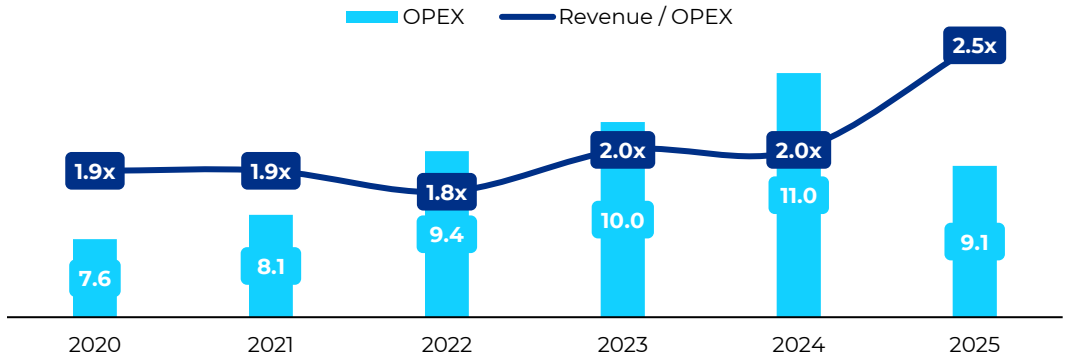
Privatization unlocked **immediate cost reductions**

Personnel expenses (BRL bn) and Energy costs (BRL bn)



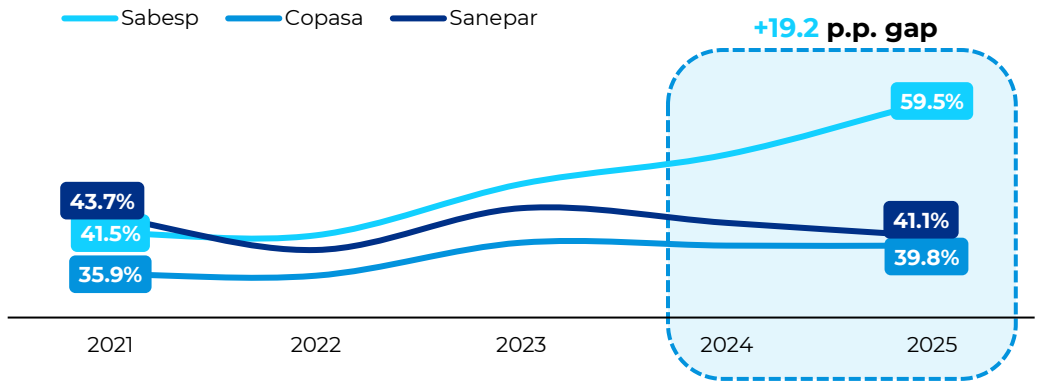
This led to cost lines contracting and a **decreasing OPEX**

OPEX (BRL bn) vs Revenue / OPEX



And margins already **improved compared to peers**

*Adj** EBITDA margin Sabesp vs Peers (%)*



*2026 is not a forecasted efficiency target; it is based on annualizing 1Q26 by historical measures * *Adjustments: removal of financial Asset, construction revenue and non-recurring item*

Sources: Company releases, SEMIL, Energy free market

And the tariff model monetizes every efficiency gain

Every efficiency gain below the frozen OPEX ceiling flows entirely to shareholders

The rulebook: **beat the ceiling, keep everything**

ARSESP tariff revenue formula: Cycle 1, 2024–2029

$$Tr_{ref\ (2024)} = \textbf{OPEX} + (\textbf{WACC} \times RAB*_{net}) + (QQR** \times RABgross) \pm \textbf{adj.}$$

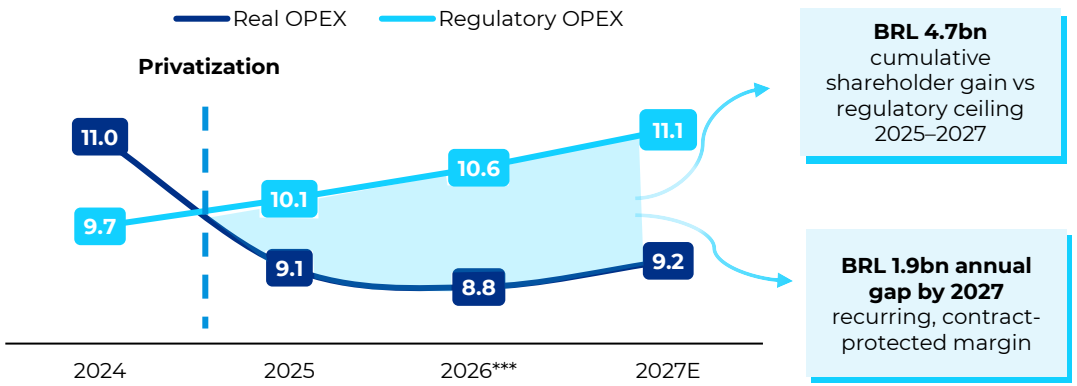
Capital remuneration | **Capital reintegration**

- OPEX unit costs **locked at 2024 levels until 2029**, adjusted by IPCA only
- WACC **fixed for the entire 2024–2029** cycle
- **Non-manageable costs** PPPs, municipal funds, water rights are fully **passed through to tariff**

◆ Until 2029, every **real efficiency gain** Sabesp delivers flows **entirely to shareholders!**

The gap opened in 2025 and **keeps widening**

Real OPEX vs. regulatory ceiling (BRL bn), 2024–2027E



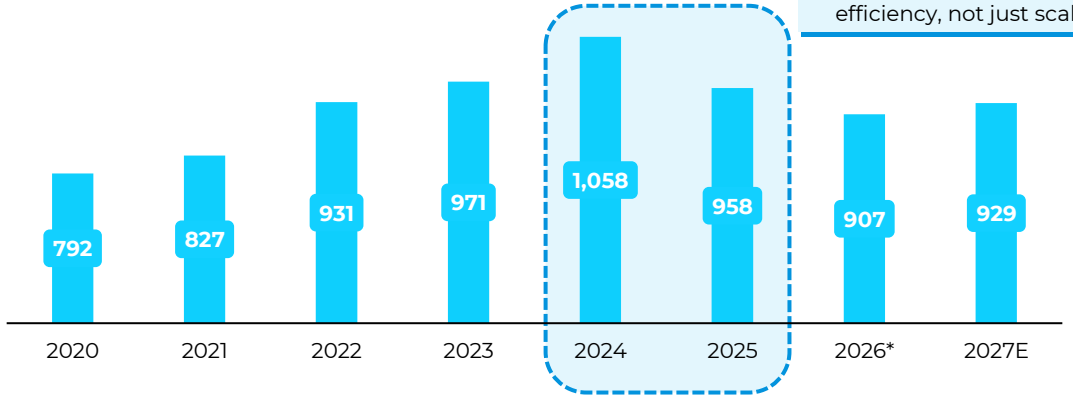
BRL 4.7bn cumulative shareholder gain vs regulatory ceiling 2025–2027

BRL 1.9bn annual gap by 2027 recurring, contract-protected margin

And it's **not a scale effect**, its efficiency **per unit served**

OPEX per water connection (BRL/year), 2021–2027E

Cost per connection down **BRL 100** in year one, real efficiency, not just scale



**Regulatory asset base, ** Regulatory Reintegration Quota ***2026 is not a forecasted efficiency target; it is based on annualizing 1Q26 reported operating expenses under the current cost base.*

Sources: Company releases, SEMIL, Energy free market

From ceiling to engine: quality gains flow to shareholders

X Factor passed every efficiency gain to consumers, keeping ROIC below WACC and destroying economic value

Old model: a **ceiling**. New model: a **value engine**

Tariff adjustment index before and after privatization (2024)

$$TAI_{before} = \frac{TR_1 + (IPCA - \textbf{X Factor})}{TR_0}$$

- **X Factor:** deduction that passes Sabesp's **efficiency gains to consumers**
  - **No efficiency incentives:** all gains were passed to consumers, **capping returns at WACC**

WACC > ROIC

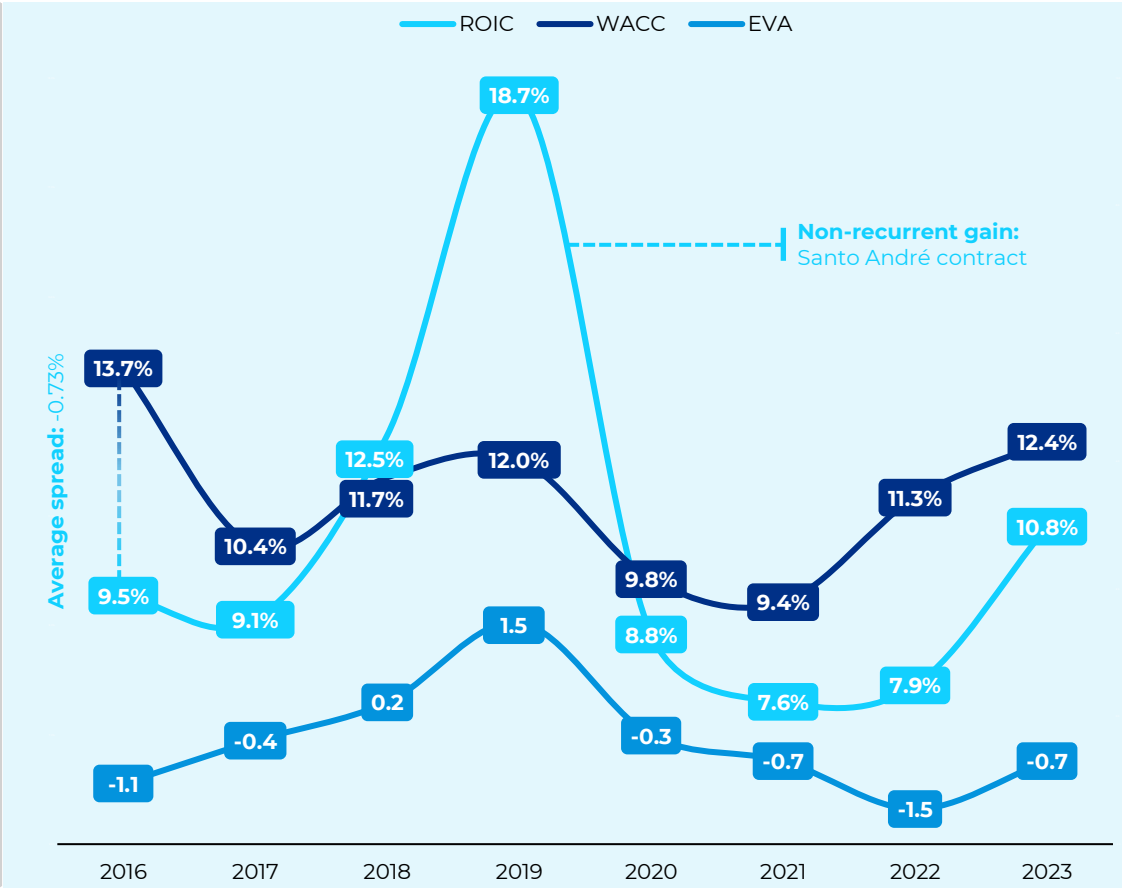
$$TAI_{after} = \frac{TR_1 + (IPCA \pm \textbf{Q Factor} - \textbf{U Factor})}{TR_0}$$

- **U Factor:** Penalty for missing **universalization targets**
- **Q Factor:** Adjustment based on **quality targets** - leakage, water complaints, network pressure and sewage continuity
  - **High efficiency incentives:** retained quality gains flow directly to the tariff, creating value

WACC < ROIC

...by consistently **underperforming its cost of capital**

ROIC (%) vs. WACC (%) and EVA (BRL bn)



Sources: Company releases, ARSESP, SEMIL

From ceiling to engine: quality gains flow to shareholders

Incentivizing superior performance through annual quality-based adjustments

Old model: a **ceiling**. New model: a **value engine**

Tariff adjustment index before and after privatization (2024)

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    - **WACC > ROIC**

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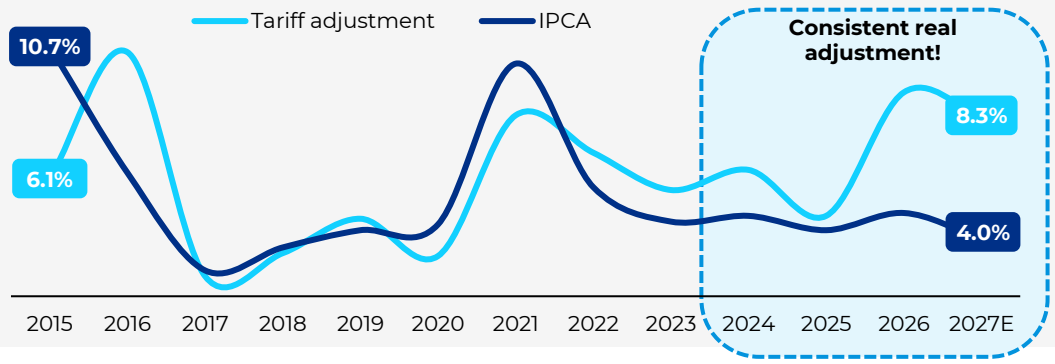
The payoff: **consistent real adjustment** since day one

2027 reajustment sensibilization and tariff (%) vs. Inflation variation (%)

Simulating the **tariff adjustment for 2027...**

Q-fator \ U-fator	0	(0.8%)	(1.5%)	(2.3%)	(3.0%)	(3.8%)
0.4%	8.7%	8.0%	7.2%	6.5%	5.7%	5.0%
0.2%	8.5%	7.7%	7.0%	6.2%	5.5%	4.7%
0.1%	8.4%	7.6%	6.9%	6.1%	5.4%	4.6%
0.03%	8.3%	7.6%	6.8%	6.1%	5.3%	4.6%
0	8.3%	7.5%	6.8%	6.0%	5.3%	4.5%
(0.03%)	8.3%	7.5%	6.8%	6.0%	5.3%	4.5%
(0.4%)	7.9%	7.1%	6.4%	5.6%	4.9%	4.1%

35/42 scenarios **above base inflation** (2026)!



Sources: Company releases, ARSESP, SEMIL

From ceiling to engine: quality gains flow to shareholders

Incentivizing superior performance through annual quality-based adjustments

Old model: a **ceiling**. New … **adjustment** since day one

Tariff adjustment index before … and tariff (%) vs. Inflation variation (%)

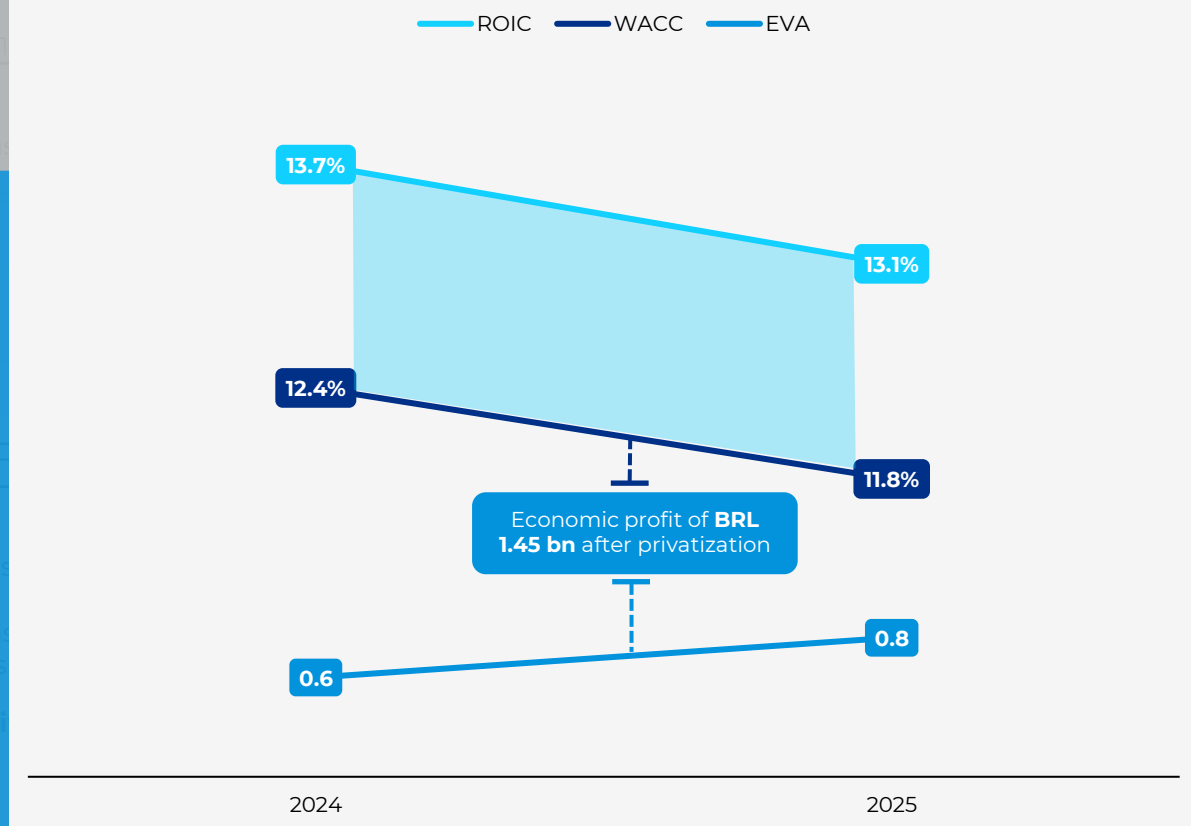
$$TAI_{before} = \frac{TR_1}{\dots}$$

- **X Factor:** deduction that pa…
  - No efficiency incentiv…

$$TAI_{after} = \frac{TR_1 + (\dots}{\dots}$$

- **U Factor:** Penalty for m…
- **Q Factor:** Adjustment b… complaints, network pres…
  - **High efficiency incenti…**

Now Sabesp is generating economic value!

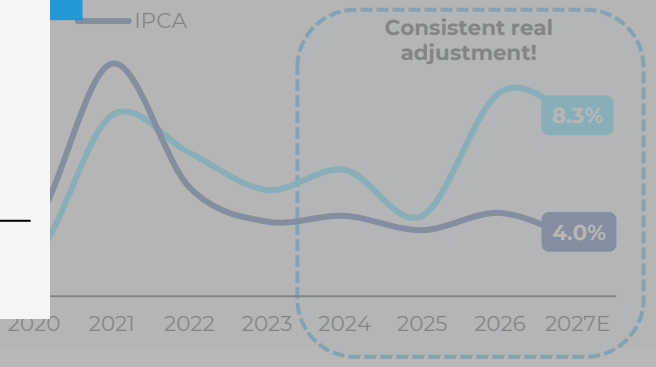


…riff adjustment for 2027…

U-fator

(1.5%)	(2.3%)	(3.0%)	(3.8%)
7.2%	6.5%	5.7%	5.0%
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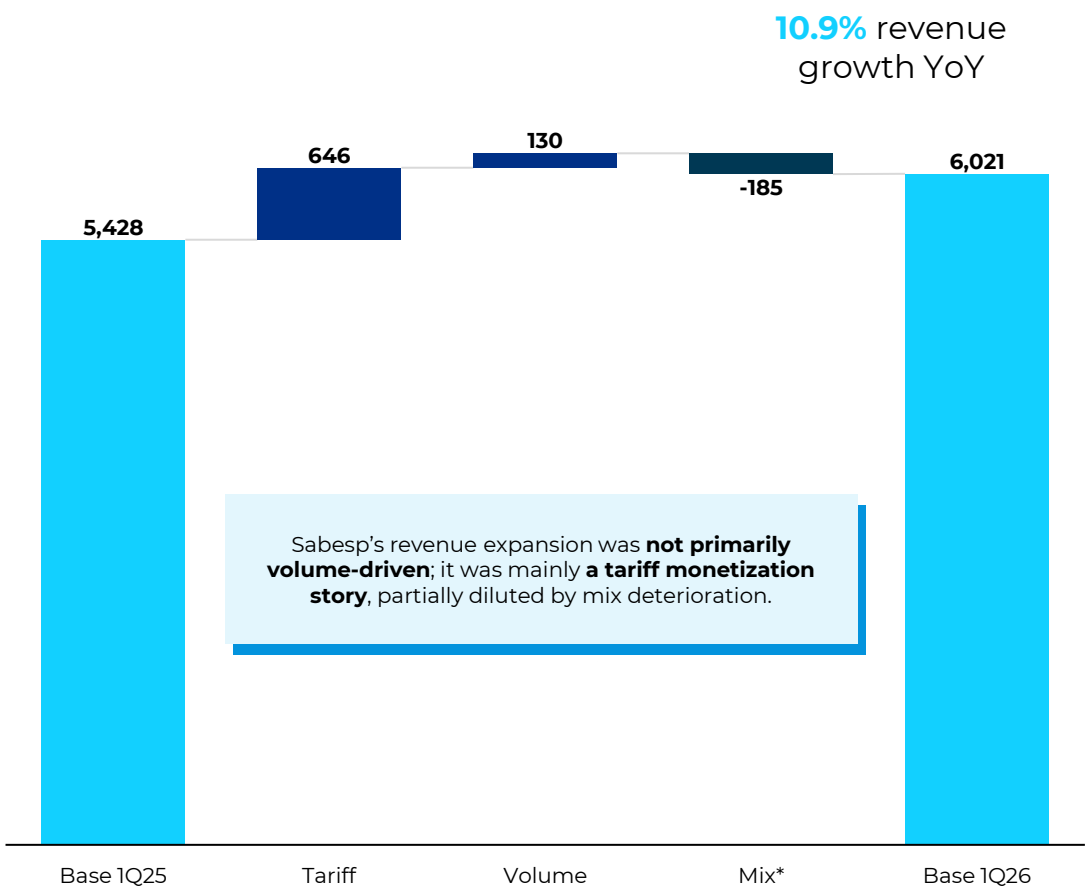
Sources: Company releases, ARSESP, SEMIL

That is already showing up in tariff-led revenue growth

Tariff adjustment drove most of the revenue growth volume barely moved

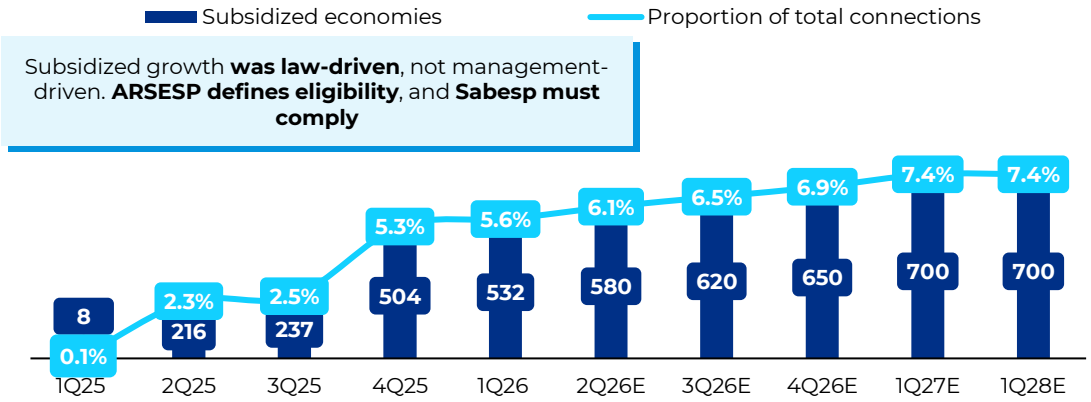
Tariff capture became the **main growth driver**...

Revenue bridge by pricing, volume and mix effects (1Q25–1Q26)



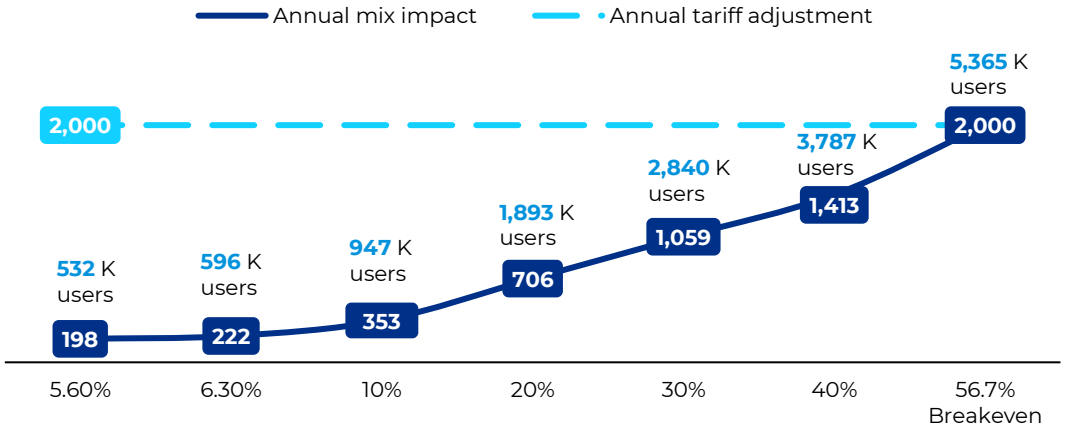
...despite the mandatory **expansion of subsidized users**...

Evolution of subsidized economies (K) and proportion of the total (%)



...as breakeven dilution remains **structurally unreachable**

Mix impact vs. tariff adjustment at different subsidy levels, (BRL mn)



** Mix: change in revenue composition by customer category, and subsidies*

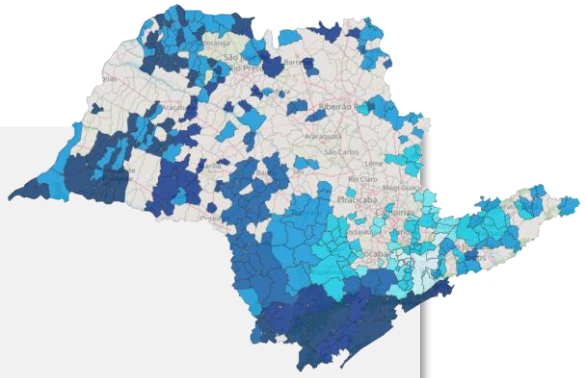
Sources: Company releases, ARSESP, SEMIL

And the inefficiencies are identifiable and concentrated

Residual losses are structurally clustered where analog meters chronically undermeasure consumption

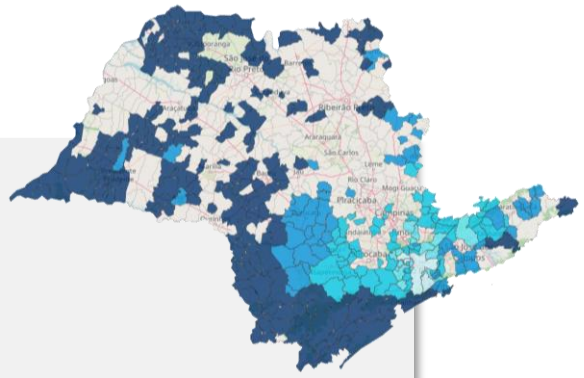
Water losses remain **concentrated in specific regions**

Water loss (IPGR) and analog meter share by municipality URAE-1



- < 200 — Low (RMSP)
- 200–230 — Medium-low
- 230–260 — Medium
- 260–300 Medium-high
- 300–350 — High
- 350–400 — Critical (Coast)
- 400 — Max (Vale Ribeira)
- Not operated by Sabesp

High-loss municipalities are geographically concentrated, they account for disproportionate share of unbilled revenue **despite low connection density**

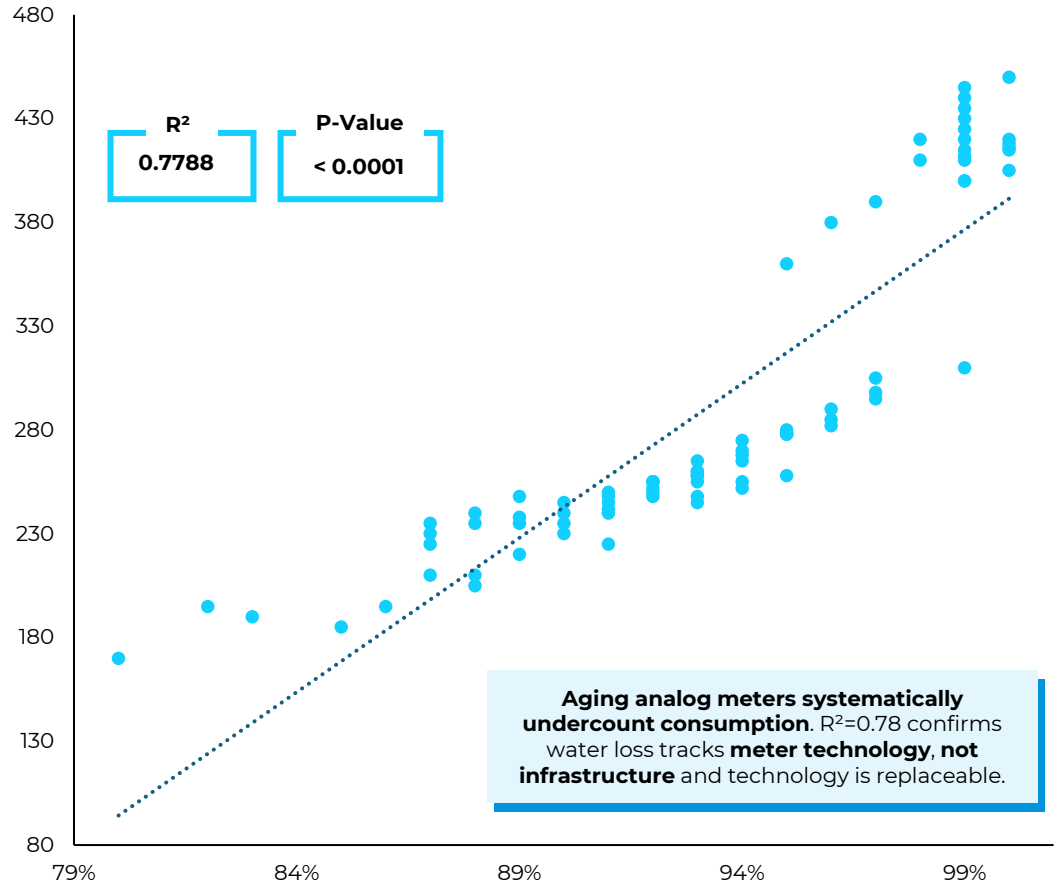


- < 85% — High digital penetration
- 85–90% — Good digital coverage
- 90–94% — Partial coverage
- 94–97% — Low digital coverage
- 97% — Near 100% analog
- Not operated by Sabesp

91% of Sabesp's 14.3 mn meters remain analog the modernization program running at **1.3 mn replacements/year**

Infrastructure obsolescence explains the pattern

OLS regression IPGR vs. analog meter share across URAE-1 municipalities



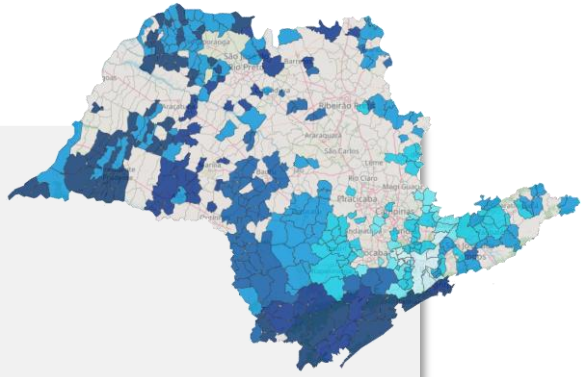
Sources: Company releases,

And the inefficiencies are identifiable and concentrated

Sabesp is already acting a BRL 3.8 bn meter modernization program targets the root cause of remaining inefficiency

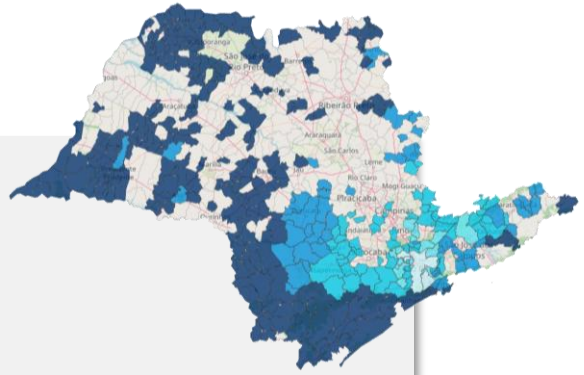
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91% of Sabesp's 14.3 mn meters remain analog the modernization program running at **1.3 mn replacements/year**

But Sabesp is **already addressing it**

News from InfoMoney about Sabesp

InfoMoney

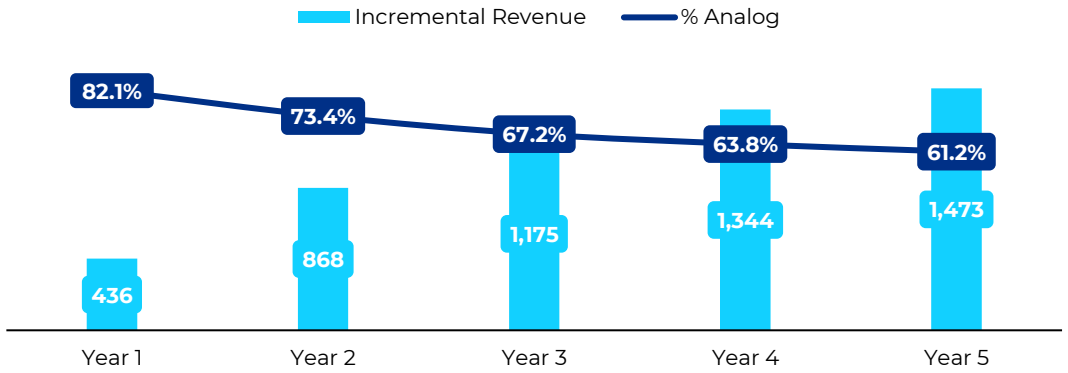
"Sabesp and Vivo launch project to replace water meters in São Paulo"

*The partnership foresees the replacement of **4.4 million meters, with 1.3 million this year**, to allow for consumption monitoring via an app and leak alerts.*

February, 02, 2026

Unlocking up to **BRL 1.4bn in incremental revenue**

Incremental annual revenue (BRL mn) vs Analog Water Meter (%),*



**Incremental annual revenue of changing from analog to IOT water meters*

Sources: Company releases,



A binding framework that turns obligation into opportunity

Operational efficiency unlocked by privatization

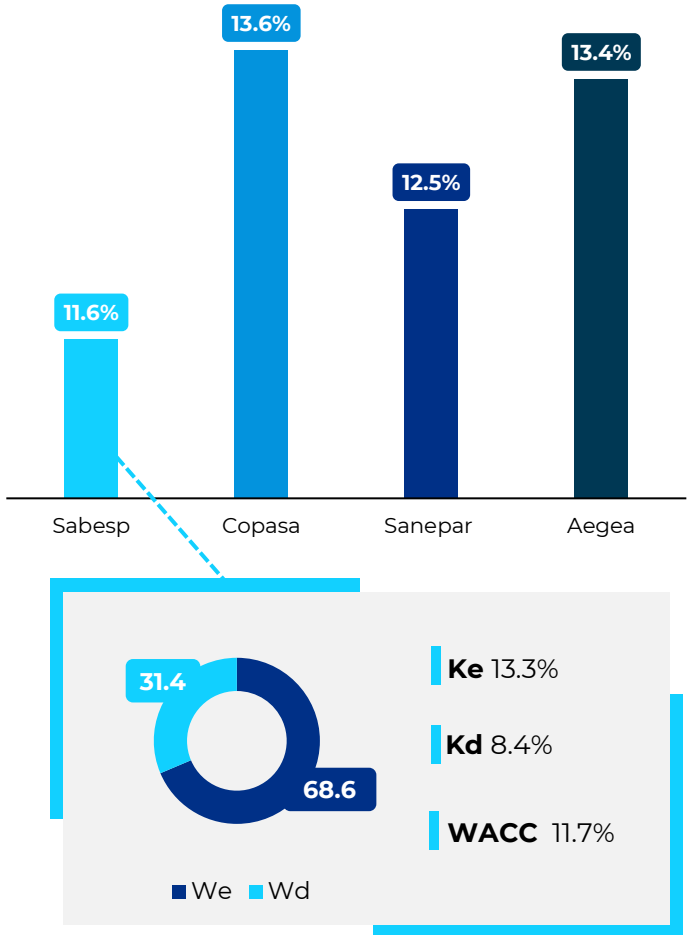
Smart capital allocation and untapped growth levers

Disciplined capital deployment begins with a funding edge

Sabesp is funding the heaviest capex cycle in its history with a structure that protects returns and creates optionality

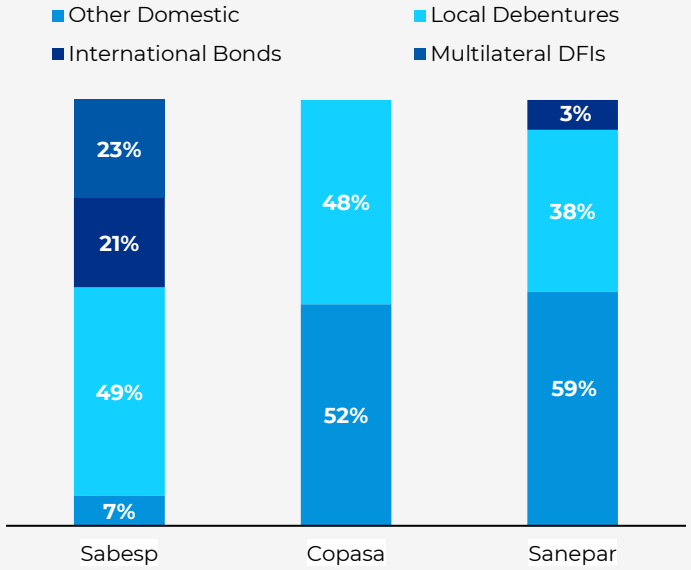
Borrowing at **a lower cost**

Gross cost of debt Sabesp vs Peers (%)



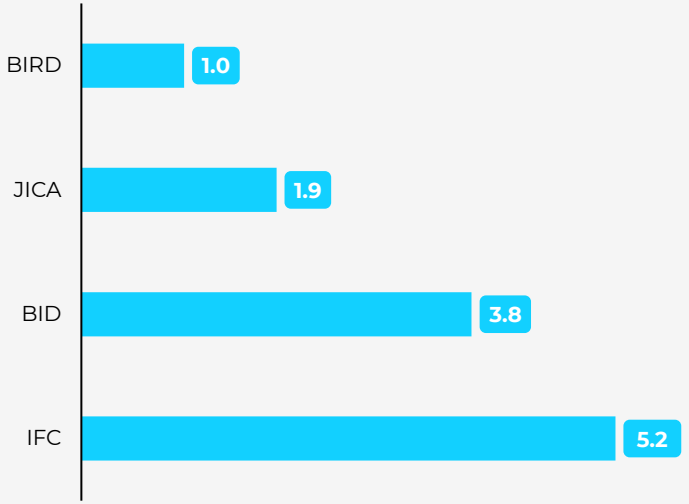
Built on a **cheaper mix...**

Debt composition by instrument type (%)



... and backed by **privileged funding**

Multilateral DFI exposure (BRL bn)



Peers have zero multilateral DFI access, Sabesp's DFIs price at CDI+0.3–0.5% vs. CDI+0.8–1.6% for market debentures

Not a negotiation outcome, peers 90%+ market-rate; sovereign guarantee or ESG compliance required

Locked in, 64% matures post-2031; advantaged pricing is structural, not cyclical

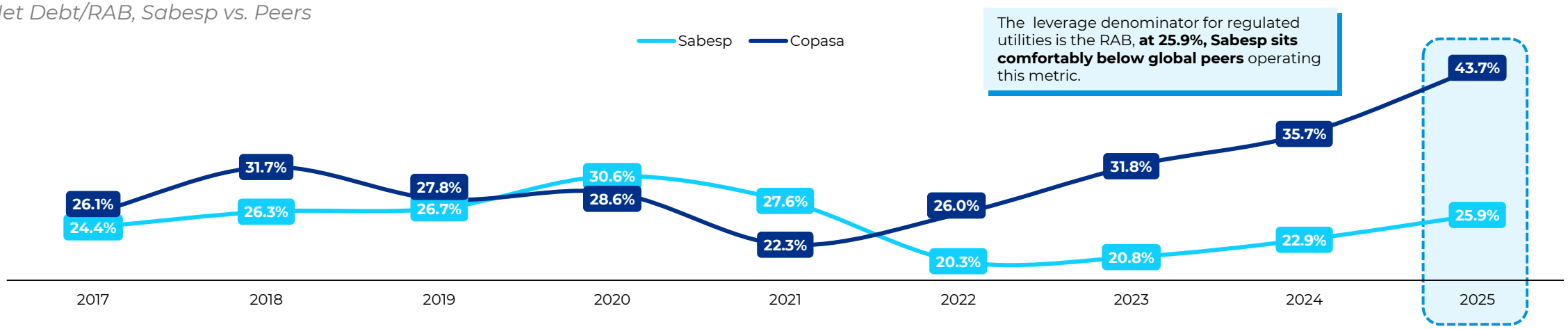
Sources: Company releases, COPASA releases, SANEPAR releases

Financing record capex without compromising solvency

Higher debt funds the capex cycle, while covenant headroom and DSCR support balance sheet comfort.

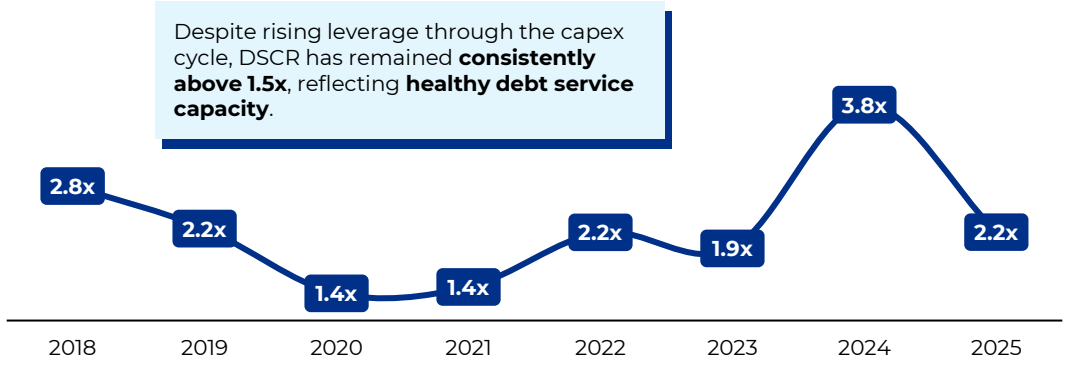
Leverage is rising as **Sabesp funds the investment cycle**, but still less than peers

Net Debt/RAB, Sabesp vs. Peers



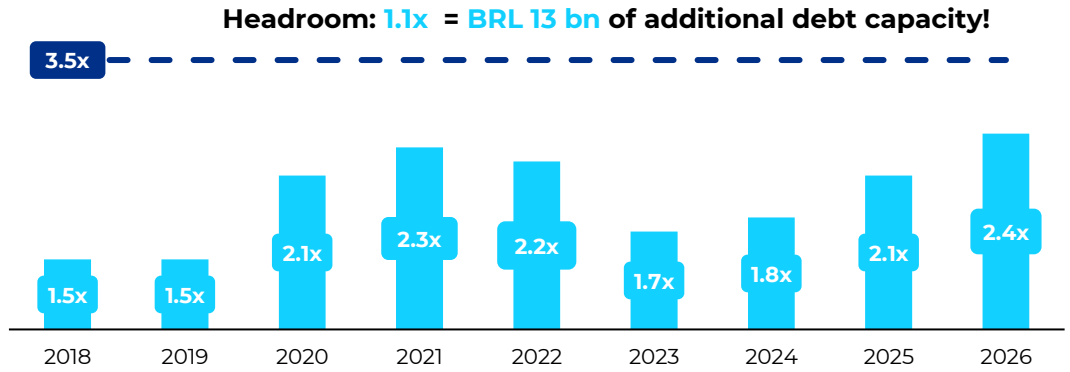
Despite higher leverage **debt service remains covered**

Debt Service Coverage Ratio — DSCR (x)



Allowing growth with **financial comfort**

Net Debt/EBITDA vs. Covenant (x)



Sources: Company releases, COPASA releases

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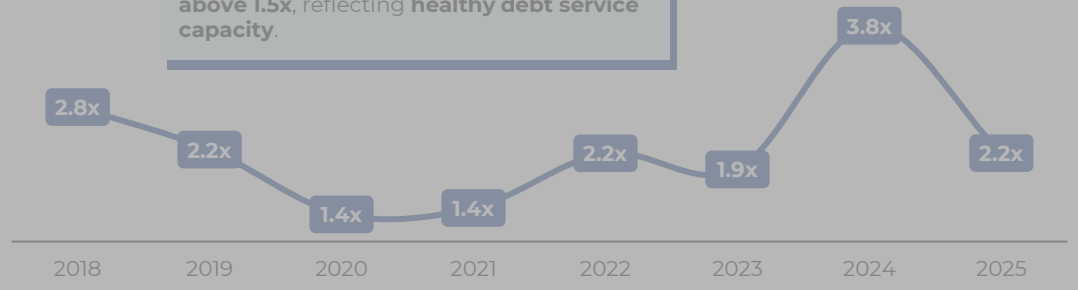
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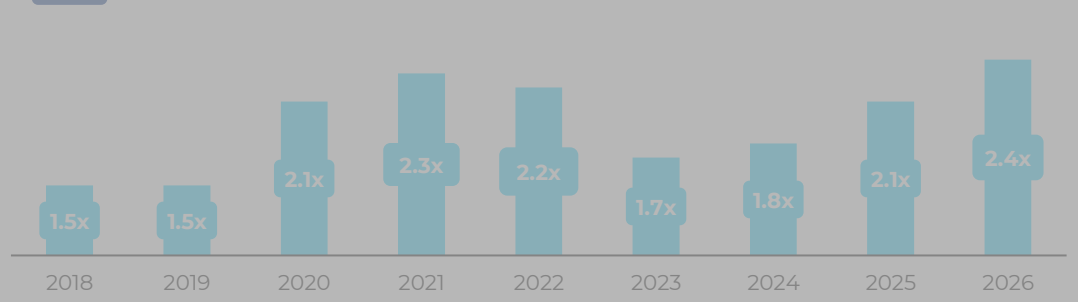
Net Debt/RAB, Sabesp vs. Peers

The leverage denominator for regulated

But who allocates this capital? And how?

cycle, DSCR has remained **consistently above 1.5x**, reflecting **healthy debt service capacity**.





Sources: Company releases, COPASA releases

A proven management team with aligned incentives

An experienced team with a proven track record of turning broken utilities into world-class operators

An **experienced** management **team**

Sabesp's executive team and board



Carlos Piani - CEO

Equatorial • Vinci Partners • Pactual

Daniel Szlak - CFO

Kraft Heinz • Combio • Procter & Gamble





Augusto Miranda – Board member

Equatorial • CEMAR • COELBA

Eduardo Parente – Board member

Equatorial • Vale • McKinsey • MRS





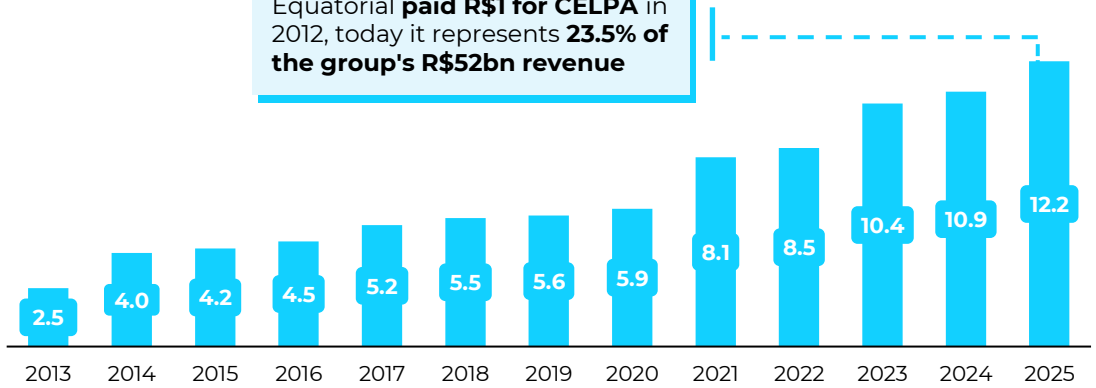
Karla Bertocco - Chairwoman

BNDES • ARTESP • ARSESP

That already **delivered results**

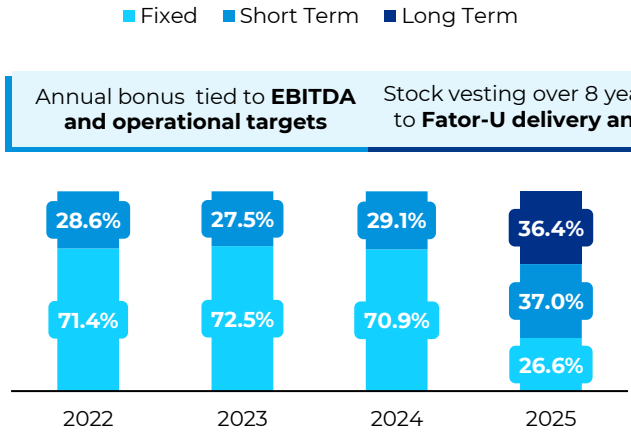
CELPA Net operating revenue 2013-2025

Equatorial **paid R$1 for CELPA** in 2012, today it represents **23.5% of the group's R$52bn revenue**



Aligned through **long-term incentives**

Executive Board compensation structure 2022 to 2025 (%)



Annual bonus tied to **EBITDA and operational targets**

Stock vesting over 8 years tied to **Fator-U delivery and TSR**

Capital deployment across **three vectors:**

1. **RAB** conversion
2. Strategic **M&A**
3. Regional **expansion**

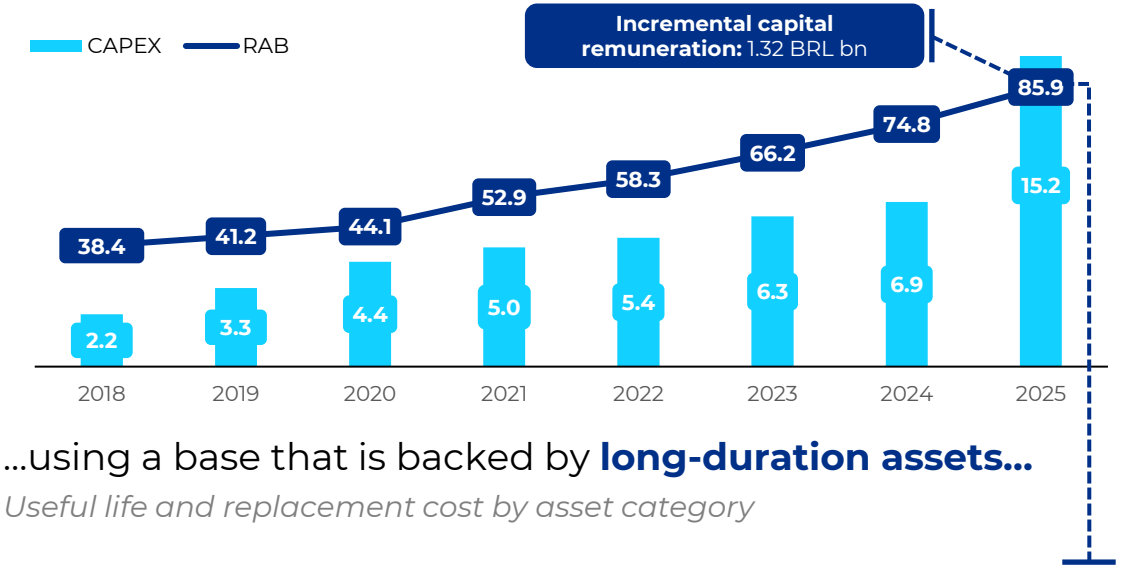
Sources: Company releases, Equatorial releases,

Deploying capex into RAB: efficient conversion

Certified capex converts into permanent RAB under a backward-looking recognition model

Capex has been **efficiently converted** into RAB...

RAB vs CAPEX 2020-2025 (BRL bn)



...using a base that is backed by **long-duration assets...**

Useful life and replacement cost by asset category

Patrimonial unit	Useful life (years)	GRC* (bn)
Canal, gallery and tunnels	60	0.96
Buildings and structures	50	1.3
...	...	...
Linear sanitation structures	50	89.1

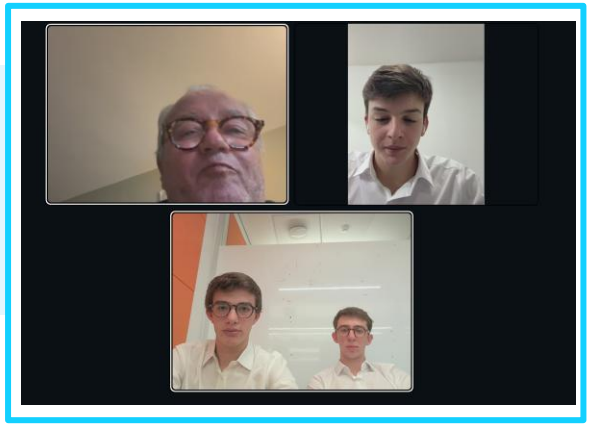
*GRC: Gross Replacement Cost

...after transitioning to a **cumulative recognition model**.

Regulatory shift from forward to backward-looking model

Before: forward-looking	**After:** backward-looking
Capex recognized in the RAB based on approved **future plans**	Capex recognized after execution and certification: **12–17 month recognition lag.**
Regulatory return accrued **ahead of actual spend**	Certified execution guarantees **permanent and uncontested** RAB entry.

*"Every real Sabesp invest today **is a real that will sit on their RAB permanently** . The heavier they invest now, the larger the regulated asset base we pass on to the next decade."*



Rogerio Gragnani Leite
Former CFO at SABESP

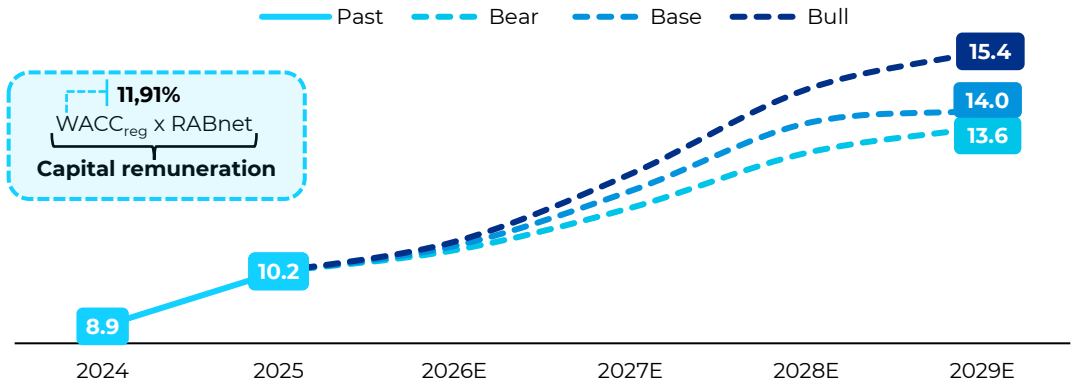
Sources: Company releases, ARSESP

RAB drives capital remuneration as universalization scales

BRL 70bn capex expands the RAB, compounding into capital remuneration, while the market still underprices Sabesp

RAB compounds into permanent **regulated income...**

*Regulated capital remuneration (BRL bn) by RAB recognition scenarios**



...while the WACC spread unlocks **excess remuneration**

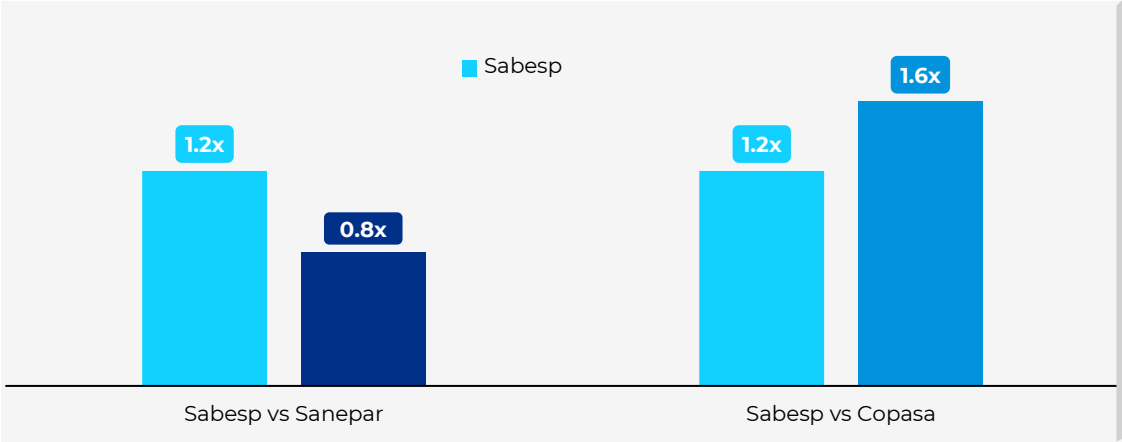
Implicit economic remuneration added from 2024 to 2029

$WACC_{reg} - WACC_{real} \times RAB_{net}$

Excess regulatory remuneration added from 24' 29' of BRL 488.3 mn

The market **prices asset quality**, not the next RAB cycle.

Sabesp, Sanepar and Copasa EV/RAB 2025



Sanepar — **Sabesp** — **Copasa**

+61.3% | **Sweet spot!** | -24.4%

<1.0x: regulatory or governance risk - **value trap**

1.0-1.5x: asset **quality recognized**, FCF normalization **still ahead**

>1.5x: stable RAB, strong FCF, **limited upside**

** Scenarios assume 55% / 70% / 85% of invested capex recognized into RAB after a 2-year lag, reflecting ARSESP's backward-looking certification cycle.*

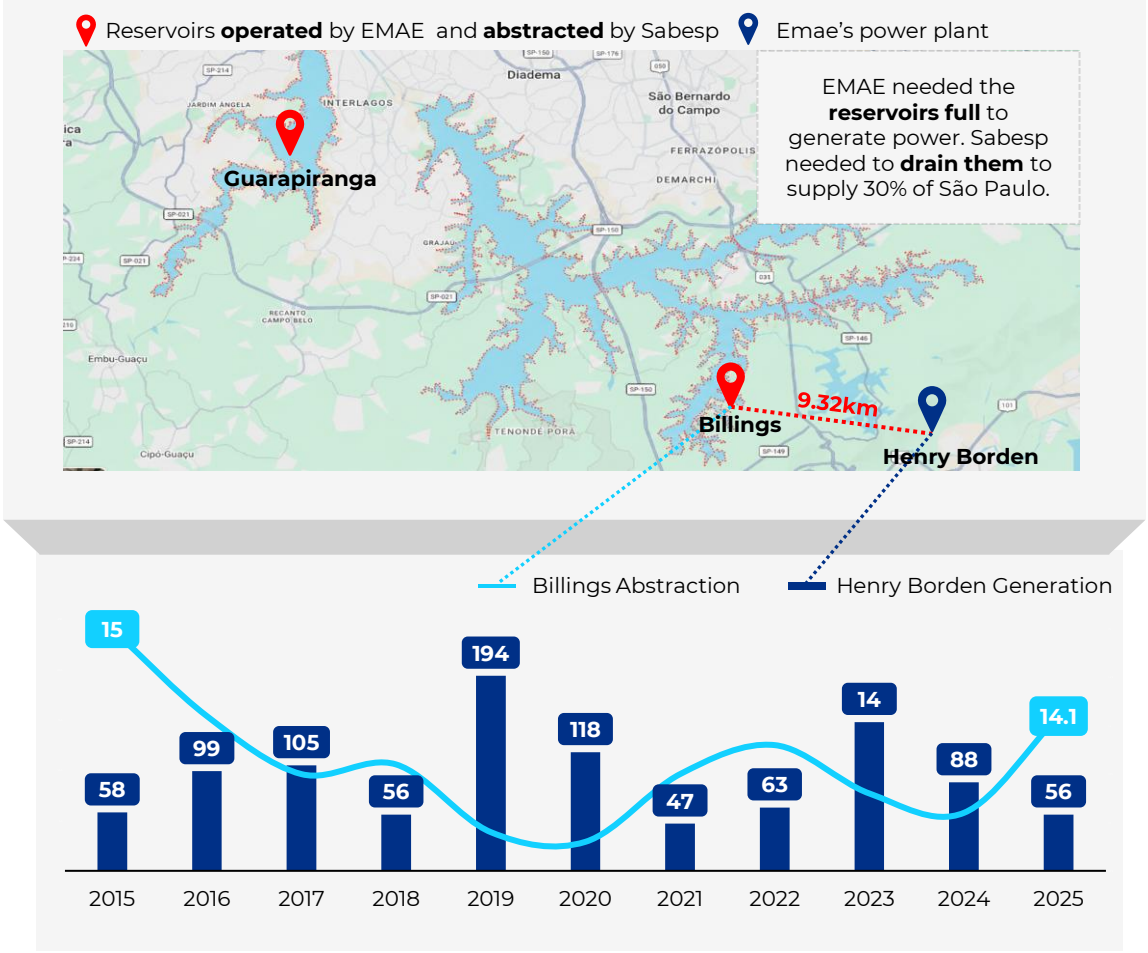
Sources: Company releases, ARSESP, COPASA releases, SANEPAR releases

While EMAE proves capital allocation unlocks strategic value

Sabesp's EMAE deal proves disciplined capital allocation can turn operational friction into strategic upside

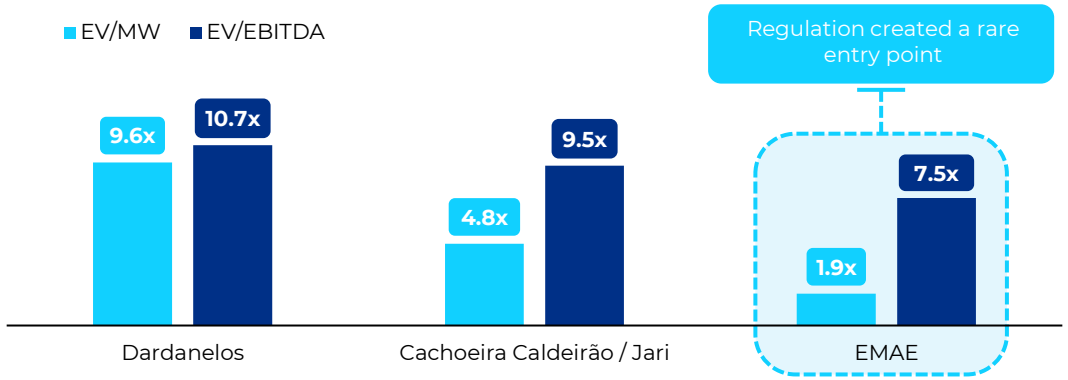
EMAE's **incentives conflicted** with Sabesp's **water needs...**

Billings abstraction (m^3/s) vs. Henry Borden generation (GWh)



..so Sabesp bought it at a **fraction of market price**

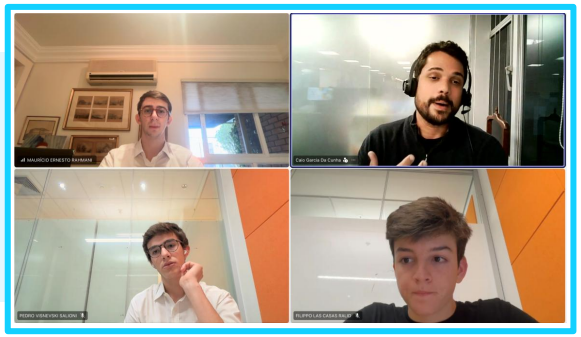
Transaction EV/MW (BRL/MN) and EV/EBITDA



...unlocking value **no other buyer could capture**

Call with Caio Garcia da Cunha

*"Sabesp was operationally constrained by a company a **fraction of its size**. Rather than managing that conflict indefinitely, we **chose to internalize it,** and that's why no other buyer captures more value from this acquisition."*



Caio Garcia da Cunha
New business diretor at SABESP

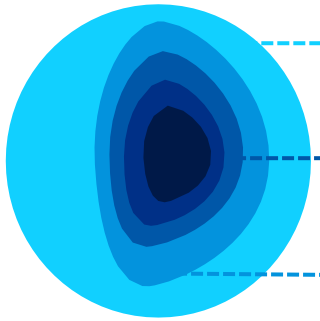
Sources: Google maps, company releases, EMAE release, Portal dos mananciais

And UniversalizaSP extends the playbook beyond URAE-1

146 municipalities in active auction process, geographic advantage no competitor replicates

From policy framework **to active auctions**

UniversalizaSP characteristics



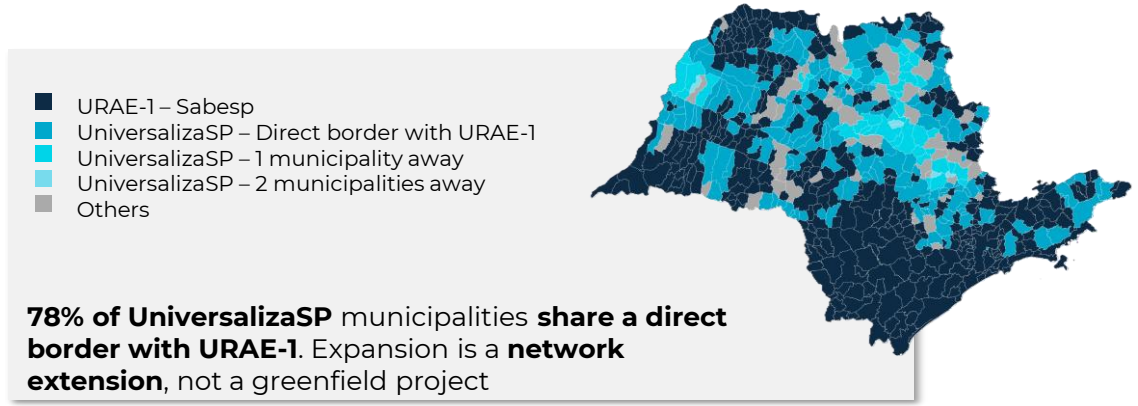
UniversalizaSP:
State-led program to privatize sanitation in municipalities outside Sabesp's URAE-1

Rapid rollout:
218 municipalities joined UniversalizaSP, and **146** already in active **auction process**

Timeline:
Apr 2026 **public consultation** → 3Q26 final **terms** → Sep/Oct 2026 **auction expected**

And it sits **directly next to Sabesp's network**

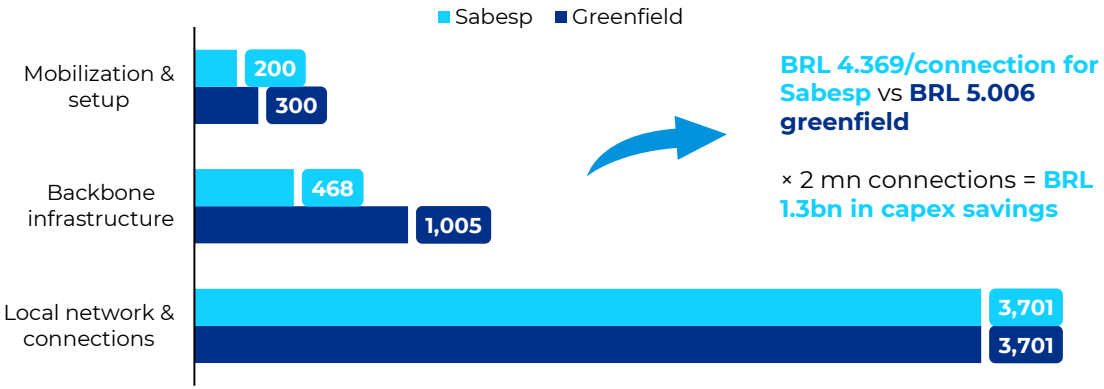
Proximity of UniversalizaSP municipalities to URAE-1



78% of UniversalizaSP municipalities **share a direct border with URAE-1**. Expansion is a **network extension**, not a greenfield project

Geography means **Sabesp builds less to deliver the same**

Capex per connection by component Sabesp vs. Competitor (BRL)

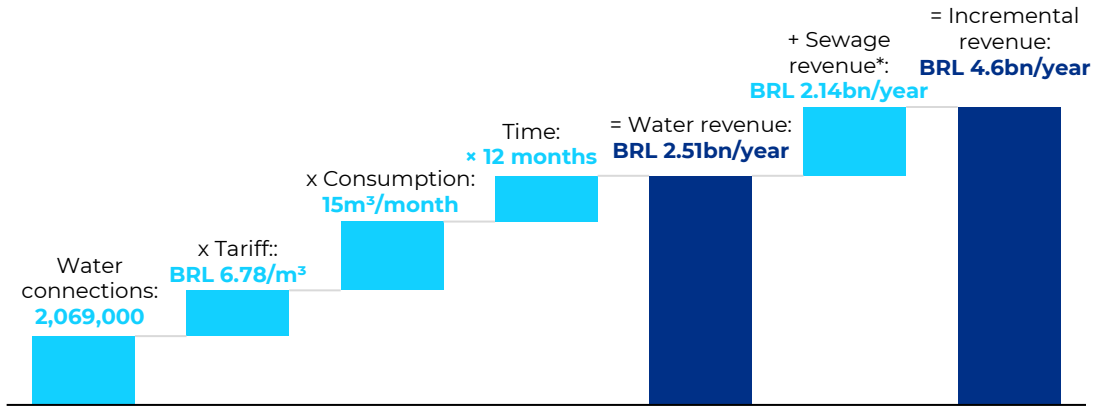


BRL 4.369/connection for Sabesp vs **BRL 5.006 greenfield**

× 2 mn connections = **BRL 1.3bn in capex savings**

A single concession win **adds BRL 4.6bn** to the top line

Possible incremental revenue of UniversalizaSP with URAE-1 tariff



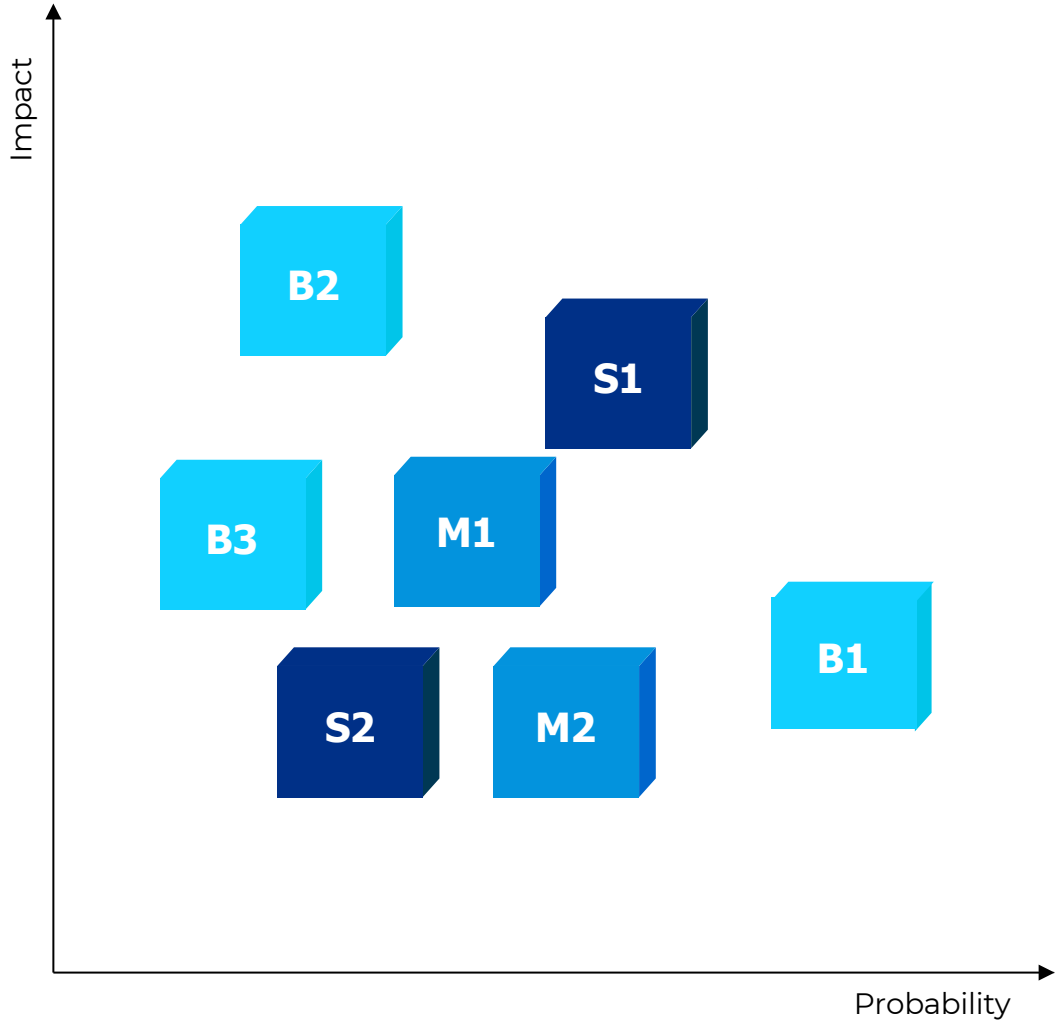
**Sewage revenue calculated based on proportions of URAE-1*

Sources: Company releases, Universaliza SP

RISKS

Risks

Key factors that impact the company's stability in a risk matrix



Business Risks (B)

B1: Accidents on critical infrastructure
B2: U-Factor penalty ahead BRL 70bn capex execution
B3: São Paulo FMSAI litigation

Macroeconomic risks (M)

M1: High interest rates with SELIC 14.5%
M2: FX exposure on foreign-currency debt

Sector risks (S)

S1: Recurring water crises
S2: Sector-wide supply chain constraints

Sources: Company releases,

I

Regulatory Edge

- São Paulo's binding concession **eliminates underinvestment risk** and mandates R$70bn in capex
- **FAUSP** institutionally **shields Sabesp's revenue** whenever tariffs are politically suppressed below equilibrium
- Contractual **rights offset the cost of universalization obligations**, preserving a favorable economic balance

II

Operational Efficiency

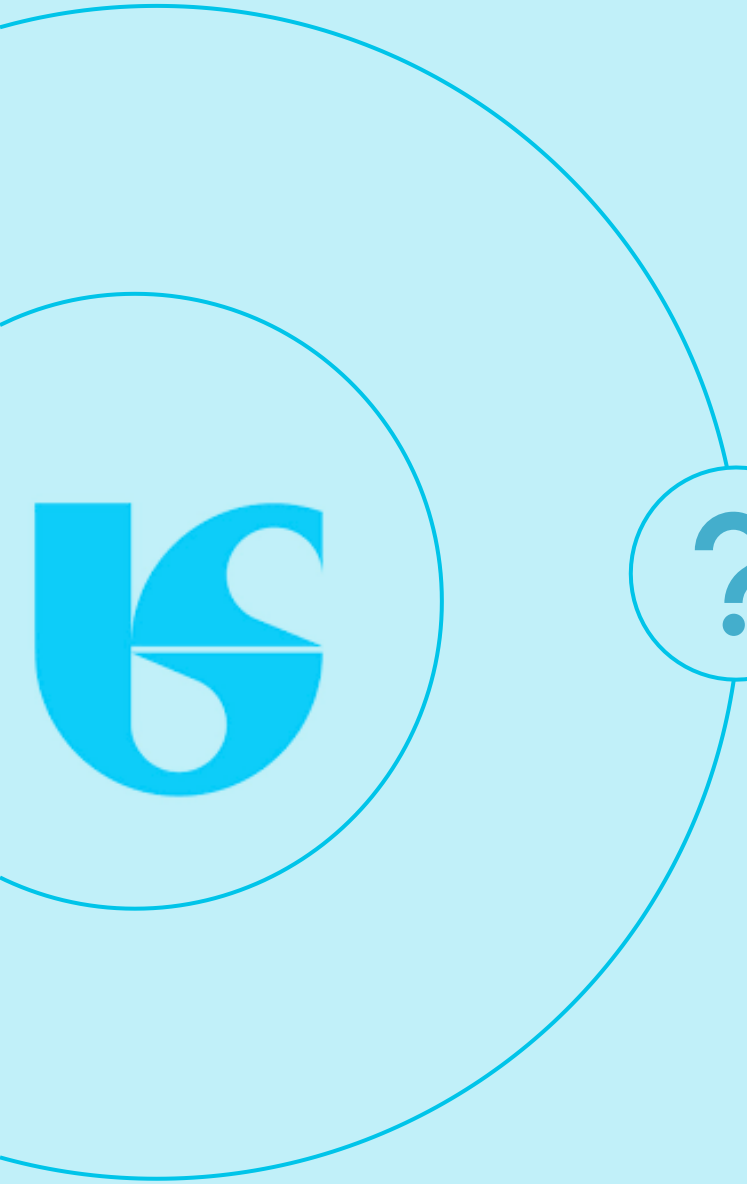
- **Equatorial's** execution **playbook is already visible** across personnel and energy cost lines since privatization
- **OPEX ceiling frozen** at 2024 levels until 2029, meaning every efficiency gain flows entirely to shareholders
- The shift from **X Factor** to **Q Factor** turned the tariff model into a **value engine**, with ROIC now structurally above WACC

III

Capital deployment

- **Lowest cost of debt among** peers, backed by exclusive multilateral DFI access competitors cannot replicate
- Certified **capex converts into permanent RAB**, compounding regulated remuneration each cycle
- **EMAE and UniversalizaSP extend the platform** into strategic assets and adjacent municipalities at an irreplicable advantage

BUY!



Q&A

Presentation Index

1. Sabesp at a glance

2. Industry overview

1st pillar: Regulatory edge

3. Legal framework before

4. Legal framework after Legal Mark

5. Not all concessions are created equal

6. Capital attractiveness driven by small tariff risk

7. Sabesp contractual obligations

8. Obligations come bundled with economic rights

9. FAUSP compensates Sabesp

10. Tames Water case study

2nd pillar: Operational Efficiency

11. Privatization resets control, incentives and execution

12. Equatorial brings the execution playbook

13. Turnaround is already visible

14. Tariff model monetizes gains

15. Old model, ROIC below WACC

16. New model, value engine

17. Now Sabesp is generating value

18. Tarrif adjustment drove revenue growth

19. Inefficiencies are identifiable

20. Inefficiencies are being attacked

3rd pillar: Disciplinned capital alocation

21. Funding advantage

22. Leverage remains healthy

23. Managment

24. RAB growth and model change

25. Future RAB conversion

26. EMAE proves allocation

27. UniversalizaSP is the next step

28. Risks

29. Thesis sumary

Appendix

Chain Value

Natural monopolies

Thames Water

Tariffary revenue formula

Debt profile

Funding sources

Multiple approach

EV/RAB multiple

EMAE

UniversalizaSP

IOC

Regional growth

Financials

ROIC DuPont

Risk

Water crises

FMSAI litigation

FX exposure

Recent events

Tax reform

SELIC at 14.50

Supply chain constrains

U Factor

Sewage pricing

Calculations

Capital remunaration

Regression

Incremental revenue

Base, Bear, Bull

FCFF and FCFE

Tariff breakdown

Last mile curve

How long to universalization

Sensibilization tariff

Clause 8

Cross subsidy

RAB

Capex UniversalizaSP

Transaction multiples

Regulatory remunaration

ROIC Sabesp

Ke Sabesp

Kd Sabesp

Capital structure

WACC Sabesp

Regulatory Wacc

Kd Sanepar

Kd Copasa

Kd Aegea

Dividend yield

Its model monetizes measured volume

From sourcing to billing the operational and commercial logic behind Sabesp's cash generation

Eight steps to deliver water. **One to collect payment**

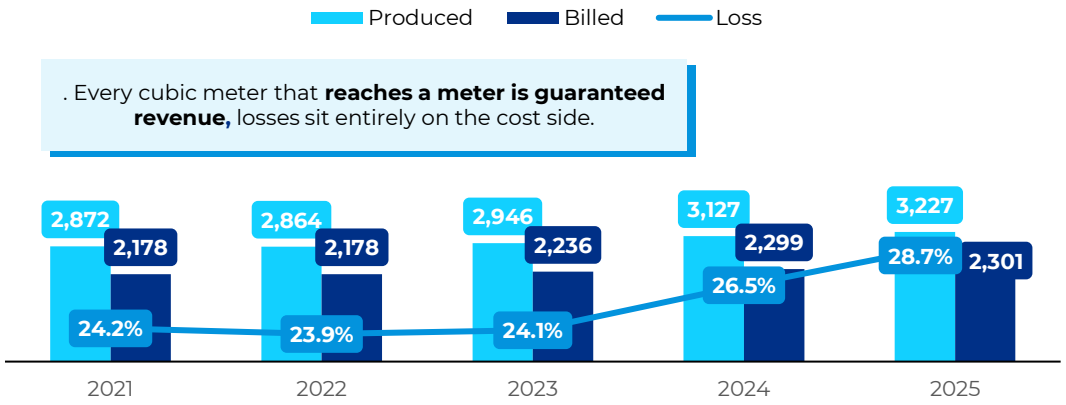
Key risk and cost per value chain stage



	Water Sourcing	Pumping	Coagulation, Flocculation	Decantation	Final Treatment	ETA Reservoir	Distribution
R	Drought exposure	Power interruption	Process failure	Sedimentation inefficiency	Contamination risk	Water quality deterioration	29% water loss
C	Reservoir infrastructure	Electricity cost	Maintenance labor	Sludge disposal	Compliance & QA	Infrastructure	Network maintenance

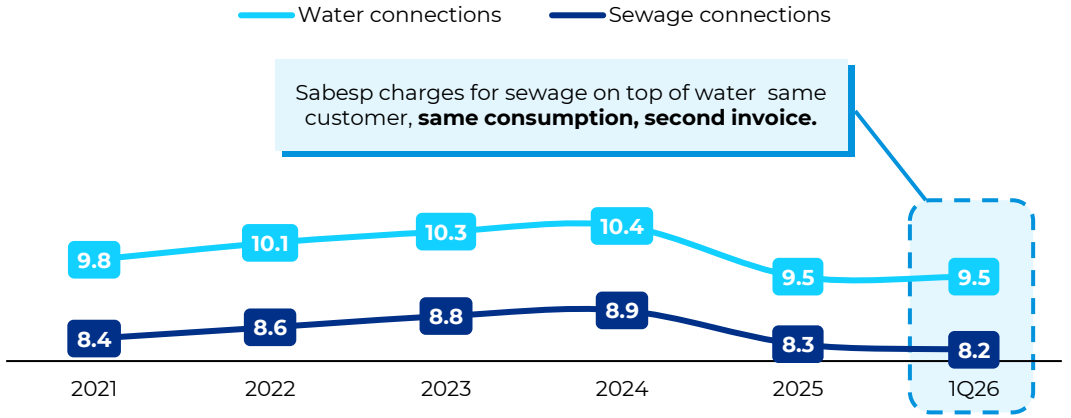
Sabesp bills what it measures, **not what it produces**

Water produced vs. billed volume (mn m³) and losses (%)



Every water connection is an **untapped sewage revenue**

Water vs. sewage active connections (BRL mn)



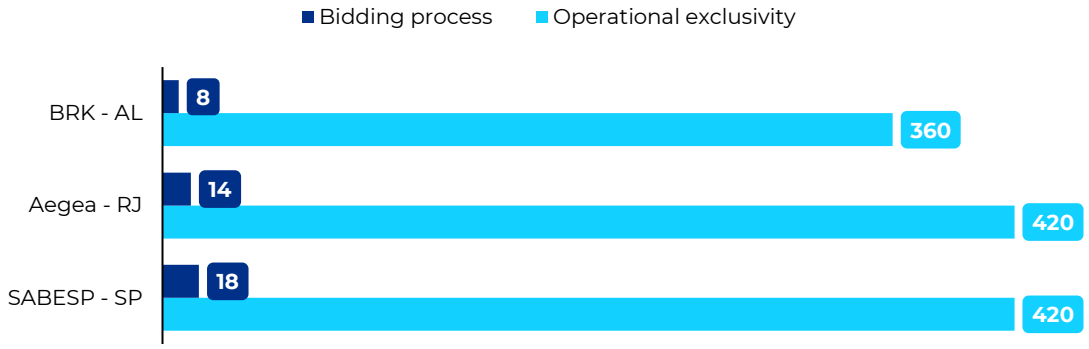
Sources: Sources: Company releases, ARSESP, SEMIL

Scale turns concessions into monopolies

Once a concession is secured, structural barriers make competition economically irrational

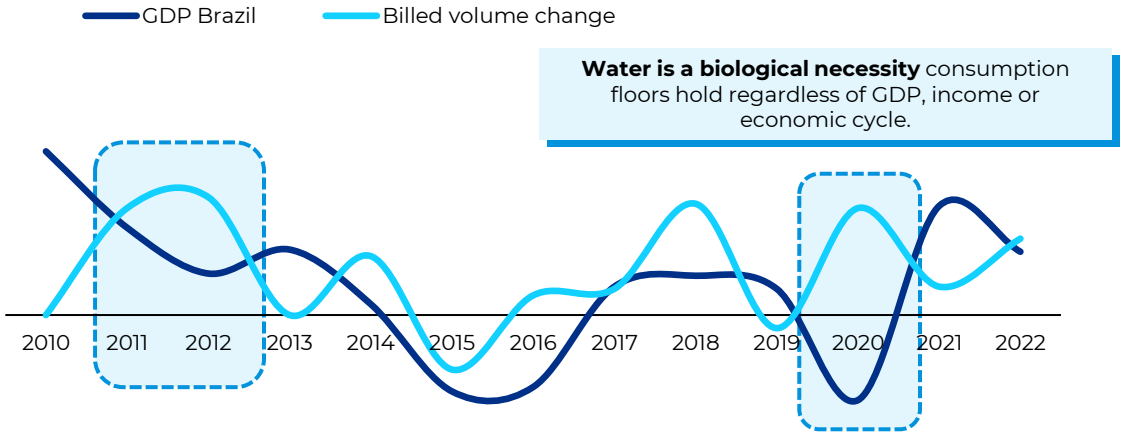
Operators **compete** for months...

Competition window vs. exclusivity period across concessions (months)



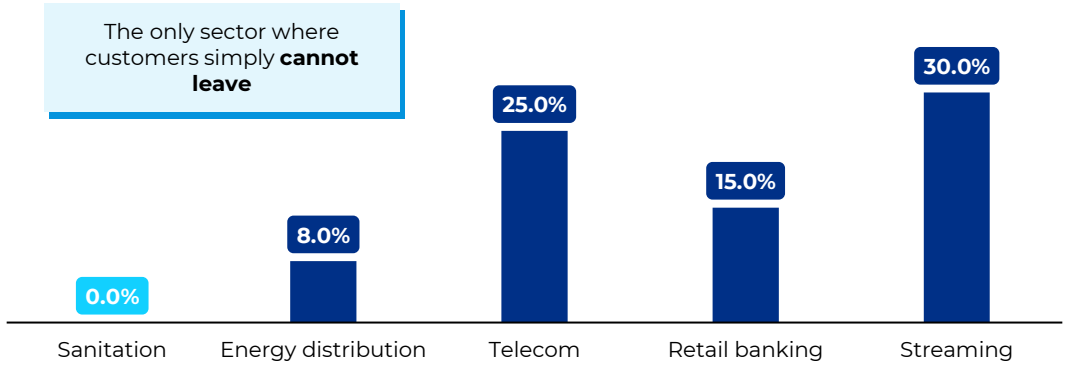
...to serve a demand that **never disappears**...

Brazil GPD vs Billed volume change (in %)



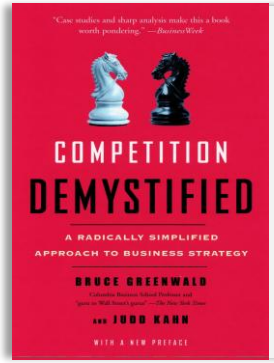
...through infrastructure customers **cannot replace**

Annual churn rate by sector, sanitation vs. competitive industries



Making network duplication economically **irrational**

Natural monopoly framework from Competition Demystified



*In **high fixed-cost industries**, adding a second network does not create efficiency, it **duplicates capital**, **fragments demand** and **lowers returns.***

Competition Demystified
Bruce Greenwald

Sources: Company releases, Competition Demystified

Thames Water case study

Chronic underinvestment, chronic underperformance.

The worst **water company in the UK**

The Guardian News



Less **CAPEX per capta** than the sector avarage

Spending less, leaking most.

	Thames Water	UK sector
Total capex/year (£mn)	1,000	5,500
Population served (mn)	15	60
Capex per capita (£/year)	67	92

Thames Water in the **leader in leakage**

Leakage per category

	2013-14	2014-15	2015-16	2016-17	2017-18
Water and Sewerage Companies					
Anglian (HPL subtracted)	189.18	187.95	178.04	180.04	177.92
Dwr Cymru	183.75	179.52	179.86	175.43	172.85
Northumbrian	134.03	136.77	134.66	133.82	137.05
Severn Trent	441	443.64	433.72	431.57	442.52
South West	84.07	84.36	83.75	84.4	83.35
Southern	84.59	81.69	83.91	88.11	88.68
Thames	644	653.96	642.46	677.15	695
United Utilities	452	453.61	451.86	439.22	453.52
Wessex	69	68.58	68.33	68.35	67.71
Yorkshire	282.47	288.42	285.12	295.16	300.27
Water only companies					
Affinity	180.74	183.49	180.89	172.99	172.67
Bournemouth	20.92	20.88	19.63	19.11	19.11
Bristol	44	45.12	44.22	46.42	46.64
Cambridge	12.71	13.53	13.24	14.32	14.4
Dee Valley	10.15	9.76	9.91	11.31	10.97
Essex and Suffolk	58.39	60.86	62.42	68.08	66.17
Hartlepool	3.82	4.05	4.61	4.69	4.53
Portsmouth	30	28.85	28.23	30.37	32.87
South East	92.56	92.45	88.11	88.63	87.69
South Staffs	66.9	69.22	69.88	69.85	72.41
SES Water	23.93	24.16	24.17	24.34	24.16
Industry	**3,108.21**	**3,130.86**	**3,087.02**	**3,123.35**	**3,170.48**

Sources: Company releases, The Guardian

Tariffary revenue formula

$$RTAplicação_t = [OPEX_{t-1} + Outras\ Despesas\ Operacionais_{t-1} + Remuneração\ do\ K_{t-1} + (Reintegração\ do\ K_{t-1} + RI_{t-1} - recursos\ destinados\ à\ modicidade\ tarifária) + Demanda\ Firme_{t-1}] - Rec.\ Adicionais_{t-1} - Rec.\ Complementares_{t-1} - Rec.\ Projetos\ Associados_{t-1} - FATOR\ K_{t-1} - Créditos\ Fiscais_{t-1}$$

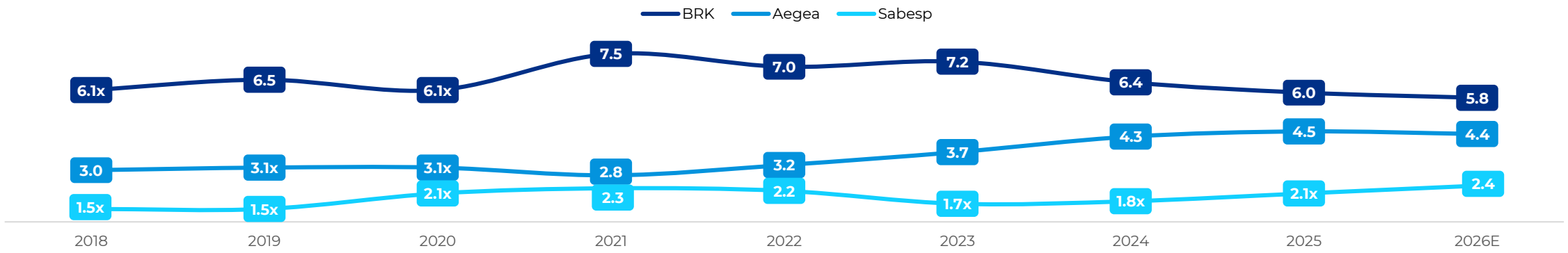
Sources: Arsesp

Sabesp has the balance sheet to fund the capex cycle

Lower leverage vs. peers and 64% of debt maturing post-2031 reduce refinancing risk during peak investment years

Sabesp is in **better position than private players**

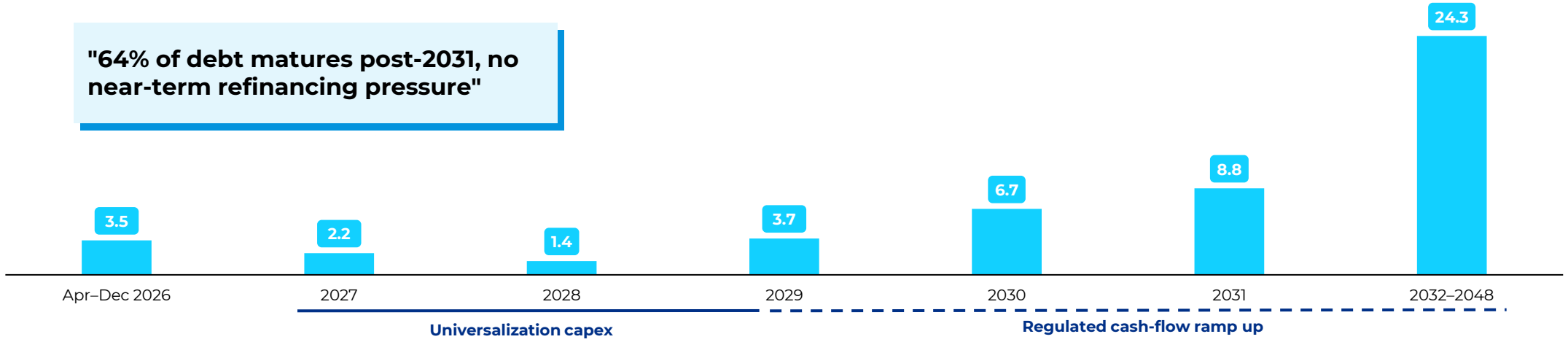
Net Debt/ EBITDA – Sabesp VS Peers



An has a comfortable **debt amortization profile**

Sabesp is funding the heaviest capex cycle in its history with a structure that protects returns and creates optionality

"64% of debt matures post-2031, no near-term refinancing pressure"



Sources: Company releases,

And is doing so with increasingly cheaper funding sources

Multilateral and blue bond funding expand while post-swap costs remain below market debentures

Debt mix shifting toward **strategic funding sources**

Debt composition by instrument type (BRL thousands)

Instrument	Mar-26 Total	Dec-25 Total
Consolidated		
Debentures	25,423,963	20,047,009
Multilaterals (BID, BIRD, JICA, IFC)	9,084,570	10,280,386
Blue Bonds (A/B + plain)	10,652,108	2,828,508
BNDES + CEF	2,368,479	2,453,598
Lease + Other + Accrued interest	1,113,505	2,332,846
Consolidated total	**51,642,625**	**40,142,347**
Parent company total	**51,998,433**	**40,301,603**
of which: domestic currency	36,770,651	32,562,992
of which: foreign currency	15,227,782	7,738,611
Consolidated–Parent delta (EMAE)	**(355,808)**	**(159,256)**

Multilateral debt prices **below market alternatives**

Post-swap CDI-equivalent rate by multilateral institution

Instrument	CDI-equivalent (post-swap)
JICA	CDI − 0.69% to CDI + 0.82%
BIRD	CDI − 0.66% to CDI + 0.41%
BID	CDI − 0.06% to CDI + 0.86%
IFC	CDI + 0.37% to CDI + 1.20%
Market debentures (reference)	**CDI + 0.80% to CDI + 1.60%**

Sources: Company releases

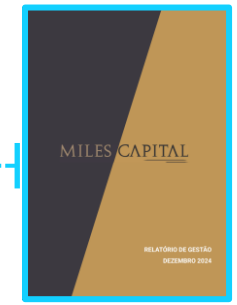
EV/RAB multiple: why sweet spot?

The multiple reflects how much of the regulatory return ceiling the market believes the company will actually deliver

Operational delivery defines the EV/RAB multiple

Sensitivity EBITDA/Regulatory and CAPEX/QRR

EV/RAB		EBITDA/Regulatory						
		0.70x	**0.80x**	**0.90x**	**1.00x**	**1.10x**	**1.20x**	**1.30x**
CAPEX/ QRR	**0.50x**	0.73x	0.82x	0.91x	1x	1.09x	1.18x	1.27x
	1.00x	0.7x	0.8x	0.9x	1x	1.1x	1.2x	1.3x
	1.50x	0.68x	0.78x	0.89x	1x	1.11x	1.22x	1.32x
	2.00x	0.65x	0.76x	0.88x	1x	1.12x	1.24x	1.35x
	2.50x	0.62x	0.74x	0.87x	1x	1.13x	1.26x	1.38x
	3.00x	0.58x	0.72x	0.86x	1x	1.14x	1.28x	1.42x



But the “sweet spot” creates **sustainable upside**

What each interval actually means

- **Below 1.0x Excess opex above the regulatory benchmark consumes the return the tariff** was designed to deliver to shareholders. The market prices this shortfall directly into the EV, pushing the multiple below the RAB. More capex under inefficiency destroys additional value.
- **1.0x** The company **spends exactly what the regulator assumed and finances at exactly the assumed WACC**. Every real of RAB earns its regulatory return. EV equals RAB by definition.
- **1.0x – 1.5x Opex below the regulatory benchmark and cost of debt structurally below the regulator's WACC** assumption generate returns above the contractual ceiling, pushing EV above RAB. RAB still growing means future regulatory revenue not yet priced. The gap between invested capital and recognized tariff revenue closes at RTP 2029.
- **Above 1.5x** Efficiency gains and RAB growth are fully reflected in the price. The Fator X mechanism systematically captures sustained outperformance and transfers it to consumers in subsequent tariff cycles, structurally capping the premium above 1.0x.

Sources: Miles Capital

EMAE: acquisition born from distress

Sabesp was the only natural buyer able to convert a stranded control block into operational and financial value.

Distress created the **opportunity**

Acquisition contexto timeline

Phoenix Água e Energia acquires EMAE control via debentures
Finances acquisition with debt, no strategic equity base.

Phoenix defaults: control block passes to Vórtx (fiduciary agent)
Vórtx has no strategic thesis for EMAE, no liquidity to repay debentureholders

Eletrobrás signs block-sale contract: R$476mn for 40.2% total capital
Non-core asset disposal post-privatization.

Control acquired from Vórtx — 74.9% voting
Sole rational buyer: only Sabesp can monetize Billings + Guarapiranga operationally.

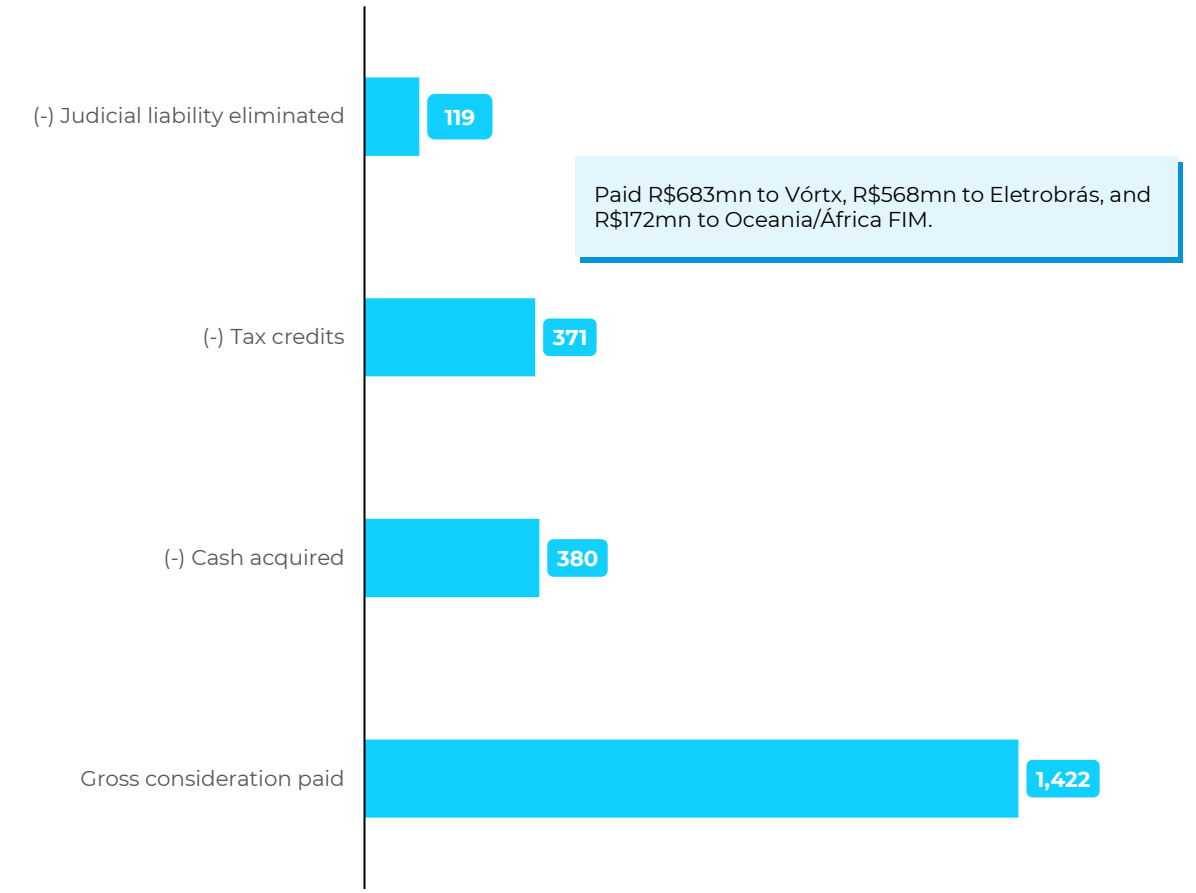
Eletrobrás (40.2%, R$568mn) + Oceania/África FIM (9.2%, R$172mn)
closed Stake reaches 79.3% total capital / 98.0% voting. OPA unificada submitted to CVM (Feb 2)

Share merger (incorporação) announced — EMAE to become wholly owned sub
OPA unificada at R$61.83/share. Simplifies corporate structure, reduces minority drag on P&L.

Sabesp acquired control from a zero-bargaining-power fiduciary, no competitive process, distressed seller, sole rational buyer"

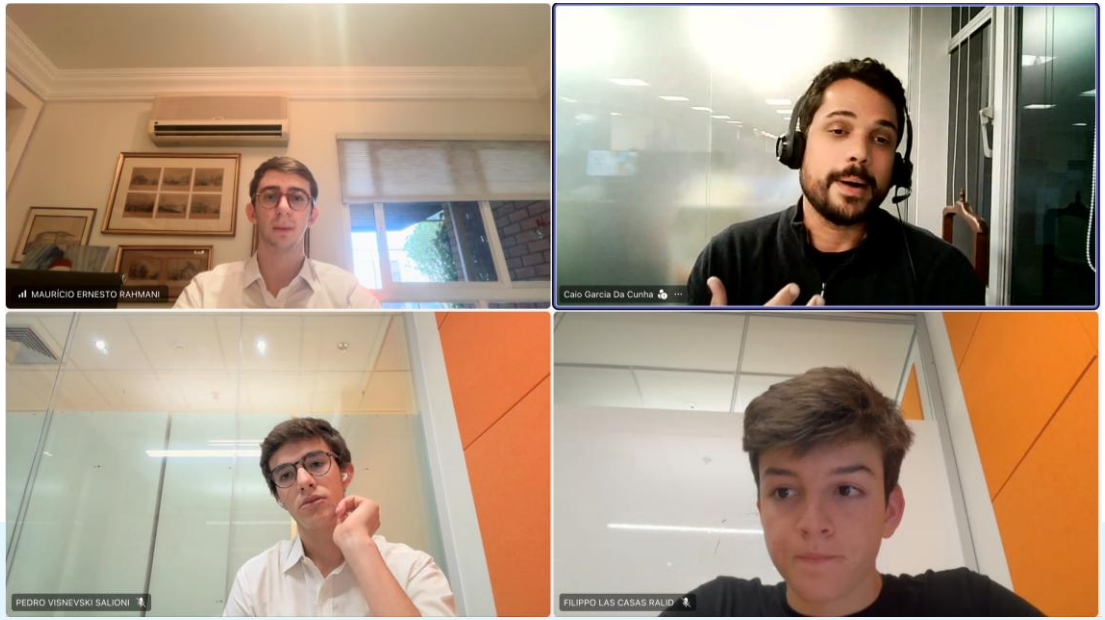
Gaining assets at a **discounted net cost**

What sabesp paid and obtained



Sources: Company releases, Valor Econômico, EMAE releases

EMAE gains



EMAE acquisition grants Sabesp unified operational control over the Billings reservoir complex, converting a legacy litigation liability into an integrated water management platform with a pipeline of value-accretive projects not yet priced by the market.

Caio Garcia
Sabesp's diretor of new business

EMAE, Opening Fair Value Balance Sheet (01 /01 /2026)

ASSETS	
Item	**Fair Value (R$ tn)**
Cash and equivalents	380,350
Accounts receivable	46,030
Taxes recoverable	371,325
Other assets	136,895
Judicial deposits	61,457
Deferred income tax (asset)	41,513
Investment properties	316,589
Financial asset (concession)	195,375
Intangible assets	19,253
Fixed assets	209,108
Total assets	**1,777,895**

LIABILITIES	
Item	**Fair Value (R$ thousand)**
Contractors and suppliers	28,797
Loans and financing (current)	448
Social and labor obligations	28,237
Taxes payable	9,297
Dividends and interest on equity payable	10,325
Other obligations	29,603
Loans and financing (non-current)	3,533
Provisions	174,066
Pension obligations	271,781
Contract liability	626,985
Total liabilities	**1,183,072**

Sources: EMAE releases

Hydrology is a risk Sabesp knows how to manage

Reservoirs are healthy today — and even when they're not, Sabesp has the tools to thrive

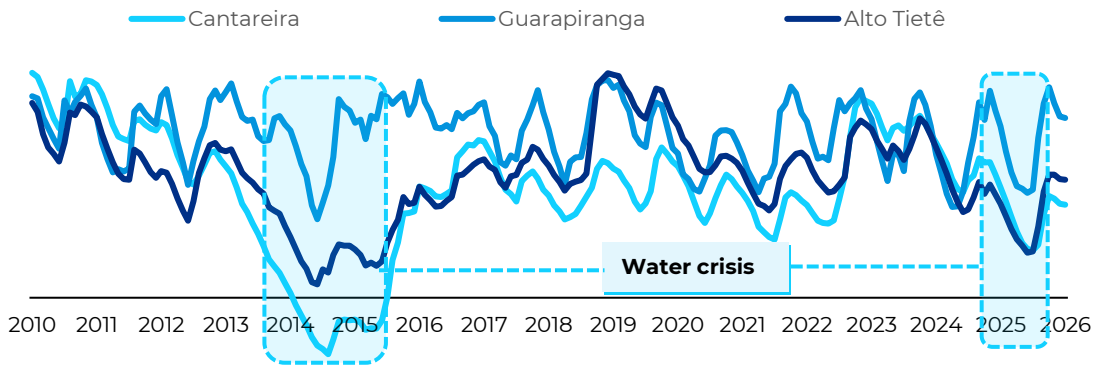
Reservoirs are currently at **safe levels...**

Capacity (mn/m³), % water levels and conditions for Sabesp reservoirs

Reservoir	Capacity (mi/m³)	% level	Condition
Cantareira	982	**40,00%**	**Normal**
Alto Tietê	520	**50,60%**	**Good**
Guarapiranga	171	**77,10%**	**Excelent**
Alto Cotia	16,5	**60,90%**	**good**
Rio Grande	112	**86,00%**	**Excelent**
Rio Claro	16	**65,20%**	**Good**
São Lourenço	89	**95,00%**	**Excelent**

...but history shows how quickly **they can collapse...**

Water level (%) for the three main reservoirs



...each point lost hits EBITDA, but **the contract hits back**

Volume losses are contractually recoverable through tariff adjustment

1% impact on Cantareira → ~BRL R$270 mn EBITDA reduction

Drought driven ETR

Under the URAE-1 contract, a **severe drought triggers an Extraordinary Tariff Review**, allowing Sabesp to pass additional costs through to the tariff.

Sources: Company releases

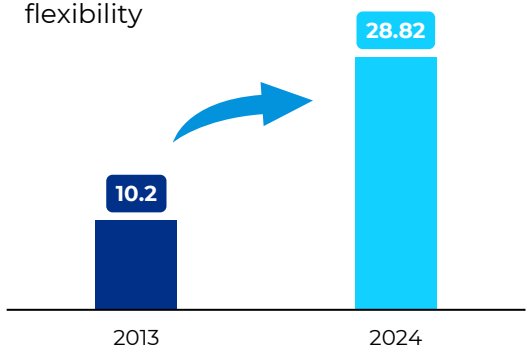
A system that can also fight back

The same drought shock now has a smaller impact on water availability

When one reservoir falls, **the network redistributes**

Transposition capacity (m^3/s) between reservoirs, 2013 vs. 2024

3× increase in redistribution flexibility



In 2013, when Cantareira collapsed, **there was nowhere to redirect supply**

Today, seven reservoirs are interconnected, **when one falls, the others compensate actively**

Concentration turns **drought into crisis**.

Distribution makes it **manageable**

The 7 systems draw from **different watersheds**

SIM water sources by watershed and production contribution, 2024

System	Watershed	Share of total (%)
Cantareira	PCJ/Piracicaba/Capivari/Jundiaí	42.7
Alto Tietê	Alto Tietê	19.2
Guarapiranga	Alto Tietê	18.5
São Lourenço	Sorocaba/Médio Tietê	6
Rio Claro	Alto Tietê	7
Rio Grande	Alto Tietê	4.5
Alto Cotia	Alto Tietê	1.5

49,000 hectares of protected forest slow reservoir decline

Atlantic Forest impact in water crises

I

Interception

Canopy captures and slowly releases rainfall

Eliminates peak runoff water enters the system gradually

II

Infiltration

Forested soil absorbs up to 10× more than bare soil

Underground storage feeds springs continuously

III

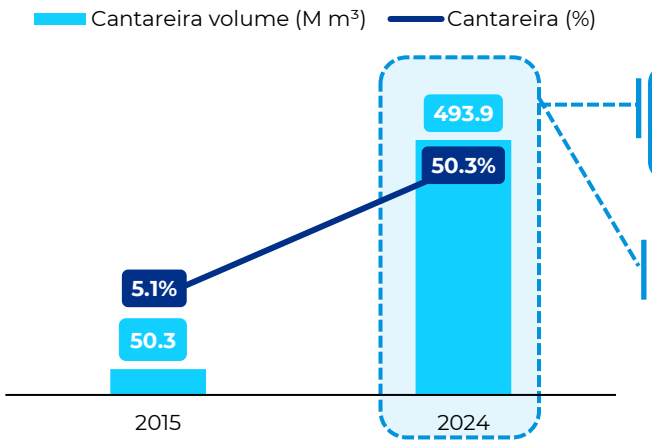
Baseflow

Groundwater sustains inflow weeks after last rain

Reservoir decline slows even without new precipitation

Same drought intensity. Cantareira **went from 5% to 50%**

Cantareira reservoir level



Worst dry season in 20 years the precipitation comparison holds

At 50.3%, Cantareira operates at **full extraction rights.**
At 5.1%, it was drawing from the technical reserve **with zero flexibility left**

Sources: Company releases

UniversalizaSP: Sabesp's case for expansion

Same framework, 42% RAB upside, state-backed returns

Sabesp already operates the **regulatory framework**

UniversalizaSP core regulatory model

Regulatory framework overview

Asset base methodology:	BAR Rolling Forward
Capital remuneration:	WACC post-tax CAPM Country Spread
Efficiency factor:	Fator X = Malmquist
Performance metrics:	Fator U, P, Q
Regulator:	ARSESP
Tariff cycles:	Annual reajuste + quinquennial review
State subsidy mechanism:	Auxílio via segregated accounts

UniversalizaSP **represents inorganic RAB expansion**

InfoMoney RAB analysis

InfoMoney

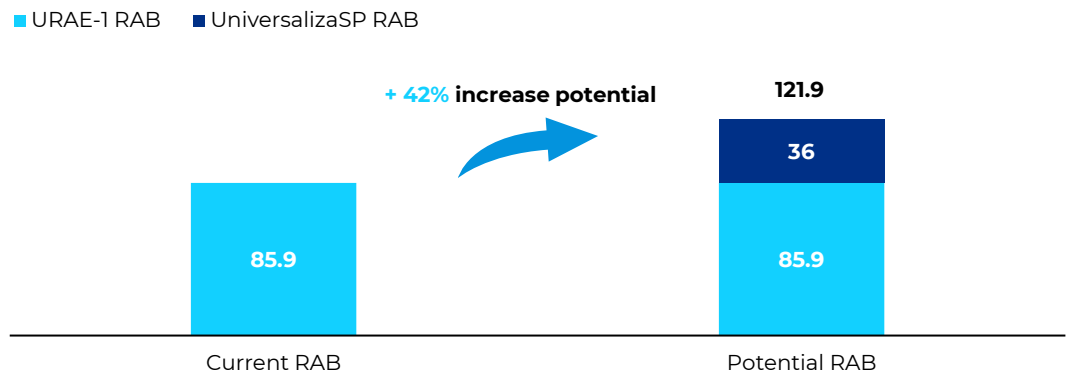
"Sabesp presents a new post-privatization phase."

"The primary target is the UniversalizaSP program, which is expected to auction off operations in approximately 230 municipalities in São Paulo state that are still managed by state entities. These projects represent an opportunity ***for BRL 36 billion in NET RAB.****"*

April, 10, 2026

An auction **adds 42%** to Sabesp's **regulatory asset base**

Real Net RAB VS Potential Net RAB (BRL bn)



Sources: Arsesp, InfoMoney

IOC (Integrated operation centers)

Integrated operations turn scale into efficiency gains

R$2bn investment in operational automation, announced as one of three flagship efficiency projects for 2026 alongside chemicals and logistics

Service route optimization — centralized field crew dispatch cuts travel time and response time, attacking one of the company's largest operational cost lines

Opex capture — core piece of the package targeting over R$1bn in cost savings throughout 2026/2027 (COI + chemicals R$600mn/year + logistics R$320mn/year)

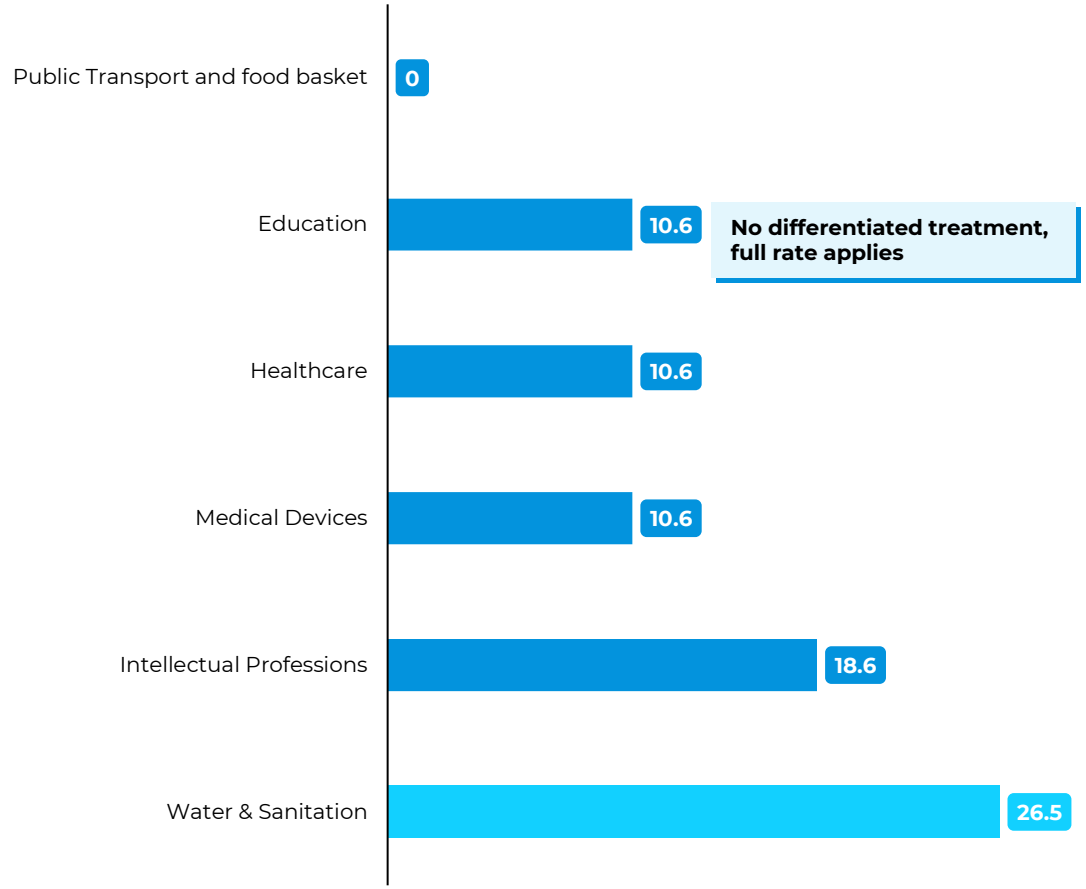
Sources: Company releases

Tax Reform Impact on Sabesp

Full rate applies, but credits cap the damage; timing is the real risk.

Sanitation gets the **full IVA rate**

Applicable IVA rate by sector



But **credits** and **pass-through reduce the hit**

Effective burden mitigants

I Under **art. 374, LC 214/2025**, any proven increase in tax burden triggers a mandatory tariff adjustment. Cost passed to the consumer, not the margin.

II The 26.5% gross rate **overstates the real impact**. Under the IVA, Sabesp **recovers credits across its entire input chain:** energy, chemicals, equipment, third-party services, materially **reducing the effective net burden.**

Yet, **timing** creates **margin pressure**

Tax impact vs. tariff recovery

2027

IVA enters into force, CBS replaces PIS/COFINS in full. Sabesp's effective **tax burden begins to rise**.

2029

ARSESP tariff review: tax burden passed through to consumers, margin restored.

~2yr gap: tax burden rises in 2027, but tariff adjustment only comes in 2029, creating a **margin compression risk.**

Sources: Company releases, CNN, Senado Federal

FMSAI turned a municipal obligation into a regulatory drag

For more than a decade, Sabesp absorbed a tariff gap that only became contractually neutralized under URAE-1

How the tariff gap evolved across three **regulatory regimes**

Regulatory recognition vs. contractual obligation

The city of São Paulo represents 45% of Sabesp's gross operating revenue!

2009

Municipal **Law No. 14.934/2009** creates the **FMSAI**. Fund designed to **capture Sabesp's revenue** within the municipality of São Paulo and redirect it toward **urban infrastructure**.

2010

The State of São Paulo and the City Hall sign a joint operating agreement. Sabesp enters a **30-year service contract** and assumes a **binding obligation to transfer 7.5% of gross revenue generated within the municipality to the fund**.

2018

In Deliberation **No. 794/2018**, ARSESP begins **allowing up to 4% of transfers** to municipal infrastructure funds to be **recognized within the tariff**.

2024

Gap contractually recognized in the URAE-1 concession. Full regulatory implementation **pending ARSESP regulation**

	2010–2018	2018–2023	2024+ (URAE-1)
Mandatory transfer	7.5% gross revenue SP	7.5% gross revenue SP	7.5% gross revenue SP
Tariff recognition (ARSESP)	0%	4%	7.5%
Gap absorbed by Sabesp	7.5%	3.5%	0%
Consumer tariff pass-through	0%	4%	7.5%
Prospective risk	N/A	Structural	Contractually mitigated

R$5.9bn transferred from Sabesp to FMSAI

2010 → **2024**

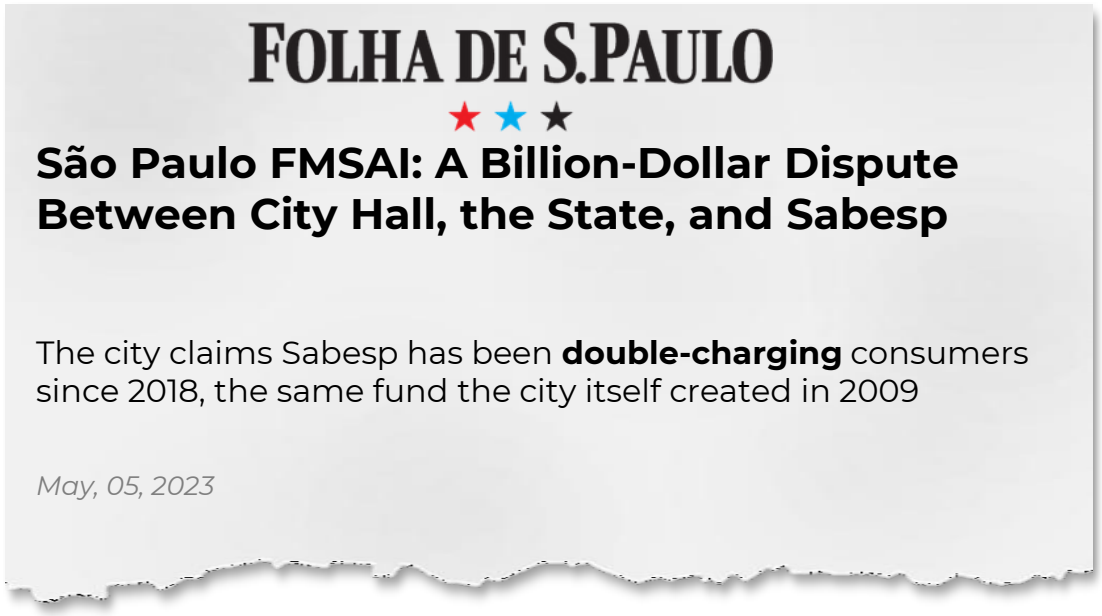
Sources: Company releases, Agência São Paulo

The remaining FMSAI risk is historical, not prospective

The dispute is backward-looking, while the new contract mitigates future risk.

City Hall **challenged the past tariff gap**

Media coverage of City Hall's claim against Sabesp, the State and ARSESP



FOLHA DE S.PAULO

São Paulo FMSAI: A Billion-Dollar Dispute Between City Hall, the State, and Sabesp

The city claims Sabesp has been **double-charging** consumers since 2018, the same fund the city itself created in 2009

May, 05, 2023

New concession terms **weakened the incentive to litigate**

Sequence of lawsuit events, negotiation milestones and remaining risk assessment

July 2021

City Hall files a civil public lawsuit against Sabesp, the State of São Paulo, and ARSESP.

August 2021

City Hall requests suspension of the case for amicable negotiation, less than 30 days after filing.

2024*

In the context of the privatization, City Hall negotiates and secures better terms: FMSAI transfer rises from 3% to 5.5% of projected revenue for 2025–2029, and a 25% investment commitment on city revenue is guaranteed.

Feb 2025

Case remains frozen at plaintiff's own request

Contestable period	2018–2023 only
Provisioned as probable liability	No
Active incentive to litigate	None, City Hall secured compensation via new contract
Prospective risk	Contractually mitigated, pending full ARSESP regulation

*This refers to the advance payment terms negotiated with City Hall in the privatization context, separate from the 7.5% gross revenue obligation which remains unchanged

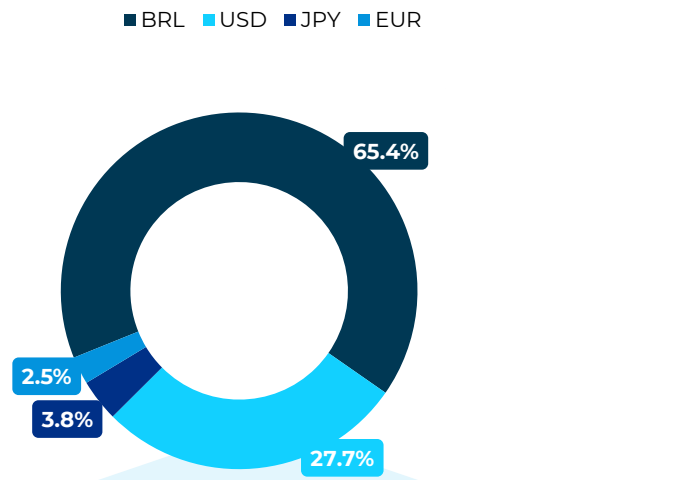
Sources: Company releases, Agência São Paulo, Folha de São Paulo

FX Exposure: A Known Risk, A Managed Position

Foreign-currency debt creates structural mismatch, covered by cross-currency swaps

FX debt introduces **accounting volatility**

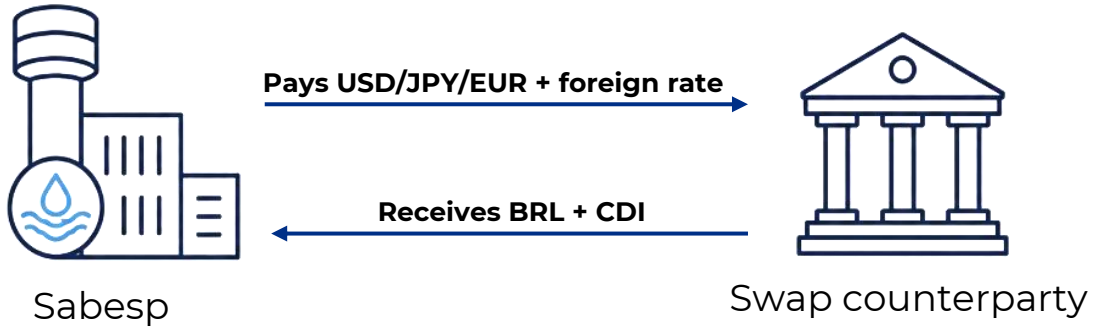
Debt composition by currency , March 2026, % of total debt



R$17.9bn in foreign-currency debt against zero FX revenue. **A 10% BRL depreciation would generate a R$1.1bn pre-tax loss** (Dec/25 base, excluding hedge), with FX exposure up 68% since then, current sensitivity is materially higher.

while hedging **reduces economic exposure**

Cross-currency swap mechanism



Currency	FX Debt Outstanding	Swap Notional	Coverage
USD	US$ 2.7bn	US$ 2.4bn + NDF US$ 150mn	100%
JPY	JPY 60.5bn	JPY 66.8bn	100%
EUR	€ 220mn	€ 220mn	100%

100% of FX debt covered by cross-currency swaps, economic FX exposure is minimal!

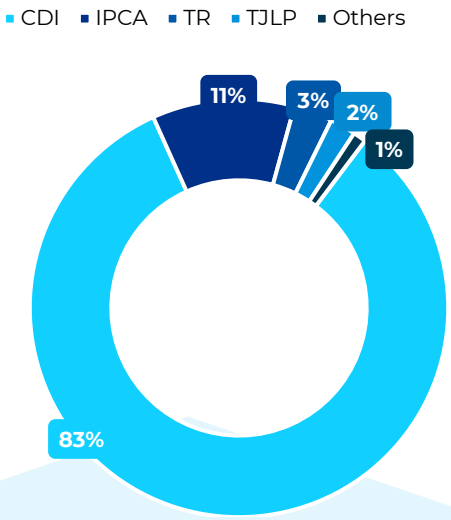
Sources: Company releases, Agência São Paulo

Selic at 14.50: a known risk

High Selic compresses margins , but the exposure is fully quantified and deliberate

High Selic **compresses margins...**

Debt composition by benchmark index (%), post-FX hedges



Sabesp carries R$52B in total debt, **83% CDI-linked** (post- fx hedges). Sensitivity verified in the financial statements: **+1pp in the Selic rate corrs R$459M pre-tax impact per year.**

...but Sabesp **knows exactly what it's paying for**

Full debt stack converted to CDI: predictability over optimization

Original Currency/Index	Derivative instrument	Conversion
IPCA	Interest rate swap	CDI
Iene	Cross-currency swap	CDI
Dollar	Cross-currency swap	CDI
Euro	Cross-currency swap	CDI
Dollar	Non-Deliverable Forward	CDI

Through rate and currency swaps, Sabesp converts its entire debt stack into CDI: uniform, predictable, and fully indexed.

Sabesp trades yield optimization for predictability, knowing exactly what each basis point of Selic means to its bottom line.

Sources: Company releases

Supply chain constrains

"Mitigating systemic price pressures from market concentration through strategic supplier diversification."

Critical input **market concentration...** ...deepens sector **demand effect...** ...mitigation: **supplier diversification**

There are are **few suppliers for essential products**, that cannot be easly substituted in the short-term

Polyethylene and concrete pipes, chlorine, sodium hypochlorite, ferric chloride, and hydrofluosilicic acid.

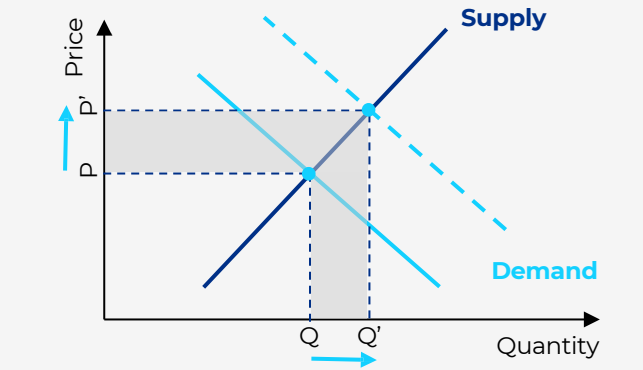
TIGRE

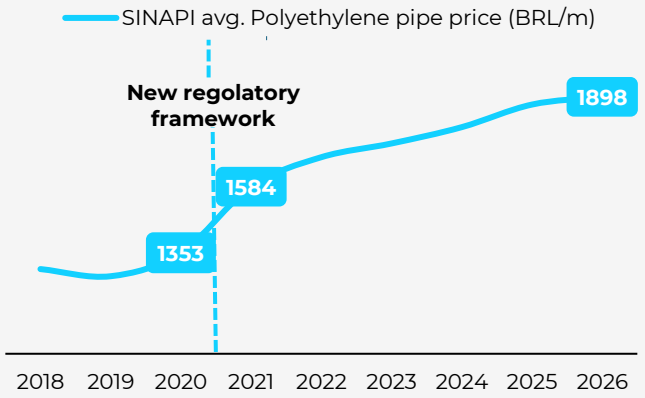
Braskem

Itron

OEC

Universalization targets create systemic price pressure:





"**The development of new domestic and international suppliers** is carried out on an ongoing basis and evaluates several requirements, including the production process, from raw materials to the finished product."

Sustainability report, 2024

Sources: Company releases

Recent events

A timeline of recent infrastructure failures and operational incidents affecting key areas

Water main break in Osasco

Apr/26



Gas explosion in Jaguaré

may/26



Reservoir collapse in Mairiporã

mar/26



Gas leak in São Paulo

jun/26



Sources: Valor Econômico, Globo, CNN

Recent events

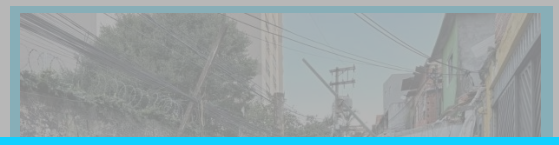
A timeline of recent infrastructure failures and operational incidents affecting key areas

Water main break in Osasco



Apr/26

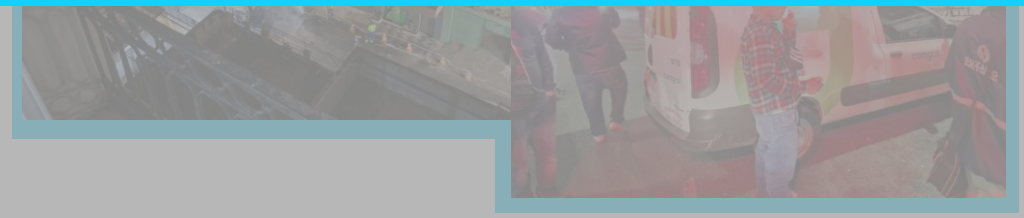
Gas explosion in Jaguaré



may/26

What is Sabesp doing about this?





The response: a new security protocol

The plan was announced in June 2026 following the Jaguaré accident and is structured around three pillars

Pillar 1: engineering protocols

New preventive protocols and safety measures

"attention zone" around gas pipelines in 60+ worksites

1 m ----------→ 3 m

Teams are now required to:

- **Open trenches** for visual confirmation of gas pipe
- Use **ground-penetrating radar** and **real-time gas detectors**

Rapid evacuation plans were created for suspected leak scenarios!

Pillar 2: inspection and monitoring

Scaling oversight via larger workforce and tech

New monitoring policies

Field supervisors will **increase from 200 to 600**

All **worksites will be monitored 24/7** from a Control and Monitoring Center

AI-enabled cameras will flag safety deviations in real time

strategic deployment prioritizing high-risk areas

Pillar 3: training and certification

Mandatory certification for everyone



"The Jaguaré accident made clear we needed to go beyond what technical norms require."

Carlos Piani, CEO, Sabesp

Expansion of **mandatory training for both direct employees and contractors**

FOLHA DE S.PAULO

Sabesp announces new safety protocols to prevent disasters like the one in Jaguaré, São Paulo.

The company will intensify inspection and monitoring of construction projects using AI-powered cameras., Confirmation of the gas network will have to be visual, with holes made without the use of machinery.

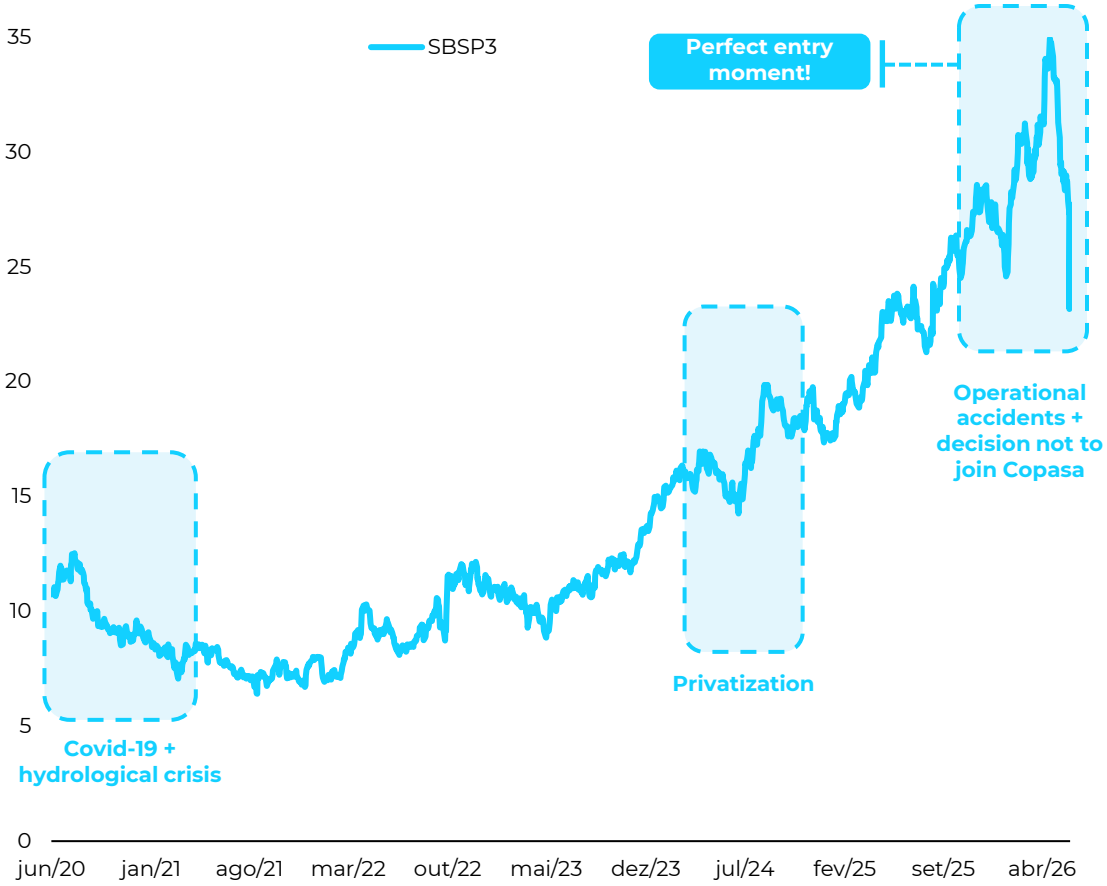
Sources: Company releases

Multiple approach

Sabesp last 5 Years P/E NTM

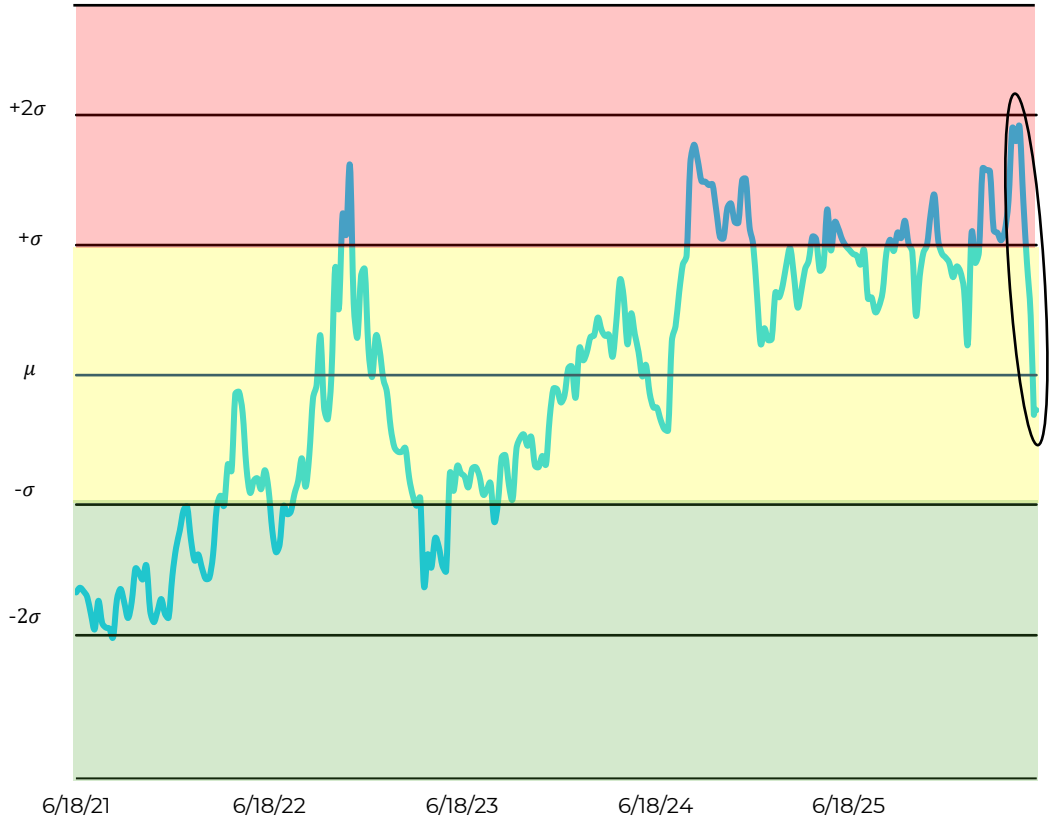
Consistent increase in price, but with a **recent pullback**

Sabesp's stock price since jun/2020



...trading at **lower multiples** vs. historical levels

Sabesp's P/E NTM



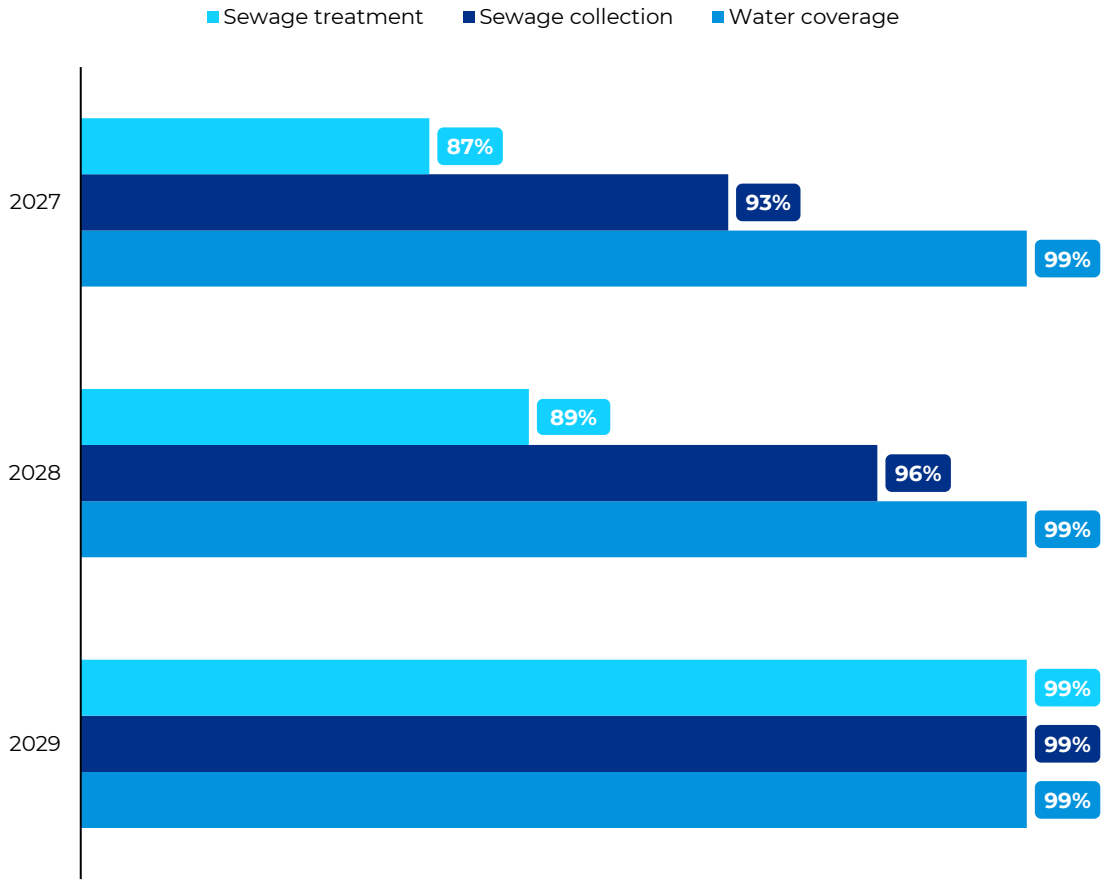
Sources: Company releases, Bloomberg

The path to universalization

Navigating strict regulatory timelines with solid and measurable progress across all segments

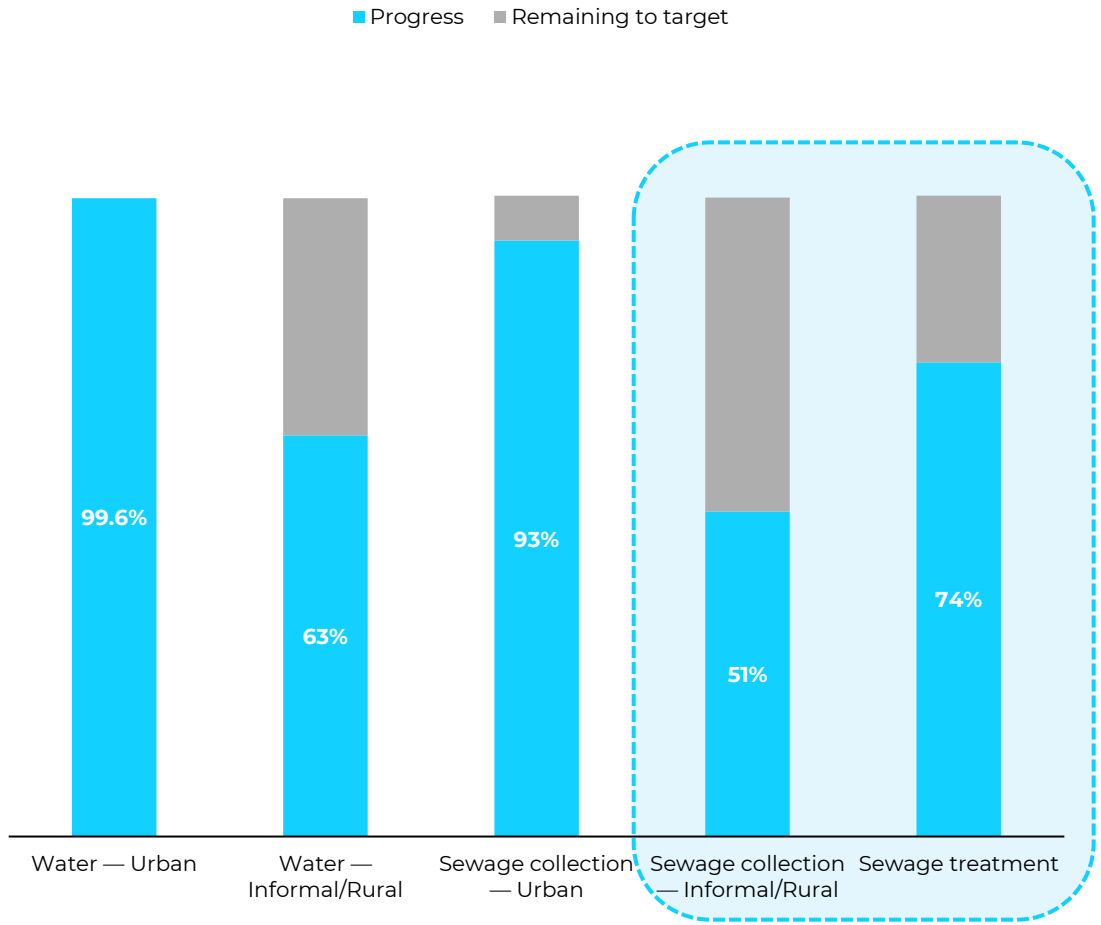
Strict **universalization goals**

Universalization goals for Sabesp (2027, 2028 and 2029)



...that are **being achieved**

Progress and remaining progress regarding the goals



Sources: Company releases, Arsesp

Factor U risk

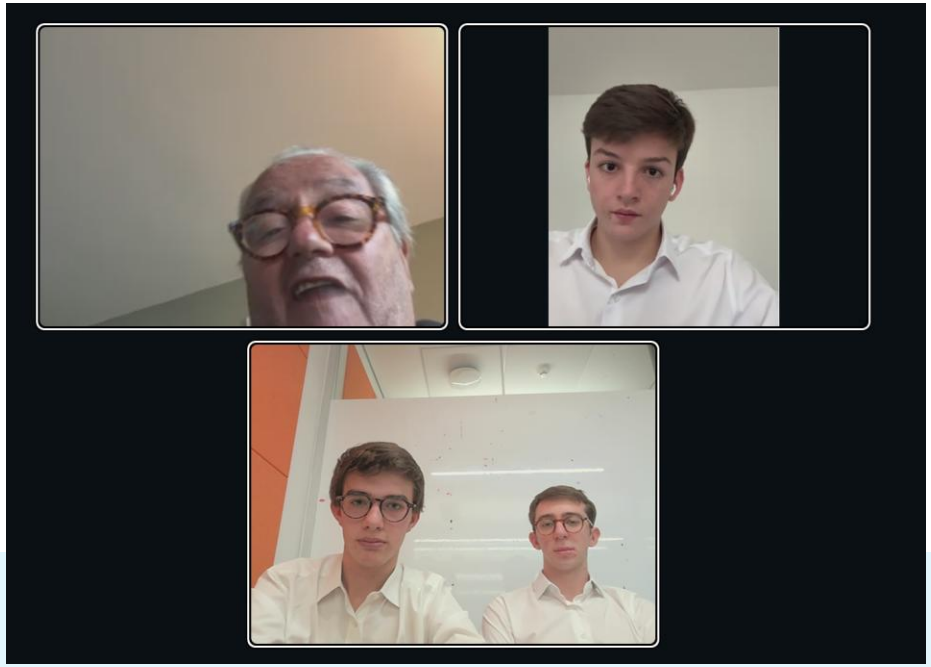


"Universalization risk still exists, but **privatization changes the incentive structure**. **A state-owned Sabesp** could more easily **defer targets under political pressure**. A privatized Sabesp, however, has **contractual obligations, regulatory scrutiny and shareholder incentives pushing in the same direction**. Universalization becomes the path to protect the concession, expand RAB, increase regulated revenues and justify the investment case. So the risk is not eliminated, but the probability of execution is much higher."

Rodrigo Giarola
Senior Tax and Infrastructure lawyer at Pinheiro Neto

Sources: Rodrigo Giarola

Sewage pricing



One of Sabesp's structural challenges is **sewage pricing**. Unlike water, sewage is billed as a **percentage of the water bill meaning the tariff doesn't reflect the real cost of network expansion**, limiting the economic incentive to close the coverage gap where it's most needed.

Rogerio Gragnani Leite
Former CFO at Sabesp

Sources: Rogerio Gragnani

Sabesp Prioritizes Growth Within São Paulo

Management's guidance points to São Paulo-based expansion, and the Copasa decision shows this discipline in practice

Guidance was clear: **defend São Paulo first**

Carlos Piani expansion guidance



"In São Paulo, we continue to evaluate smaller tuck-in opportunities to **defend our geographic position,** given virtually zero marginal service costs. We also see relevant opportunities in universalization and urban drainage, subject to caution and an adequate regulatory framework."

Carlos Piani, CEO, Sabesp

Capital discipline was already **visible**

Brazil journal news about Copasa deal

Brazil Journal

Why Sabesp Stayed Out of Copasa

*Sabesp **passed on Copasa** as **valuation and political/regulatory uncertainty made the risk-return unattractive** while management reiterated that **growth opportunities remain inside São Paulo.***

May, 21, 2026

Sources: Company releases, Brazil Journal

Dividend yield

Dividend yield: *Dividend LTM / market cap*

Date	SBSP3 Market Value	Dividend (R$/sh)
30/06/2020		
30/09/2020		
31/12/2020		
31/03/2021	33,3	R$ 0,398
30/06/2021	37,4	
30/09/2021	40,6	
31/12/2021	36,2	
31/03/2022	43,9	R$ 0,943
30/06/2022	32,1	
30/09/2022	38,4	
31/12/2022	39,6	
31/03/2023	29,7	R$ 1,276
30/06/2023	33,6	
30/09/2023	26,9	
31/12/2023	28,6	
28/03/2024	27,2	R$ 1,440
28/06/2024	30,0	
30/09/2024	26,1	
31/12/2024	81,1	
31/03/2025	93,9	R$ 0,746
30/06/2025	92,2	
30/09/2025	86,6	
31/12/2025	88,7	R$ 5,628
31/03/2026	95,4	R$ 0,167

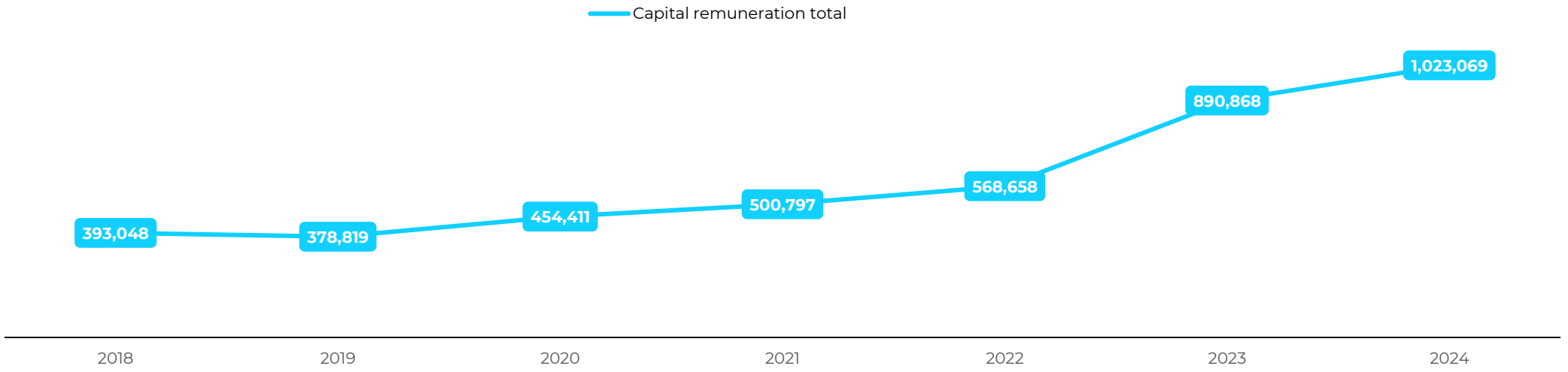
Quarter	DY LTM
1T21	0,8%
2T21	0,8%
3T21	0,7%
4T21	0,8%
1T22	1,5%
2T22	2,1%
3T22	1,7%
4T22	1,7%
1T23	3,0%
2T23	2,7%
3T23	3,3%
4T23	3,1%
1T24	3,7%
2T24	3,4%
3T24	3,9%
4T24	1,3%
1T25	5,6%
2T25	0,6%
3T25	0,6%
4T25	5,9%
1T26	4,9%

Sources: Company releases

Capital remuneration 2018-2025

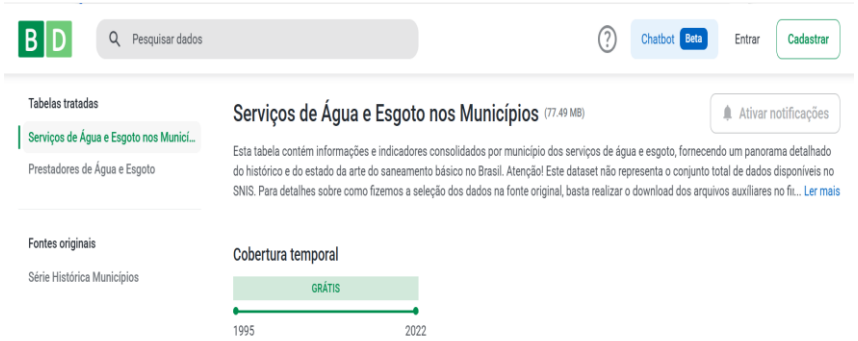
Higher investment directly expands the regulated earnings base

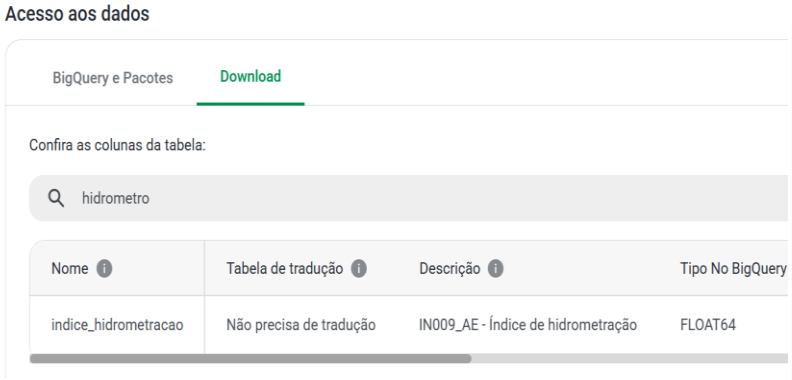
Year	CAPEX	Wacc regulatorio	RAB (bn)	Incremental rab (bn)	ΔCapital remuneration (bn)	Capital remuneration Total (bn)
2018	2.2		38.4		-	-
2019	3.3	9.54%	41.2	2.8	0.26712	3.93048
2020	4.4	8.59%	44.1	2.9	0.24911	3.78819
2021	5	8.59%	52.9	8.8	0.75592	4.54411
2022	5.4	8.59%	58.3	5.4	0.46386	5.00797
2023	6.3	8.59%	66.2	7.9	0.67861	5.68658
2024	6.9	11.91%	74.8	8.6	1.02426	8.90868
2025	15.2	11.91%	85.9	11.1	1.32201	10.23069

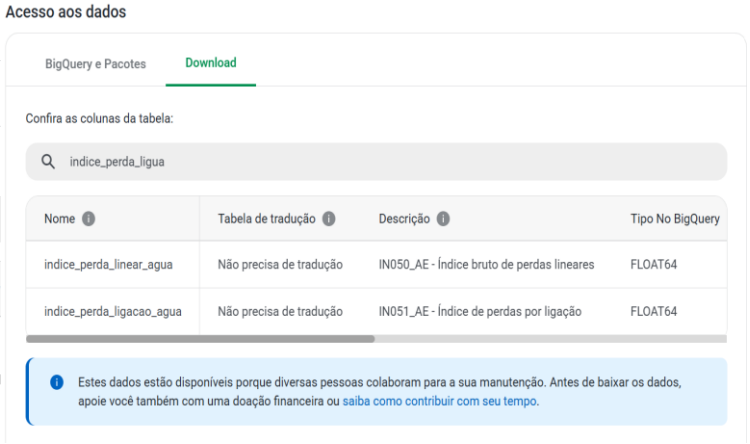


Sources: Company releases, Arsesp

IPGR and Python









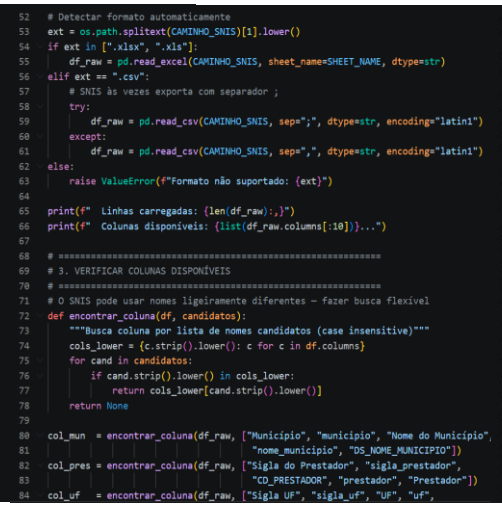
```
# 1. PARÂMETROS — ajuste o caminho do arquivo SNIS
# ============================================================
CAMINHO_SNIS = "snis_serie_historica_2023.xlsx"   # ← altere para o caminho real
SHEET_NAME   = 0                                  # primeira aba, ou nome da aba

# Nomes das colunas — o SNIS às vezes usa nomes ligeiramente diferentes por ano
# Ajuste se necessário após abrir o arquivo e verificar os cabeçalhos
COL_MUNICIPIO = "Município"
COL_PRESTADOR = "Sigla do Prestador"
COL_UF        = "Sigla UF"
COL_IN051     = "IN051"     # IPGR — 1/ramal/dia (mais próximo do que usamos)
COL_IN049     = "IN049"     # Perdas na distribuição (%) — alternativa
COL_AG001     = "AG001"     # Ligações de água ativas

# ============================================================
# 2. CARREGAR O ARQUIVO
# ============================================================
print(f"Carregando {CAMINHO_SNIS}...")

# Detectar formato automaticamente
ext = os.path.splitext(CAMINHO_SNIS)[1].lower()
if ext in [".xlsx", ".xls"]:
    df_raw = pd.read_excel(CAMINHO_SNIS, sheet_name=SHEET_NAME, dtype=str)
elif ext == ".csv":
    # SNIS às vezes exporta com separador ;
    try:
        df_raw = pd.read_csv(CAMINHO_SNIS, sep=";", dtype=str, encoding="latin1")
    except:
        df_raw = pd.read_csv(CAMINHO_SNIS, sep=",", dtype=str, encoding="latin1")
else:
    raise ValueError(f"Formato não suportado: {ext}")

print(f"  Linhas carregadas: {len(df_raw):,}")
```



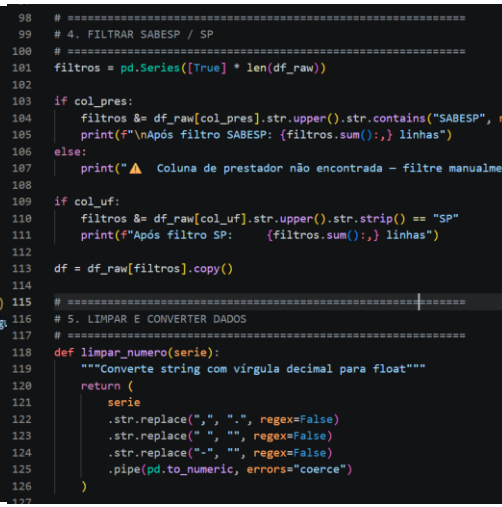
```
# Detectar formato automaticamente
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    df_raw = pd.read_excel(CAMINHO_SNIS, sheet_name=SHEET_NAME, dtype=str)
elif ext == ".csv":
    # SNIS às vezes exporta com separador ;
    try:
        df_raw = pd.read_csv(CAMINHO_SNIS, sep=";", dtype=str, encoding="latin1")
    except:
        df_raw = pd.read_csv(CAMINHO_SNIS, sep=",", dtype=str, encoding="latin1")
else:
    raise ValueError(f"Formato não suportado: {ext}")

print(f"  Linhas carregadas: {len(df_raw):,}")
print(f"  Colunas disponíveis: {list(df_raw.columns[:10])}...")

# ============================================================
# 3. VERIFICAR COLUNAS DISPONÍVEIS
# ============================================================
# O SNIS pode usar nomes ligeiramente diferentes — fazer busca flexível
def encontrar_coluna(df, candidatos):
    """Busca coluna por lista de nomes candidatos (case insensitive)"""
    cols_lower = {c.strip().lower(): c for c in df.columns}
    for cand in candidatos:
        if cand.strip().lower() in cols_lower:
            return cols_lower[cand.strip().lower()]
    return None

col_mun  = encontrar_coluna(df_raw, ["Município", "municipio", "Nome do Município",
                                     "nome_municipio", "DS_NOME_MUNICIPIO"])
col_pres = encontrar_coluna(df_raw, ["Sigla do Prestador", "sigla_prestador",
                                     "CD_PRESTADOR", "prestador", "Prestador"])
col_uf   = encontrar_coluna(df_raw, ["Sigla UF", "sigla_uf", "UF", "uf",
                                     "SG_ESTADO", "Estado"])
col_i051 = encontrar_coluna(df_raw, ["IN051", "in051", "IN051 - Índice de Perdas por Ramal"])
col_i049 = encontrar_coluna(df_raw, ["IN049", "in049", "IN049 - Índice de Perdas na Distribuição"])
col_ag01 = encontrar_coluna(df_raw, ["AG001", "ag001", "AG001 - Quantidade de Ligações Ativas de Ág

print(f"\nColunas identificadas:")
print(f"  Município : {col_mun}")
print(f"  Prestador : {col_pres}")
print(f"  UF        : {col_uf}")
print(f"  IN051     : {col_i051}  ← IPGR principal")
print(f"  IN049     : {col_i049}  ← alternativa")
print(f"  AG001     : {col_ag01}  ← ligações ativas")
```



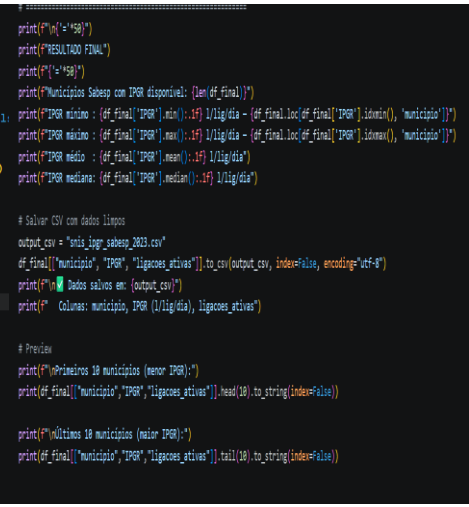
```
# ============================================================
# 4. FILTRAR SABESP / SP
# ============================================================
filtros = pd.Series([True] * len(df_raw))

if col_pres:
    filtros &= df_raw[col_pres].str.upper().str.contains("SABESP", na=Fal
    print(f"\nApós filtro SABESP: {filtros.sum():,} linhas")
else:
    print("⚠  Coluna de prestador não encontrada — filtre manualmente")

if col_uf:
    filtros &= df_raw[col_uf].str.upper().str.strip() == "SP"
    print(f"Após filtro SP:     {filtros.sum():,} linhas")

df = df_raw[filtros].copy()

# ============================================================
# 5. LIMPAR E CONVERTER DADOS
# ============================================================
def limpar_numero(serie):
    """Converte string com vírgula decimal para float"""
    return (
        serie
        .str.replace(".", "", regex=False)
        .str.replace(" ", "", regex=False)
        .str.replace("-", "", regex=False)
        .pipe(pd.to_numeric, errors="coerce")
    )
```



```
print(f"\n{'='*50}")
print(f"RESULTADO FINAL")
print(f"{'='*50}")
print(f"Municípios Sabesp com IPGR disponível: {len(df_final)}")
print(f"IPGR mínimo : {df_final['IPGR'].min():.1f} l/lig/dia — {df_final.loc[df_final['IPGR'].idxmin(), 'municipio']}")
print(f"IPGR máximo : {df_final['IPGR'].max():.1f} l/lig/dia — {df_final.loc[df_final['IPGR'].idxmax(), 'municipio']}")
print(f"IPGR médio  : {df_final['IPGR'].mean():.1f} l/lig/dia")
print(f"IPGR mediana: {df_final['IPGR'].median():.1f} l/lig/dia")

# Salvar CSV com dados limpos
output_csv = "snis_ipgr_sabesp_2023.csv"
df_final[["municipio", "IPGR", "ligacoes_ativas"]].to_csv(output_csv, index=False, encoding="utf-8")
print(f"\n✅ Dados salvos em: {output_csv}")
print(f"   Colunas: municipio, IPGR (l/lig/dia), ligacoes_ativas")

# Preview
print(f"\nPrimeiros 10 municípios (menor IPGR):")
print(df_final[["municipio","IPGR","ligacoes_ativas"]].head(10).to_string(index=False))

print(f"\nÚltimos 10 municípios (maior IPGR):")
print(df_final[["municipio","IPGR","ligacoes_ativas"]].tail(10).to_string(index=False))
```


Appendix

Sources: Sinis

Regression data used (Python output)

Municipality	% Analog	IPGR (l/lig/day)
São Paulo	80%	170
Santana de Parnaíba	82%	195
Barueri	83%	190
São Bernardo do Campo	84%	180
Santo André	85%	185
Guarulhos	86%	195
Cotia	87%	210
Campinas	87%	230
Jundiaí	87%	225
Ribeirão Preto	87%	235
Diadema	89%	220
Itatiba	89%	238
Osasco	88%	210
São José dos Campos	88%	240
Taboão da Serra	88%	205
Indaiatuba	89%	235
São José do Rio Preto	89%	248
Americana	90%	240
Itupeva	90%	235
Mauá	90%	230
Piracicaba	90%	245
Caieiras	91%	242
Carapicuíba	91%	225
Embu	91%	245
Hortolândia	91%	248
Mogi das Cruzes	91%	240
Taubaté	91%	250
Itapecerica da Serra	92%	250
Jacareí	92%	255
Limeira	92%	255
São Carlos	92%	255
Sumaré	92%	252
Suzano	92%	248
Araraquara	93%	260
Atibaia	93%	245
Bauru	93%	265
Bragança Paulista	93%	248
Embu-Guaçu	93%	255
Ferraz de Vasconcelos	93%	260
Franco da Rocha	93%	258
Itu	93%	258
Itapetininga	93%	258
Itaquaquecetuba	93%	255
Botucatu	94%	268
Francisco Morato	94%	265
Franca	94%	270
Guaratinguetá	94%	255
Pindamonhangaba	94%	252
Presidente Prudente	94%	275
Araçatuba	95%	278
Assis	95%	278
Lorena	95%	258
Marília	95%	280
Ourinhos	95%	278
Santos	95%	360
Cataduva	96%	282
Cubatão	96%	380
Tupã	96%	290
Votuporanga	96%	285
Andradina	97%	298
Fernandópolis	97%	295
Itapeva	97%	305
São Vicente	97%	390
Guarujá	98%	420
Praia Grande	98%	410
Apiaí	99%	412
Bertioga	99%	445
Cajati	99%	410
Caraguatatuba	99%	435
Iguape	99%	400
Itanhaém	99%	420
Juquiá	99%	400
Mongaguá	99%	415
Peruíbe	99%	425
Registro	99%	310
São Sebastião	99%	430
Ubatuba	99%	440
Barra do Turvo	100%	416
Cananéia	100%	415
Eldorado	100%	420
Ilhabela	100%	450
Iporanga	100%	418
Sete Barras	100%	405
Mairiporã	89.00%	187.7
Jandira	89.10%	188.9
Cajamar	89.30%	191.4
Campo Limpo Paulista	89.40%	193.5
Itapevi	89.40%	193.1
Várzea Paulista	89.50%	194.9
Pirapora do Bom Jesus	89.60%	195.2
Vargem Grande Paulista	89.60%	195.4
São Lourenço da Serra	89.70%	196.9
Jarinu	89.80%	199
Nazaré Paulista	89.80%	198.3
Araçariguama	89.90%	199.4
Cabreúva	90.00%	201.4
São Roque	90.00%	200.5
Juquitiba	90.30%	204.6
Piracaia	90.40%	206.1
Igaratá	90.50%	208.1
Alumínio	90.60%	208.7
Ibiúna	90.60%	208.8
Morungaba	90.70%	210.5
Vargem	90.80%	211
Joanópolis	91.00%	213.4
Pinhalzinho	91.10%	215.2
Pedra Bela	91.20%	216.8
Piedade	91.40%	218.8
Elias Fausto	91.60%	222.1
Monte Mor	91.60%	221.4
Paulínia	91.80%	224.9
Socorro	91.80%	224.4
Salto de Pirapora	91.90%	225.9
Serra Negra	91.90%	225.5
Caçapava	92.10%	227.8
Iperó	92.10%	228.3
Monteiro Lobato	92.10%	228.5
Boituva	92.30%	231.4
Capela do Alto	92.50%	233.2
Mombuca	92.60%	234.2
Pilar do Sul	92.60%	234.3
Sarapuí	92.60%	234.7
Santo Antônio do Pinhal	92.70%	236.4
Tremembé	92.80%	237.4
Alambari	92.90%	238.6
Tatuí	92.90%	239.2
Cesário Lange	93.20%	242.4
Saltinho	93.20%	242.5
São Bento do Sapucaí	93.20%	242.6
Laranjal Paulista	93.40%	244.7
Espírito Santo do Pinhal	93.50%	246.2
Campos do Jordão	93.60%	247.4
Pereiras	93.70%	248.5
Quadra	93.70%	249.7
Santo Antônio do Jardim	93.70%	248.9
São Miguel Arcanjo	93.70%	248.6
Roseira	93.90%	251.5
Charqueada	94.00%	253.3
Lagoinha	94.00%	253.2
Conchas	94.20%	255.8
Porangaba	94.20%	255.2
Aguaí	94.30%	257
Águas de São Pedro	94.30%	256.5
Guareí	94.40%	258.8
São João da Boa Vista	94.40%	257.6
Torre de Pedra	94.40%	258.6
Águas da Prata	94.50%	259.8
Anhembi	94.80%	263
Bofete	94.80%	263.9
Angatuba	95.20%	268.6
Canas	95.20%	268.3
Pardinho	95.20%	269.2
Campina do Monte Alegre	95.30%	270.2
Itobi	95.30%	269.8
Santa Maria da Serra	95.30%	270.2
Cachoeira Paulista	95.40%	270.7
Torrinha	95.50%	272
Divinolândia	95.60%	273.2
Buri	95.70%	274.5
Silveiras	95.80%	276.9
Itatinga	96.10%	280.9
Lavrinhas	96.10%	280.4
Tapiratiba	96.40%	284.4
Taquarivaí	96.40%	283.6
Mococa	96.50%	285.9
Paranapanema	96.50%	285.3
Queluz	96.50%	285.2
São Manuel	96.50%	285.3
Pratânia	96.80%	288.9
Arealópolis	96.90%	291.1
Dourado	96.90%	291.3
Avaré	97.30%	295.5
Cássia dos Coqueiros	97.40%	297
Bocaina	97.50%	298.9
Cajuru	97.50%	299
Bananal	97.70%	301.5
Santa Cruz da Esperança	97.70%	301.4
Itaí	97.80%	302.3
Serra Azul	97.80%	301.9
Arandu	97.90%	303.4
Boracéia	98.20%	307.8
Itaberá	98.20%	307
Iaras	98.30%	308.7
Pederneiras	98.30%	308.7
Taquarituba	98.40%	309.9
Coronel Macedo	98.70%	314.1
Guariba	98.70%	314
Tejupá	98.70%	314.7
Agudos	98.80%	314.8
Águas de Santa Bárbara	98.80%	316
Santa Ernestina	98.90%	316.8
Itararé	99.00%	318
Itapirapuã Paulista	99.10%	319.4
Piraju	99.10%	319.7
Taguaí	99.10%	319.7
Arealva	99.20%	320
Piratininga	99.20%	320.3
Óleo	99.30%	321.8
Itaporanga	99.40%	323.1
Paulistânia	99.40%	323.2
Riversul	99.40%	322.7
Sarutaiá	99.50%	324.1
Bernardino de Campos	99.60%	325.9
Fartura	99.60%	325.9
Barão de Antonina	99.70%	327.7
Espírito Santo do Turvo	99.70%	327.3
Itirapuã	99.80%	328.3
Cândido Rodrigues	99.90%	330.1
Adamantina	100%	427.5
Adolfo	100%	371.7
Alfredo Marcondes	100%	436.8
Altair	100%	377
Alto Alegre	100%	386
Alvinlândia	100%	347.4
Anhumas	100%	432
Aparecida d'Oeste	100%	450
Arco-Íris	100%	393.6
Aspásia	100%	450
Auriflama	100%	431.1
Avaí	100%	331.2
Balbinos	100%	339.7
Barra do Chapéu	100%	431.1
Bastos	100%	405.3
Bento de Abreu	100%	423.3
Bom Sucesso de Itararé	100%	433
Borá	100%	387.3
Brejo Alegre	100%	398.9
Buritizal	100%	357.4
Calabu	100%	428.7
Capão Bonito	100%	385.4
Cardoso	100%	425
Catiguá	100%	355.7
Colômbia	100%	376.6
Coronados	100%	397.2
Cruzália	100%	394.2
Dirce Reis	100%	437.9
Dolcinópolis	100%	445.1
Duartina	100%	332.5
Echaporã	100%	369.5
Emilianópolis	100%	443.2
Estrela d'Oeste	100%	435.1
Estrela do Norte	100%	443.7
Euclides da Cunha Paulista	100%	450
Fernando Prestes	100%	333.4
Fernão	100%	338.6
Flora Rica	100%	439.9
Floreal	100%	412.2
Flórida Paulista	100%	433.1
Gabriel Monteiro	100%	405.9
Gastão Vidigal	100%	408.7
General Salgado	100%	424.7
Glicério	100%	393.2
Guapiara	100%	400.3
Guaraní d'Oeste	100%	440.2
Guzolândia	100%	436.8
Gália	100%	340.7
Iacri	100%	401.6
Ibirá	100%	360.9
Icém	100%	387.7
Ilha Comprida	100%	385.2
Indiaporã	100%	440.3
Inúbia Paulista	100%	418.8
Irapuã	100%	362.3
Jaborandi	100%	351.9
Jacupiranga	100%	392.3
Jales	100%	440.7
Jeriquara	100%	349.3
Lins	100%	362
Lourdes	100%	406.5
Luciandópolis	100%	336.4
Lucélia	100%	423.1
Luzitânia	100%	392.1
Lupércio	100%	350.5
Lutécia	100%	380.1
Macedônia	100%	432.7
Magda	100%	417.6
Marabá Paulista	100%	450
Maracaí	100%	397.3
Marinópolis	100%	445.3
Mariápolis	100%	428.1
Meridiano	100%	422.1
Mesópolis	100%	450
Miguelópolis	100%	367.5
Mira Estrela	100%	435.5
Mirante do Paranapanema	100%	450
Monte Alto	100%	330.9
Monte Aprazível	100%	394.6
Monções	100%	402.6
Narandiba	100%	434.2
Nhandeara	100%	408.3
Nipoã	100%	389
Nova Campina	100%	420.7
Nova Canaã Paulista	100%	450
Nova Granada	100%	387.8
Nova Guataporanga	100%	450
Nova Luzitânia	100%	408.8
Novo Horizonte	100%	351.3
Olímpia	100%	367.9
Onda Verde	100%	379.6
Oriente	100%	369.6
Orindiúva	100%	398.7
Oscar Bressane	100%	374.5
Osvaldo Cruz	100%	414.5
Ouroeste	100%	447.3
Palmares Paulista	100%	345.8
Palmeira d'Oeste	100%	442.7
Paraguaçu Paulista	100%	391.4
Paranapuã	100%	449.8
Parapuã	100%	410.6
Pariquera-Açu	100%	380.4
Paulo de Faria	100%	408.1
Pedranópolis	100%	425.7
Pedregulho	100%	356.9
Pedrinhas Paulista	100%	395.8
Piacatu	100%	408.6
Piquerobi	100%	450
Pirapozinho	100%	439.5
Planalto	100%	391.8
Platina	100%	367.1
Poloni	100%	396.2
Pongaí	100%	345.8
Pontalinda	100%	433.6
Pontes Gestal	100%	414.2
Populina	100%	450
Pracinha	100%	422.9
Presidente Alves	100%	337.9
Presidente Bernardes	100%	445.5
Presidente Epitácio	100%	450
Quatá	100%	395.5
Queiroz	100%	384.1
Quintana	100%	383.4
Regente Feijó	100%	427.8
Restinga	100%	331.5
Ribeira	100%	431.5
Ribeirão Branco	100%	412.9
Ribeirão Corrente	100%	344
Ribeirão Grande	100%	390.8
Ribeirão do Sul	100%	351.3
Ribeirão dos Índios	100%	448.2
Rifaina	100%	361.2
Riolândia	100%	418.1
Rosana	100%	450
Rubinéia	100%	450
Rubiácea	100%	419.7
Sagres	100%	418.7
Salmourão	100%	418.2
Sandovalina	100%	450
Santa Albertina	100%	450
Santa Clara d'Oeste	100%	450
Santa Cruz do Rio Pardo	100%	333.8
Santa Mercedes	100%	450
Santana da Ponte Pensa	100%	450
Santo Anastácio	100%	450
Santo Expedito	100%	437.1
Santópolis do Aguapeí	100%	399.6
Sebastianópolis do Sul	100%	404.4
Sud Mennucci	100%	443.6
São Francisco	100%	443
São João das Duas Pontes	100%	429.4
Taciba	100%	425.7
Tapiraí	100%	352.5
Tarabai	100%	442.1
Tarumã	100%	384.9
Teodoro Sampaio	100%	450
Timburi	100%	331.2
Três Fronteiras	100%	450
Turiúba	100%	401.2
Turmalina	100%	444.4
Ubirajara	100%	341.2
União Paulista	100%	393.8
Uru	100%	341.9
Urânia	100%	446.8
Valentim Gentil	100%	418.5
Vitória Brasil	100%	440.6
Zacarias	100%	393.7
Álvares Machado	100%	439.1
Álvaro de Carvalho	100%	353.6

Sources: Python

Incremental revenue by updates in water meters

$$\text{Receita (R\$M)} = \frac{9{,}468{,}000 \times pp_{acum} \times 2.5 \times 365 \times 5.74}{1{,}000 \times 1{,}000{,}000}$$

Parâmetro	Valor
Total de hidrômetros Sabesp	14,300,000
Hidrômetros IoT/digital (atual)	1,300,000
Hidrômetros analógicos (atual)	13,000,000
% analógico inicial (Year 0)	90.9%
Total ligações de água ativas	9,468,000
Tarifa média	R$5.74
Slope OLS ajustado (L_PER_PP)	2.5

A. ENTRADAS — % ANALÓGICO (dado observado)

	Year 1	Year 2	Year 3	Year 4	Year 5	
% analógico observado	82.1%	73.4%	67.2%	63.8%	61.2%	
pp acumulado migrado (90.9% − % analógico)	8.8	17.5	23.7	27.1	29.7	

B. RECEITA INCREMENTAL ACUMULADA

	Year 1	Year 2	Year 3	Year 4	Year 5	
Volume recuperado (M m³/ano)	76.0	151.2	204.8	234.1	256.6	
Receita incremental acumulada (R$M/ano)	436	868	1,175	1,344	1,473	
Coorte do ano — receita nova das trocas deste ano (R$M)	436	432	307	169	129	

C. VERIFICAÇÃO PASSO A PASSO — YEAR 1

% analógico Year 0 (base)	90.9%
% analógico Year 1 (observado)	82.1%
pp acumulado migrado	90.9% − 82.1% = 8.8pp
Redução de IPGR	8.8pp × 2.5 l/lig/dia = 22.0 l/lig/dia
Volume recuperado	9,468,000 lig × 22.0 l/lig/dia ÷ 1,000 × 365 dias = 75,990,120 m³/ano = 76.0M m³/ano
Receita incremental Year 1	76.0M m³ × R$5.74/m³ = R$436M/ano
Receita acumulada Year 2	17.5pp × 2.5 × 9,468,000 ÷ 1,000 × 365 × 5.74 ÷ 1M = R$868M/ano
Receita acumulada Year 3	23.7pp → R$1,175M/ano
Receita acumulada Year 4	27.1pp → R$1,344M/ano
Receita acumulada Year 5	29.7pp → R$1,473M/ano

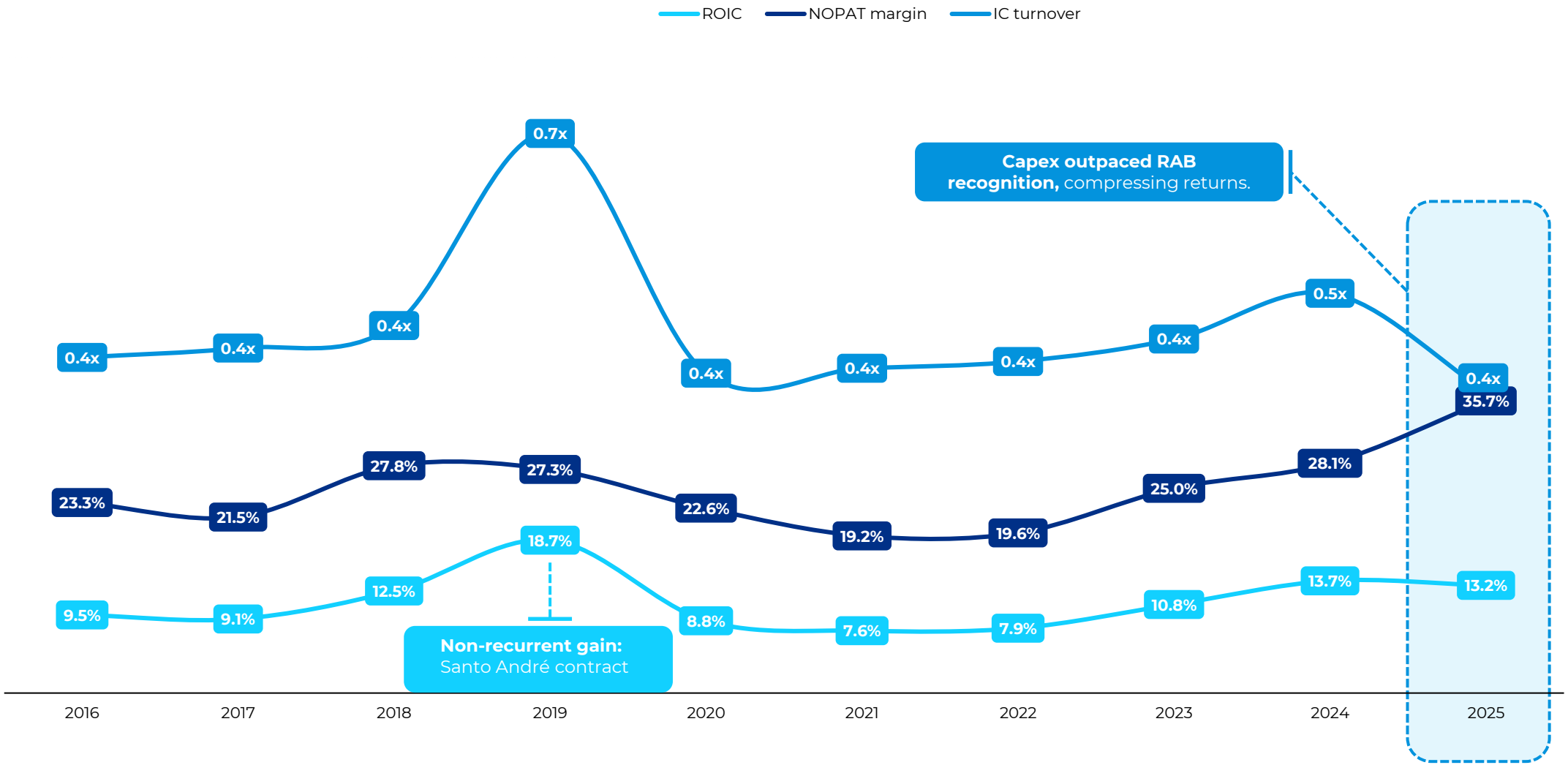
D. SENSIBILIDADE — SLOPE (l/lig/dia por 1pp)

Cenário	Year 1	Year 2	Year 3	Year 4	Year 5	L_PP usado
Conservador	349	694	940	1,075	1,178	2.0
Base case	436	868	1,175	1,344	1,473	2.5
Otimista	524	1,041	1,410	1,613	1,767	3.0

Sources: Company releases

ROIC DuPont analysis

Mitigating systemic price pressures from market concentration through strategic supplier diversification



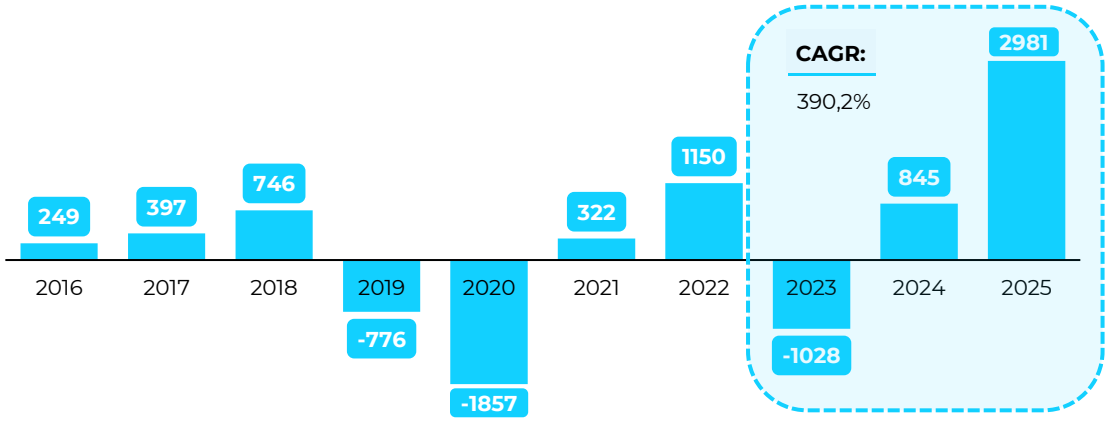
Sources: Company releases

Financials

Operational improvements are translating into stronger cash generation

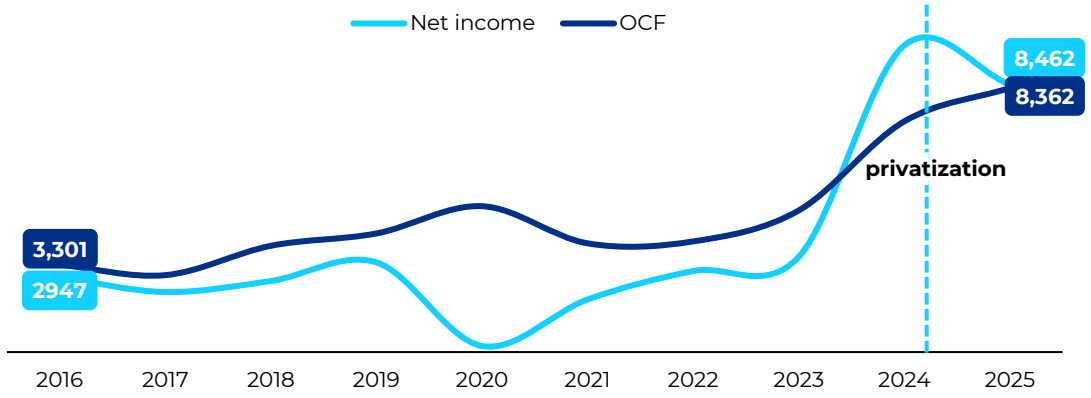
Capital remuneration turning into **real cash generation**

Cash generation (BRL mn)



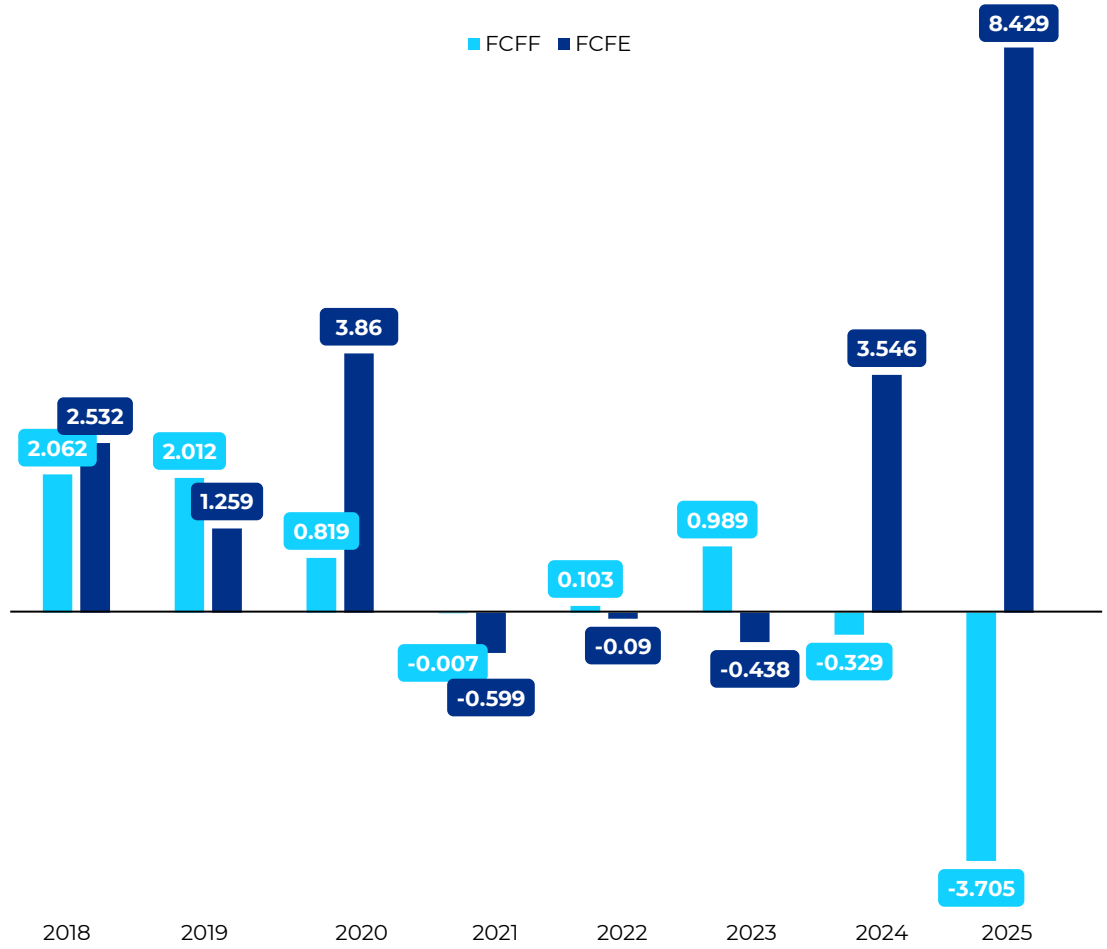
..fueled by accelerating **operational gain...**

Net income (BRL mn) and operational cash flow (BRL mn)



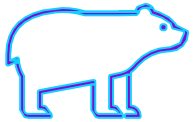
... optimizing **shareholder value**

FCFF and FCFE since 2018



Sources: Company releases

Projection RC Bear/Base/Bull



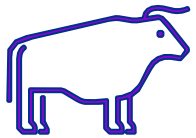
Bear

Ano	Capex	Tx conv.	ΔRAB	RAB acum.	RC ΔRAB	RC total
2025	—	—	—	85.9	—	10.231
2026	6.9	55%	3.795	89.695	0.452	10.683
2027	15.2	55%	8.36	98.055	0.996	11.678
2028	20	55%	11	109.055	1.31	12.988
2029	9.3	55%	5.115	114.17	0.609	13.598



Base

Ano	Capex	Tx conv.	ΔRAB	RAB acum.	RC ΔRAB	RC total
2025	—	—	—	85.9	—	10.231
2026	6.9	70%	4.83	90.73	0.575	10.806
2027	15.2	70%	10.64	101.37	1.267	12.073
2028	20	70%	14	115.37	1.667	13.741
2029	9.3	70%	6.51	121.88	0.775	14



Bull

Ano	Capex	Tx conv.	ΔRAB	RAB acum.	RC ΔRAB	RC total
2025	—	—	—	85.9	—	10.231
2026	6.9	85%	5.865	91.765	0.699	10.929
2027	15.2	85%	12.92	104.685	1.539	12.468
2028	20	85%	17	121.685	2.025	14.493
2029	9.3	85%	7.905	129.59	0.941	15.434

Sources: Company releases

FCFF and FCFE calculations

Ano	NOPAT	D&A	ΔWCAP	Capex	FCFF	DF × (1−t)	Net Borrowing	FCFE
2018	3.707	1.393	-0.862	-2.175	**2.062**	-0.582	1.052	2.532
2019	4.126	1.78	-0.62	-3.273	**2.012**	-0.845	0.092	**1.259**
2020	3.201	2.037	-1.076	-3.342	**0.819**	-0.967	4.014	**3.866**
2021	3.007	2.253	-1.52	-3.747	**-0.007**	-1.057	0.465	**-0.599**
2022	3.385	2.451	-2.109	-3.624	**0.103**	-1.428	1.235	**-0.09**
2023	4.995	2.791	-2.658	-4.139	**0.989**	-2.005	0.578	**-0.438**
2024	6.098	2.677	-1.074	-8.031	**-0.329**	-1.847	5.722	**3.546**
2025	7.929	2.209	-0.102	-13.741	**-3.705**	-2.75	14.884	**8.429**

Sources: Company releases

How we calculated the tariff breakdown

Item	Valor
Receita base (BRL mn)	22,000
Reajuste tarifário anual	9.1%
Benefício anual do reajuste (BRL mn)	2,002
Tarifa residencial normal	R$ 4.31
Tarifa subsidiada implícita	R$ 2.00
Delta tarifário	R$ 2.31
Consumo médio residencial	13.47
Meses por ano	12
Base total de ligações de água	9,468,000
Impacto anual por economia subsidiada (BRL Economias/Ano)	BRL 373

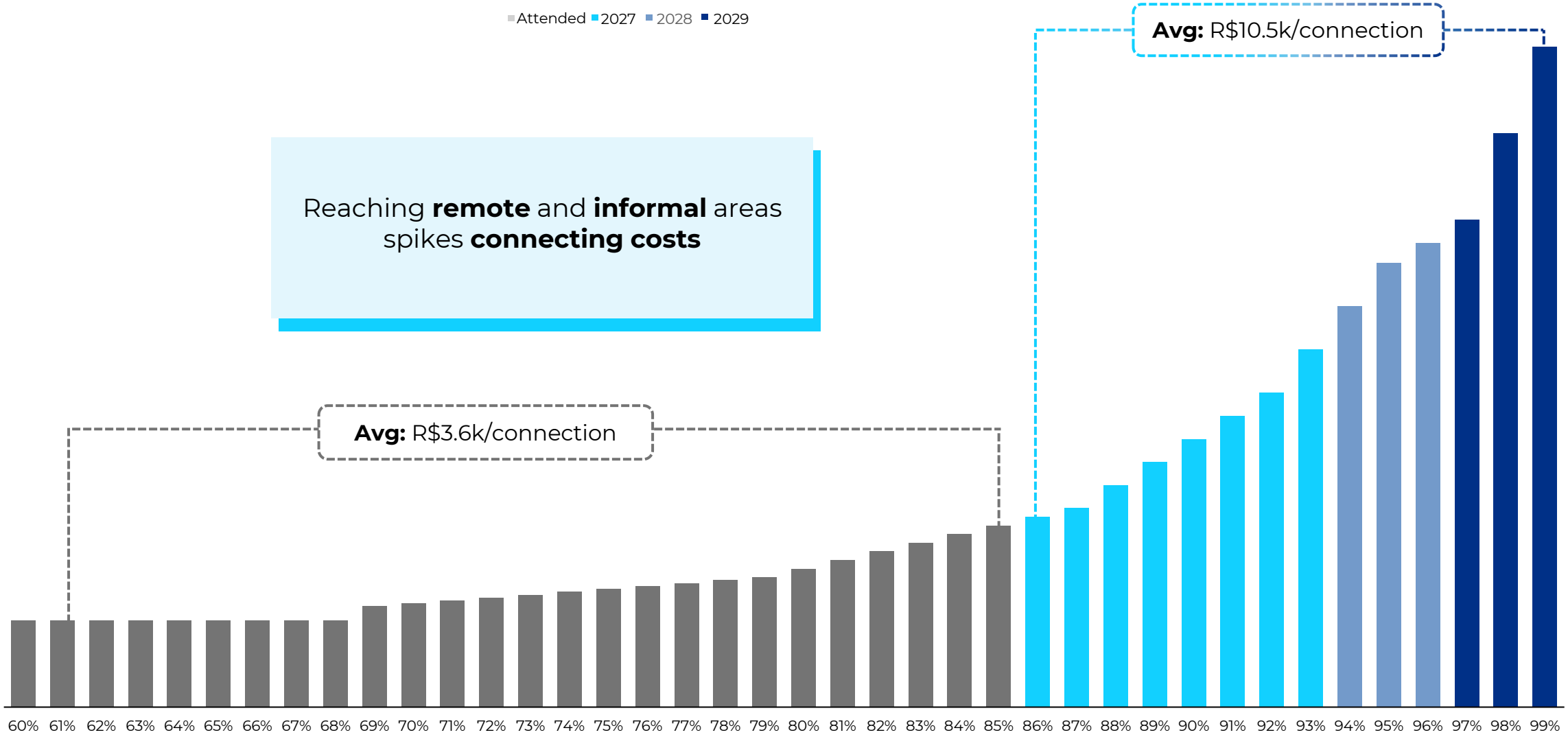
% subsidiado	Economias	Economias (k)	Impacto de mix (R$M)	% do reajuste consumido	Saldo do reajuste (R$M)
5.6%	530,208	530	R$ 198	9.9%	R$ 1,804
6.3%	596,484	596	R$ 223	11.1%	R$ 1,779
10.0%	946,800	947	R$ 354	17.7%	R$ 1,648
20.0%	1,893,600	1,894	R$ 707	35.3%	R$ 1,295
30.0%	2,840,400	2,840	R$ 1,061	53.0%	R$ 941
40.0%	3,787,200	3,787	R$ 1,414	70.6%	R$ 588
56.7%	5,368,356	5,368	R$ 2,004	100.1%	-R$ 2

Item	Resultado
Benefício do reajuste	R$ 2,002
Impacto por economia subsidiada	R$ 373
Economias necessárias	5,361,709
% da base necessária	56.6%

Sources: Company releases

universalization following a steep last-mile curve

Connection costs across universalization obligation milestones



Sources: Company releases, KPMG

How long would take to universalization part 1

Metodologia — curva de universalizacao Sabesp vs. cenarios estatais

1. Universo de domicilios atendíveis

Parametro	Valor
Ligacoes de agua (universo total)	**10,400,000**
Ligacoes de esgoto — dez/2024	**8,900,000**
Cobertura inicial (2024)	**85.6%**
Meta contratual final	**99.0%**
Ligacoes-alvo a 99%	**10,296,000**
Gap total a conectar	**1,396,000**

2. Tramos de universalizacao e custo unitario

Tramo	Cob. inicio	Cob. fim	Ligacoes necessarias	Custo unit. (R$/lig)
Tramo 1 — Meta 2027	85.6%	93.0%	769,600	R$7,105
Tramo 2 — Meta 2028	93.0%	96.0%	312,000	R$12,250
Tramo 3 — Ultima milha 2029+	96.0%	99.0%	312,000	R$17,395

Ligacoes por tramo = delta pp x 10,400,000. Custos unitarios: curva de ultima milha, Clausula 9(a) Contrato URAE-1.

3. Capex disponivel para ligacoes de esgoto por cenario

Parametro	Atual (pos-priv.)	Estatal otimista	Estatal conservador
Capex total (R$B/ano)	R$15.2B	R$4.0B	R$2.5B
% alocado a esgoto	65%	65%	65%
% esgoto -> ligacoes diretas	40%	40%	40%
Capex de ligacoes (R$B/ano)	R$3.96B	R$1.04B	R$0.65B
Ligacoes/ano — Tramo 1 (R$7,105)	~557,000	~146,000	~91,000

Sources: Company releases

How long would take to universalization part 2

Ano	Cenario atual (pos-privatizacao)				Estatal otimista			Estatal conservador		
	Tramo ativo	Lig. adicionadas	Lig. acum. (M)	Cobertura (%)	Lig. adicionadas	Lig. acum. (M)	Cobertura (%)	Lig. adicionadas	Lig. acum. (M)	Cobertura (%)
2024	Tramo 1	0	8.902	85.6%	0	8.902	85.6%	0	8.902	85.6%
2025	Tramo 1	301,600	9.204	88.5%	41,600	8.944	86.0%	31,200	8.934	85.9%
2026	Tramo 1	260,000	9.464	91.0%	52,000	8.996	86.5%	20,800	8.954	86.1%
2027	Tramo 2	208,000	9.672	**93.0%**	41,600	9.038	86.9%	31,200	8.986	86.4%
2028	Tramo 3	312,000	9.984	**96.0%**	52,000	9.090	87.4%	31,200	9.017	86.7%
2029	Tramo 3	124,800	10.109	97.2%	41,600	9.131	87.8%	31,200	9.048	87.0%
2030	Tramo 3	72,800	10.182	97.9%	52,000	9.183	88.3%	20,800	9.069	87.2%
2031	Tramo 3	41,600	10.223	98.3%	41,600	9.225	88.7%	31,200	9.100	87.5%
2032	Tramo 3	31,200	10.254	98.6%	52,000	9.277	89.2%	31,200	9.131	87.8%
2033	Tramo 3	20,800	10.275	98.8%	41,600	9.318	89.6%	20,800	9.152	88.0%
2034	Tramo 3	10,400	10.286	98.9%	52,000	9.370	90.1%	31,200	9.183	88.3%
2035	Concluido	10,400	10.296	**99.0%**	52,000	9.422	90.6%	31,200	9.214	88.6%
2036	Concluido	10,400	10.306	99.1%	41,600	9.464	91.0%	31,200	9.246	88.9%
2037	Concluido	10,400	10.317	99.2%	52,000	9.516	91.5%	20,800	9.266	89.1%
2038	Concluido	10,400	10.327	99.3%	52,000	9.568	92.0%	41,600	9.308	89.5%
2039	Concluido	10,400	10.338	99.4%	41,600	9.610	92.4%	20,800	9.329	89.7%
2040	Concluido	10,400	10.348	99.5%	62,400	9.672	93.0%	31,200	9.360	90.0%
2041	Concluido	5,200	10.348	99.5%	52,000	9.724	93.5%	31,200	9.391	90.3%
2042	Concluido	5,200	10.358	99.6%	52,000	9.776	94.0%	31,200	9.422	90.6%
2043	Concluido	5,200	10.358	99.6%	52,000	9.828	94.5%	31,200	9.454	90.9%
2044	Concluido	5,200	10.369	99.7%	52,000	9.880	95.0%	31,200	9.485	91.2%
2045	Concluido	3,467	10.369	99.7%	41,600	9.922	95.4%	31,200	9.516	91.5%
2046	Concluido	3,467	10.369	99.7%	52,000	9.974	95.9%	31,200	9.547	91.8%

Sources: Company releases

How long would take to universalization part 3

Ano	Cenario atual (pos-privatizacao)				Estatal otimista			Estatal conservador		
	Tramo ativo	Lig. adicionadas	Lig. acum. (M)	Cobertura (%)	Lig. adicionadas	Lig. acum. (M)	Cobertura (%)	Lig. adicionadas	Lig. acum. (M)	Cobertura (%)
2047	Concluido	3,467	10.379	99.8%	62,400	10.036	96.5%	31,200	9.578	92.1%
2048	Concluido	2,600	10.379	99.8%	52,000	10.088	97.0%	31,200	9.610	92.4%
2049	Concluido	2,600	10.379	99.8%	52,000	10.140	97.5%	31,200	9.641	92.7%
2050	Concluido	2,600	10.379	99.8%	52,000	10.192	98.0%	41,600	9.682	93.1%
2051	Concluido	2,600	10.390	99.9%	52,000	10.244	98.5%	31,200	9.714	93.4%
2052	Concluido	0	10.390	99.9%	52,000	10.296	**99.0%**	41,600	9.755	93.8%
2053	Concluido	0	10.390	99.9%	20,800	10.317	99.2%	41,600	9.797	94.2%
2054	Concluido	0	10.390	99.9%	20,800	10.338	99.4%	41,600	9.838	94.6%
2055	Concluido	0	10.390	99.9%	10,400	10.348	99.5%	41,600	9.880	95.0%
2056	Concluido	0	10.390	99.9%	10,400	10.358	99.6%	52,000	9.932	95.5%
2057	Concluido	0	10.390	99.9%	10,400	10.369	99.7%	52,000	9.984	96.0%
2058	Concluido	0	10.390	99.9%	10,400	10.379	99.8%	52,000	10.036	96.5%
2059	Concluido	0	10.390	99.9%	5,200	10.379	99.8%	52,000	10.088	97.0%
2060	Concluido	0	10.390	99.9%	5,200	10.390	99.9%	10,400	10.098	97.1%
2061	Concluido	0	10.390	99.9%	0	10.390	99.9%	41,600	10.140	97.5%
2062	Concluido	0	10.390	99.9%	0	10.390	99.9%	31,200	10.171	97.8%
2063	Concluido	0	10.390	99.9%	0	10.390	99.9%	31,200	10.202	98.1%
2064	Concluido	0	10.390	99.9%	0	10.390	99.9%	31,200	10.234	98.4%
2065	Concluido	0	10.390	99.9%	0	10.390	99.9%	20,800	10.254	98.6%
2066	Concluido	0	10.390	99.9%	0	10.390	99.9%	20,800	10.275	98.8%
2067	Concluido	0	10.390	99.9%	0	10.390	99.9%	20,800	10.296	**99.0%**

Sources: Company releases

Sensibilization tariff

2026 ACTUALS	
Component	Value
RT_1 — Equilibrium tariff 2026 (RT1_2026) (R$/m³)	6,7673
RT_0 — Observed tariff 2025 (RT0_2026) (R$/m³)	6,3359
Regulatory OPEX 2026 (R$ M)	9.670,47
Capital Remuneration (RC) 2026 (R$ M)	10.559,45
Regulatory Reintegration Quota (QRR) 2026 (R$ M)	3.108,70
Other expenses 2026 (PPP + Funds + URH + PDI + Ins.) ($ M)	1.530,80
Required Revenue (RR) 2026	**24.869,42**
Reference volume 2024 (base NT) (Mm³)	3.677,38
RT_1 check (RR / Volume) (R$/m³)	6,7628
IRT equilibrium 2026	6,64%
IRT applied 2026 (incl. one-offs)	9,10%

2027 ASSUMPTIONS	
Parameter	Value
IPCA 2026 (Jan–Dec)	4,92%
Net RAB growth (BAR líq.)	6,10%
Gross RAB growth (BAR bruta)	8,20%
Q Factor — base scenario (%)	0,00%
U Factor — base scenario (%)	0,00%

IRT 2027 BASE CASE CALCULATION	
Component	Value
OPEX 2027 (R$ M)	9.584,40
Capital Remuneration (RC) 2027 (R$ M)	11.203,58
QRR 2027 (R$ M)	3.363,61
Other expenses 2027 (R$ M)	1.530,80
Required Revenue (RR) 2027 (R$ M)	**25.682,39**
Reference volume 2027 (Mm³)	3.677,38
RT_1 2027 (RR / Volume) (R$/m³)	6,9839
RT_0 2027 (= RT_1 2026) (R$/m³)	6,7673
IRT 2027 — Structural (Q=0, U=0)	8,28%
IRT 2027 — BASE CASE (Q base, U base)	8,31%

Sources: Arsesp

Cluse 8 – potential incremental gain

Parameter	Value
Total registered connections (K)	10.400
Active connections (K) (1T26)	9.468
Gap: inactive connections	932
Average residential tariff (R$/m³)	4,07
Minimum billable consumption (m³/month)	10
Months per year	12
Annual revenue potential R$/year	**R$455mn**

Inactive connections × Tariff × Min. consumption × 12 months

Sources: Arsesp

Cross subsidy

Item	Value
MUNICIPALITY & VOLUME	
Water connections	5.000
Monthly consumption / conn (m^3/mo)	10
Annual volume (m^3/yr)	600.000
REGULATORY ASSET BASE (RAB)	
Capex per connection (greenfield) (R$/conn)	R$ 5.006
RAB (capex × conn × VBR/VOC) (R$ mn)	R$ 25,03
COST OF CAPITAL (ARSESP regulatory, pre-tax)	
WACC (real, pre-tax)	11,91%
Useful life (VU) (years)	50
RC (WACC × RAB) (R$ mn/yr)	R$ 2,98
QRR (RAB / VU) (R$ M/yr)	R$ 0,50
OPEX	
URAE-1 OPEX / connection (R$/conn/yr)	R$ 1.021
OPEX / connection (standalone) (R$/conn/yr)	R$ 1.919
Total OPEX (R$ Mn/yr)	R$ 9,60
RESULT	
Required revenue (RC + QRR + OPEX) (R$ M/yr)	**R$ 13,08**
Standalone tariff (R$/$m^3$)	**R$ 21,8**
URAE-1 tariff (R$/$m^3$)	**R$ 4,3**
Implicit subsidy (R$/$m^3$)	**R$ 17,5**

Sources: Arsesp

Regulatory base items

Patrimonial unit (PU)		Technical useful life	(R$ DEZ/23)				(R$ DEZ/24)	
			VOC (DEZ/22)	VBR (DEZ/22)	VOC (DEZ/23)	VBR (DEZ/23)	VOC (DEZ/24)	VBR (DEZ/24)
Total Geral			132.848.945.770,80	74.035.117.367,84	137.546.129.268,82	76.584.517.387,33	150.940.422.018,73	85.246.937.230,60
34	BAG - EQUIPAM	7	15.638.798,71	11.840.098,00	18.453.075,99	13.137.503,85	22.971.124,33	15.458.500,94
4	CANAIS, GALER	60	925.164.484,85	661.491.248,64	748.377.223,48	648.103.902,89	795.939.363,45	677.744.995,75
29	CONJUNTOS M	15	460.393.577,40	248.651.102,45	517.435.369,72	275.122.866,85	608.477.463,11	329.549.114,19
91	DIREITOS DE US	5	736.903.841,53	407.151.755,48	738.858.101,84	268.016.029,49	819.908.265,40	381.206.175,71
28	EDIFÍCIOS E EST	50	1.319.732.475,30	822.982.148,45	1.371.937.853,58	850.598.850,30	1.459.379.590,71	897.111.338,63
12	EQUIPAMENTO	8	80.942.491,49	55.513.432,45	103.739.736,27	71.629.030,93	131.646.862,65	86.068.155,79
5	EQUIPAMENTO	20	770.201.071,99	478.887.341,65	895.898.619,16	571.818.343,28	1.120.336.681,39	735.577.159,12
30	EQUIPAMENTO	10	263.287.239,33	152.451.076,30	295.748.264,54	166.784.991,78	349.277.545,04	195.437.759,31
24	EQUIPAMENTO	10	6.265.225,33	3.893.607,12	6.794.126,97	4.356.711,48	7.690.773,40	4.882.469,46
25	EQUIPAMENTO	10	2.584.145,60	1.302.037,34	2.271.917,60	1.436.562,76	2.358.094,71	1.313.815,71
23	EQUIPAMENTO	5	213.920.360,45	110.624.876,64	203.068.166,95	94.141.288,14	201.367.287,80	75.253.590,26
20	EQUIPAMENTO	10	13.008.983,14	8.834.075,78	15.560.002,30	10.873.114,88	16.560.758,00	11.139.944,77
14	EQUIPAMENTO	15	299.728.448,07	165.600.541,16	337.758.645,11	184.320.120,78	381.267.022,55	209.729.128,56
13	EQUIPAMENTO	5	22.779.686,67	11.806.668,16	25.873.373,99	14.649.430,07	29.034.399,56	14.367.488,13
3	EQUIPAMENTO	8	58.567.606,30	37.371.605,80	65.986.729,30	41.090.573,39	92.160.534,27	57.124.648,32
21	EQUIPAMENTO	10	7.131,96	1.199,21	3.897,31	3.384,83	4.085,59	3.139,80
2	ESTRUTURAS D	50	11.290.795.150,59	6.768.539.064,60	11.497.429.020,70	7.017.651.559,68	12.693.289.963,64	7.828.153.771,41
8	ESTRUTURAS LI	50	89.066.921.540,06	44.870.751.442,95	91.941.609.524,32	46.008.902.302,00	100.275.609.824,18	50.743.073.357,82
9	FILTROS E OUTI	10	1.002.429.366,05	459.982.561,21	1.083.772.846,17	641.696.695,80	1.312.151.160,68	814.469.407,14
10	HIDRÔMETROS	10	1.232.862.709,69	719.596.737,35	1.464.402.425,98	850.714.865,16	1.638.052.777,74	996.681.944,99
35	INFRAESTRUTU	15	-	-	46.383.875,70	42.238.223,47	130.375.366,72	124.909.667,21
6	INSTALAÇÕES E	15	1.140.713.709,06	638.438.868,73	1.346.893.859,06	786.344.347,52	1.669.218.265,74	1.034.776.572,62
11	LIGAÇÕES DOM	50	14.298.461.045,86	9.014.282.948,96	15.028.718.843,71	9.482.449.311,65	16.774.620.749,43	10.664.599.598,39
19	MÓDULOS DE A	20	339.921.938,00	198.331.670,56	350.758.169,74	193.734.772,38	375.905.864,72	196.785.335,83
18	MÓVEIS E EQU	15	79.258.137,67	42.112.627,05	92.108.229,78	49.885.168,92	94.296.235,53	50.601.847,17
7	POÇOS DE CAPT	20	286.174.492,67	143.624.912,50	291.443.881,35	148.294.814,86	337.029.989,66	202.196.259,62
26	REDES ELÉTRICA	20	65.706.830,48	28.056.618,26	63.789.946,39	27.258.415,86	70.127.594,82	28.716.230,40
1	TERRENOS	0	8.487.827.151,03	7.764.481.563,88	8.608.343.669,50	7.856.316.246,47	9.017.479.413,80	8.498.042.406,78
27	VÁLVULAS ESPI	10	155.054.385,19	126.820.415,36	239.522.908,30	189.228.793,77	364.181.093,23	283.196.942,04
22	VEÍCULOS E EM	10	213.693.746,34	81.695.121,80	143.186.964,01	73.719.164,09	149.703.866,88	88.766.464,71

Inflation correction and product costs

Year / Period	IPCA (%)
Base — dez/2020	—
2021	10.06%
2022	5.79%
2023	4.62%
2024	4.83%
2025	4.26%
Jan–Apr/2026	2.60%

Cumulative correction factor (dez/2020 → abr/2026)	**1.3660**

Base unit costs — Sabesp Estudo de Custos (Jan/2019) | Source: PMSB ARSESP Nov/2022	
Item	**Value abr/2026 (R$)**
A. Local network & house connections	
IPCA correction factor (from IPCA sheet)	1.3660
Rede coletora 150mm PVC (base dez/2020: R$403.06/m)	551
Rede coletora 200mm PVC (base dez/2020: R$431.31/m)	589
Rede coletora 300mm PVC (base dez/2020: R$580.93/m)	794
Weighted average rede coletora (70% × 150mm + 20% × 200mm + 10% × 300mm)	583
Nova ligação domiciliar de esgoto (base dez/2020: R$696.24/connection)	951
B. Backbone infrastructure	
Coletor tronco 400mm aço (base dez/2020: R$735.64/m)	1,005
Adutora ferro fundido 300mm (base dez/2020: R$930.81/m)	1,271
ETE reference — 8 l/s (base dez/2020: R$507,177)	692,786

Cost per conection Greenfield VS Sabesp

A. Assumptions (Yellow = Assumption)	
Parameter	**Value**
Municipality size — sewage connections	15,000
Network meters per connection	5.0
Trunk collector length (m)	8,000
Trunk collector diameter	400
ETE required flow (l/s)	80
ETE reference flow (l/s)	8
Six-Tenths Rule exponent	0.6
Adutora length (m)	5,000

B. **Cost per connection calculation**	
Component	**R$/connection**
Local network — rede coletora	2,913
Local network — ligação domiciliar	951
Local network SUBTOTAL	**3,864**
Backbone — coletor tronco	536
Backbone — ETE (Six-Tenths Rule)	184
Backbone — adutora bulk water	424
Backbone SUBTOTAL	**1,144**
Mobilization & setup	300
TOTAL GREENFIELD COST PER CONNECTION	**5,308**

A. Sabesp-specific assumptions (Yellow = Assumption)	
Parameter	**Value**
Adjacent municipalities — share with direct URAE-1 border	78%
Trunk collector distance reduction for adjacent municipalities	40%
ETE cost — adjacent municipalities (R$/connection)	0
Adutora cost — adjacent municipalities (R$/connection)	0
Mobilization cost per connection — Sabesp (R$)	200

B. Backbone cost — weighted 78% adjacent + 22% non-adjacent	
Component	**Weighted R$/connection**
Coletor tronco (distance-adjusted for adjacent)	369
ETE	40
Adutora	93
Backbone SUBTOTAL	**502**

C. Total Sabesp cost per connection	
Component	**R$/connection**
Local network (same as greenfield — unavoidable)	3,864
Backbone (weighted 78/22 adjacency)	502
Mobilization & setup	200
TOTAL SABESP COST PER CONNECTION	**4,566**

Transaction multiples

Company	% equity	EV (aquisition)	EV 100% imlied	EBITDA	MW Installer	EV/EBITDA	EV/MW
Dardanelos (Neoenergia → EDF, Nov/25)	100%	2515	2515	236	261	10,6567797	9,636
Cachoeira Caldeirão / Jari (EDP+CTG → Engie, Mar/25)	100%	2957	2957	313	612	9,44728435	4,8317
EMAE (SABESP)	79,30%	1331	1678,436	223	889	7,52662026	1,888

Capital excess regulatory remuneration

Year	WACC real	WACC reg	RAB (bn)	Excess regulatory remuneration (bn)
2024	12,32%	11,91%	74,8	-0,30668
2025	11,75%	11,91%	85,9	0,13744
2026E	11,75%	11,91%	89,7	0,14352
2027E	11,75%	11,91%	98,05	0,15688
2028E	11,75%	11,91%	109,05	0,17448
2029E	11,75%	11,91%	114,17	0,182672
				0,488312

ROIC Sabesp

Year	EBIT	Tax Rate	NOPAT (R$bn)	gross debt(R$mi)	Cash (R$mi)	Net debt (R$mi)	Equity (R$bn)	Invested Capital	ROIC
2016	3,42	29,0%	2,431679	11,964	1,886	10,078	15,4	25,478	**9,54%**
2017	3,44	28,0%	2,474136	12,134	2,283	9,851	17,5	27,351	**9,05%**
2018	5,148	28,0%	3,70656	13,152	3,029	10,123	19,6	29,723	**12,47%**
2019	5,7303	28,0%	4,125816	13,244	2,253	10,991	11,1	22,091	**18,68%**
2020	4,3847	27,0%	3,200831	17,259	3,80501	13,453614	22,8	36,254	**8,83%**
2021	4,1194	27,0%	3,007162	17,724	3,150929	14,572907	24,9	39,473	**7,62%**
2022	4,6369	27,0%	3,384937	18,959	3,544	15,414671	27,3	42,715	**7,92%**
2023	6,75	26,0%	4,995	19,536	3,263	16,273012	29,9	46,173	**10,82%**
2024	8,712	30,0%	6,0984	21,258	8,675	12,583	31,9	44,483	**13,71%**
2025	11,012	28,0%	7,92864	36,142	15,262	20,880347	39,4	60,28	**13,15%**

Sources: Company releases

KE Sabesp

	Rf	Beta	ERP US	CRP Brasil	Ke USD	IPCA	CPI	Inflation Differential	Ke BRL
2016	1,80%	0,97	5,70%	4,70%	11,90%	6,30%	2,10%	4,10%	16,50%
2017	2,30%	0,97	5,10%	4,30%	11,40%	3,00%	2,10%	0,80%	12,30%
2018	2,90%	0,97	6,00%	3,50%	12,00%	3,80%	1,90%	1,80%	14,10%
2019	2,10%	0,97	5,20%	4,20%	11,20%	4,30%	2,30%	2,00%	13,40%
2020	0,90%	0,97	4,70%	3,00%	8,30%	4,50%	1,40%	3,10%	11,70%
2021	1,50%	0,97	4,20%	2,90%	8,40%	10,10%	7,00%	2,80%	11,40%
2022	3,00%	0,97	5,90%	5,20%	13,70%	5,80%	6,50%	-0,60%	13,00%
2023	4,00%	0,97	4,60%	4,40%	12,70%	4,60%	3,40%	1,20%	14,10%
2024	4,20%	0,97	4,30%	4,40%	12,70%	4,80%	2,90%	1,90%	14,80%
2025	4,30%	0,97	4,20%	3,30%	11,60%	4,30%	2,70%	1,50%	13,30%

$$K_e = \left[R_{f,US} + \beta_L \times (ERP_{US}) + CRP\right] \times \frac{(1+\pi_{BR})}{(1+\pi_{US})} - 1$$

Sources: Company releases

KD Sapesp 2021

Categoria	Instrumento	Saldo (R$ mi)	Indexador	Taxa Base	Spread	Taxa Total	Peso	Contrib. WACD
FGTS/CAIXA	CAIXA/FGTS – Pró-Saneamento	1.479,0	TR	0,60%	+8,90%	9,50%	8,5%	0,81%
FGTS/CAIXA	12ª Debenture FGTS	158,5	TR	0,60%	+9,50%	10,10%	0,9%	0,09%
BNDES	BNDES 12.2.1381.1	734,8	TJLP	5,32%	+1,66%	6,98%	4,2%	0,29%
BNDES	BNDES 15.2.0313.1	454,2	TJLP	5,32%	+2,18%	7,50%	2,6%	0,20%
BNDES	BNDES 09.2.1535.1	86,8	TJLP	5,32%	+1,92%	7,24%	0,5%	0,04%
BNDES	BNDES 11.2.0975.1/2	62,9	TJLP	5,32%	+1,72%	7,04%	0,4%	0,03%
BNDES	BNDES 14.2.0535.1	29,4	TJLP	5,32%	+1,76%	7,08%	0,2%	0,01%
BNDES	BNDES 08.2.0169.1	20,1	TJLP	5,32%	+1,82%	7,14%	0,1%	0,01%
BNDES	14ª Debenture BNDES	25,4	Misto	—	—	10,84%	0,1%	0,02%
BNDES	18ª Debenture BNDES	141,2	Misto	—	—	10,56%	0,8%	0,09%
FINEP	FINEP 09.15.0037.00	9,3	TJLP	5,32%	+1,50%	6,82%	0,1%	0,00%
BID	BID 2202/OC-BR (BRL)	2.525,8	CDI	9,15%	+0,86%	10,01%	14,5%	1,45%
BID	BID INVEST 13069-01	925,2	CDI	9,15%	+2,33%	11,48%	5,3%	0,61%
BID	BID 1212/OC-BR	229,4	LIBOR	0,21%	+0,25%	0,46%	1,3%	0,01%
BID	BID 4623/OC-BR	155,2	LIBOR	0,21%	+0,25%	0,46%	0,9%	0,00%
BID	BID 1983AB A Loan	85,3	LIBOR	0,21%	2375%	2,58%	0,5%	0,01%
BIRD	BIRD 7662+8916-BR	420,3	LIBOR	0,21%	+0,75%	0,96%	2,4%	0,02%
JICA	JICA BZ-P19 Redução Perdas	1.360,7	JPY fixo	—	—	1,60%	7,8%	0,12%
JICA	JICA BZ-P15 Onda Limpa	446,9	JPY fixo	—	—	2,30%	2,6%	0,06%
JICA	JICA BZ-P18 Onda Limpa II	401,6	JPY fixo	—	—	2,30%	2,3%	0,05%
JICA	JICA BZ-P17 Pró Billings	178,7	JPY fixo	—	—	1,00%	1,0%	0,01%
Debentures mercado	29ª Debenture	1.230,6	Misto	—	—	13,41%	7,0%	0,94%
Debentures mercado	28ª Debenture	1.197,4	CDI	9,15%	+1,44% pond.	10,59%	6,9%	0,73%
Debentures mercado	26ª Debenture Lei 12.431	1.168,3	IPCA	10,06%	+4,78% pond.	14,84%	6,7%	0,99%
Debentures mercado	27ª Debenture	997,4	CDI	9,15%	+1,88% pond.	11,03%	5,7%	0,63%
Debentures mercado	23ª Debenture	864,8	CDI	9,15%	+0,55% pond.	9,70%	5,0%	0,48%
Debentures mercado	22ª Debenture (s2+s3)	708,5	Misto	—	—	12,36%	4,1%	0,50%
Debentures mercado	24ª Debenture Lei 12.431	461,4	IPCA	10,06%	+3,32% pond.	13,38%	2,6%	0,35%
Debentures mercado	21ª Debenture 2ª série	174,8	CDI	9,15%	+0,90%	10,05%	1,0%	0,10%
Debentures mercado	17ª Debenture 3ª série	204,2	IPCA	10,06%	+4,75%	14,81%	1,2%	0,17%
Arrendamentos/outros	Arrendamentos / FEHIDRO	528,1	BRL fixo	—	—	8,00%	3,0%	0,24%
Total	—	**17.466,2**	—	—	—	**9,06%**	**100,0%**	**9,06%**

Sources: Company releases

KD Sapesp 2022

#	Categoria	Instrumento	Saldo (R$ mi)	Indexador	Taxa Base	Spread	Taxa Total	Peso	Contrib. WACD
1	Debêntures Mercado	12ª Emissão (2010)	113.1	TR	2.49%	9.50%	11.99%	0.64%	0.08%
2	Debêntures Mercado	17ª Emissão (2013)	144.6	IPCA	5.79%	4.75%	10.54%	0.81%	0.09%
3	Debêntures Mercado	18ª Emissão (2013)	95.6	TJLP	7.20%	1.92%	9.12%	0.54%	0.05%
4	Debêntures Mercado	22ª Emissão (2018)	526.3	CDI	12.00%	0.74%	12.74%	2.95%	0.38%
5	Debêntures Mercado	23ª Emissão (2019)	864.9	CDI	12.00%	0.56%	12.56%	4.86%	0.61%
6	Debêntures Mercado	24ª Emissão (2019)	488.5	IPCA	5.79%	3.28%	9.07%	2.74%	0.25%
7	Debêntures Mercado	26ª Emissão (2020)	1,239.60	IPCA	5.79%	4.80%	10.59%	6.96%	0.74%
8	Debêntures Mercado	27ª Emissão (2020)	998	CDI	12.00%	1.88%	13.88%	5.60%	0.78%
9	Debêntures Mercado	28ª Emissão (2021)	1,197.80	CDI	12.00%	1.41%	13.41%	6.73%	0.90%
10	Debêntures Mercado	29ª Emissão (2021)	1,275.30	CDI/IPCA	12.00%	1.29%	13.29%	7.16%	0.95%
11	Debêntures Mercado	30ª Emissão (2022)	998.1	CDI	12.00%	1.44%	13.44%	5.60%	0.75%
12	CAIXA / FGTS	Prog. Saneamento	1,521.90	TR	2.49%	7.26%	9.75%	8.54%	0.83%
13	BNDES	Onda Limpa	60.6	TJLP	7.20%	1.92%	9.12%	0.34%	0.03%
14	BNDES	Tietê III	948	TJLP	7.20%	1.66%	8.86%	5.32%	0.47%
15	BNDES	BNDES 2015	427.1	TJLP	7.20%	2.18%	9.38%	2.40%	0.23%
16	BID	BID 2202	2,345.40	CDI	12.00%	0.86%	12.86%	13.17%	1.69%
17	BID INVEST	BID INVEST	891	CDI	12.00%	2.50%	14.50%	5.00%	0.73%
18	BID INVEST	BID INVEST 2022	466.1	CDI	12.00%	2.50%	14.50%	2.62%	0.38%
19	IFC	IFC 46253	751	CDI	12.00%	2.00%	14.00%	4.22%	0.59%
20	Arrendamento	Concessão/Prog	357.9	BRL Fixo	—		8.92%	8.92%	2.01%	0.18%
21	Arrendamento	Outros	101.4	BRL Fixo	—		12.28%	12.28%	0.57%	0.07%
22	Outros	FINEP/outros	12	TJLP	7.20%	1.50%	8.70%	0.07%	0.01%
23	BID	BID 1983AB (USD)	40	SOFR	—	—		4.20%	0.22%	0.01%
24	BID	BID 1212 (USD)	99.5	SOFR	—	—		4.20%	0.56%	0.02%
25	BID	BID 4623 (USD)	46.5	SOFR	—	—		4.20%	0.26%	0.01%
26	BIRD	BIRD 7662+8916 (USD)	397.2	SOFR	—	—		4.20%	2.23%	0.09%
27	JICA	JICA 15 (JPY)	236.6	JPY Fixo	—	—		1.40%	1.33%	0.02%
28	JICA	JICA 17 (JPY)	117.8	JPY Fixo	—	—		1.40%	0.66%	0.01%
29	JICA	JICA 18 (JPY)	212.6	JPY Fixo	—	—		1.40%	1.19%	0.02%
30	JICA	JICA 19 (JPY)	836.3	JPY Fixo	—	—		1.40%	4.70%	0.07%
TOTAL			**17,810.70**						**100.00%**	**11.02%**

KD Sabesp 2023

Categoria	Instrumento	Saldo (R$ mi)	Indexador	Taxa Base	Spread	Taxa Total	Peso	Contrib. WACD
Debêntures Mercado	31ª Emissão (2024)	2,933.70	CDI	10.85%	0.80%	11.65%	13.93%	1.623%
Debêntures Mercado	30ª Emissão (2022)	873.3	CDI	10.85%	1.44%	12.29%	4.15%	0.510%
Debêntures Mercado	29ª Emissão (2021)	1,332.10	CDI/IPCA	10.85%	2.44%	10.93%	6.33%	0.692%
Debêntures Mercado	28ª Emissão (2021)	1,198.30	CDI	10.85%	1.41%	12.26%	5.69%	0.698%
Debêntures Mercado	27ª Emissão (2020)	698.7	CDI	10.85%	1.93%	12.78%	3.32%	0.424%
Debêntures Mercado	26ª Emissão (2020)	1,330.80	IPCA	3.46%	4.80%	8.26%	6.32%	0.522%
Debêntures Mercado	24ª Emissão (2019)	523.2	IPCA	3.46%	3.29%	6.75%	2.49%	0.168%
Debêntures Mercado	23ª Emissão (2019)	865.1	CDI	10.85%	0.56%	11.41%	4.11%	0.469%
Debêntures Mercado	22ª Emissão (2018)	174.2	CDI/IPCA	10.85%	0.55%	6.00%	0.83%	0.050%
Debêntures BNDES	18ª Emissão (2013)	41	TJLP	6.38%	1.92%	8.30%	0.19%	0.016%
Debêntures FGTS	12ª Emissão (2010)	56.5	TR	0.26%	9.50%	9.76%	0.27%	0.026%
CAIXA / FGTS	Prog. Saneamento (múlt.)	1,599.90	TR	0.26%	8.98%	9.24%	7.60%	0.702%
BNDES	Contratos (múltiplos)	1,268.70	TJLP	6.38%	1.82%	8.20%	6.03%	0.494%
BID	2.202/OC-BR Tietê III	2,074.50	CDI	10.85%	0.86%	11.71%	9.85%	1.154%
BID INVEST	13069-01 (2020)	835.9	CDI	10.85%	2.30%	13.15%	3.97%	0.522%
BID INVEST	12676-0 (2022)	452.4	CDI	10.85%	2.50%	13.35%	2.15%	0.287%
BID INVEST	12676-02 (2023)	461.9	CDI	10.85%	0.50%	11.35%	2.19%	0.249%
BID	1.212/OC-BR Tietê II	77	SOFR	5.04%	2.00%	7.04%	0.37%	0.026%
BID	4.623/OC-BR Tietê IV	736.3	SOFR	5.04%	2.00%	7.04%	3.50%	0.246%
BIRD	7.662-BR + 8.916-BR	507.2	SOFR	5.04%	2.00%	7.04%	2.41%	0.170%
IFC	46253 (2022)	736.9	CDI	10.85%	2.00%	12.85%	3.50%	0.450%
IFC	47451 (2023)	987	CDI	10.85%	1.70%	12.55%	4.69%	0.588%
JICA	BZ-P15 Onda Limpa	209.2	JPY Fixo	—	2.00%	2.00%	0.99%	0.020%
JICA	BZ-P17 Pró Billings	113.6	JPY Fixo	—	0.60%	0.60%	0.54%	0.003%
JICA	BZ-P18 Onda Limpa II	188	JPY Fixo	—	2.00%	2.00%	0.89%	0.018%
JICA	BZ-P19 Redução Perdas	776.7	JPY Fixo	—	1.70%	1.70%	3.69%	0.063%
FINEP	09.15.0037.00	4	TJLP	6.38%	1.50%	7.88%	0.02%	0.002%
TOTAL		**21,056.10**					**100.00%**	**10.19%**

Sources: Company releases

KD Sabesp 2024

	Categoria	Instrumento	Saldo (R$ mi)	Indexador	Taxa Base	Spread	Taxa Total	Peso	Contrib. WACD
1	Debêntures Mercado	22ª Emissão (2018)	179.3	CDI	12.15%	0.74%	12.89%	0.73%	0.094%
2	Debêntures Mercado	23ª Emissão (2019)	374.4	CDI	12.15%	0.56%	12.71%	1.52%	0.193%
3	Debêntures Mercado	24ª Emissão (2019)	538.6	IPCA	4.83%	3.28%	8.12%	2.18%	0.177%
4	Debêntures Mercado	26ª Emissão (2020)	1,371.70	IPCA	4.83%	4.80%	9.63%	5.56%	0.535%
5	Debêntures Mercado	27ª Emissão (2020)	499	CDI	12.15%	1.88%	14.03%	2.02%	0.284%
6	Debêntures Mercado	28ª Emissão (2021)	1,070.90	CDI	12.15%	1.41%	13.56%	4.34%	0.589%
7	Debêntures Mercado	29ª Emissão (2021)	1,357.50	CDI/IPCA	12.15%	1.29%	13.44%	5.50%	0.739%
8	Debêntures Mercado	30ª Emissão (2022)	873.4	CDI	12.15%	1.44%	13.59%	3.54%	0.481%
9	Debêntures Mercado	31ª Emissão (2024)	2,934.90	CDI	12.15%	0.97%	13.12%	11.89%	1.360%
10	Debêntures Mercado	32ª Emissão (2024)	2,496.50	CDI	12.15%	0.30%	12.45%	10.12%	1.260%
11	CAIXA / FGTS	Prog. Saneamento	1,683.30	TR	0.99%	5.93%	6.92%	6.82%	0.472%
12	BNDES	PAC II 9751	16.5	TJLP	7.43%	1.72%	9.15%	0.07%	0.003%
13	BNDES	PAC II 9752	11.2	TJLP	7.43%	1.72%	9.15%	0.05%	0.004%
14	BNDES	Onda Limpa	6.9	TJLP	7.43%	1.92%	9.35%	0.03%	0.003%
15	BNDES	Tietê III	657.7	TJLP	7.43%	1.66%	9.09%	2.67%	0.142%
16	BNDES	BNDES 2015	363.2	TJLP	7.43%	2.18%	9.61%	1.47%	0.141%
17	BNDES	BNDES 2014	10.2	TJLP	7.43%	1.76%	9.19%	0.04%	0.004%
18	BID	BID 2202	1,984.60	CDI	12.15%	0.86%	13.01%	8.04%	1.046%
19	BID INVEST	BID INVEST	815.5	CDI	12.15%	2.30%	14.45%	3.30%	0.478%
20	BID INVEST	BID INVEST 2022	438.5	CDI	12.15%	2.50%	14.65%	1.78%	0.260%
21	BID INVEST	BID INVEST 2023	447.9	CDI	12.15%	0.50%	12.65%	1.81%	0.230%
22	IFC	IFC 2022	714.8	CDI	12.15%	2.00%	14.15%	2.90%	0.410%
23	IFC	IFC 2023	987.6	CDI	12.15%	2.00%	14.15%	4.00%	0.566%
24	IFC	IFC 2024	1,048.60	CDI	12.15%	0.37%	12.52%	4.25%	0.532%
25	Arrendamento	Concessão/Prog	317.1	BRL Fixo	—		8.92%	8.92%	1.29%	0.115%
26	Arrendamento	Outros	150.9	BRL Fixo	—		12.28%	12.28%	0.61%	0.075%
27	Outros	FEHIDRO/FINEP	2.8	BRL Fixo	—		3.00%	3.00%	0.01%	0.000%
28	BID	BID 1212 (USD)	63.6	SOFR	—	—		5.91%	0.26%	0.005%
29	BID	BID 4623 (USD)	944.8	SOFR	—	—		5.91%	3.83%	0.226%
30	BIRD	BIRD 7662+8916	831.4	SOFR	—	—		5.91%	3.37%	0.199%
31	JICA	JICA 15	229.7	JPY Fixo	—	—		1.00%	0.93%	0.009%
32	JICA	JICA 17	129.6	JPY Fixo	—	—		1.00%	0.53%	0.005%
33	JICA	JICA 18	204	JPY Fixo	—	—		1.00%	0.83%	0.008%
34	JICA	JICA 19	920.9	JPY Fixo	—	—		1.00%	3.73%	0.037%
TOTAL			**24,677.50**						**100.00%**	**10.68%**

Sources: Company releases

KD Sabesp 2025

Instrument	Balance 12/31/2025 (R$ thousand)	Indexer	Base Rate	Spread	Nominal Cost	Weight	Contribution to Kd
Debentures 23rd Issuance	254,656	CDI	12.25%	0.56%	12.81%	0.66%	0.084%
Debentures 24th Issuance	572,053	IPCA	5.83%	3.29%	9.41%*	1.47%	0.138%
Debentures 26th Issuance	1468681	IPCA	5.83%	4.80%	10.92%*	3.78%	0.313%
Debentures 28th Issuance	197,658	CDI	12.25%	1.41%	13.66%	0.51%	0.070%
Debentures 29th Issuance – s.1	301,273	CDI	12.25%	1.29%	13.54%	0.78%	0.105%
Debentures 29th Issuance – s.2/3	602,545	IPCA	5.83%	5.38%	11.48%*	1.55%	0.178%
Debentures 30th Issuance	522,672	CDI	12.25%	1.44%	13.69%	1.35%	0.185%
Debentures 31st Issuance	3,103,879	CDI	12.25%	0.97%	13.22%	7.99%	0.856%
Debentures 32nd Issuance	2,610,510	CDI	12.25%	0.30%	12.55%	6.72%	0.743%
Debentures 33rd Issuance – s.1	1,334,239	CDI	12.25%	0.51%	12.76%	3.44%	0.419%
Debentures 33rd Issuance – s.2/3	2,668,479	IPCA	5.83%	7.47%	13.73%*	6.87%	0.843%
Debentures 34th Issuance	1,132,569	CDI	12.25%	0.00%	12.25%	2.92%	0.357%
Debentures 35th Issuance	996,748	IPCA	5.83%	7.26%	13.51%*	2.57%	0.347%
Debentures 36th Issuance	3,075,194	IPCA	5.83%	9.29%	15.65%*	7.92%	1.039%
Debentures 37th Issuance	5,079,552	CDI	12.25%	0.80%	13.05%	13.08%	1.507%
Caixa Econômica Federal	1,634,321	TR	1.50%	7.25%	8.75%	4.21%	0.368%
BNDES PAC II 9751	9.42	TJLP	7.00%	1.72%	8.72%	0.02%	0.002%
BNDES PAC II 9752	6,402	TJLP	7.00%	1.72%	8.72%	0.02%	0.002%
BNDES Tietê III	468,478	TJLP	7.00%	1.66%	8.66%	1.21%	0.104%
BNDES 2015	338,474	TJLP	7.00%	2.18%	9.18%	0.87%	0.080%
BNDES 2014	3,851	TJLP	7.00%	1.76%	8.76%	0.01%	0.001%
FEHIDRO	944	Fixed	—	—	3.00%	0.00%	0.000%
IDB 2202	1,894,736	CDI	12.25%	0.86%	13.11%	4.88%	0.340%
IDB Invest	351.64	CDI	12.25%	2.30%	14.55%	0.91%	0.132%
IDB Invest 2022	422,902	CDI	12.25%	2.50%	14.75%	1.09%	0.161%
IDB Invest 2023	434,204	CDI	12.25%	0.50%	12.75%	1.12%	0.043%
IFC 2022	704,883	CDI	12.25%	2.00%	14.25%	1.81%	0.258%
IFC 2023	1,013,295	CDI	12.25%	2.00%	14.25%	2.61%	0.372%
IFC 2024	1,082,012	CDI	12.25%	0.37%	12.62%	2.79%	0.352%
Lease – Concession	194,427	IPCA	5.83%	8.93%	15.29%*	0.50%	0.077%
Lease – Others	82,068	Fixed	—	—	12.28%	0.21%	0.026%
Others (FINEP)	938	TJLP	7.00%	1.50%	8.50%	0.00%	0.000%
IDB 4623 – USD (post-swap)	1,038,171	CDI	12.25%	–0.06%	12.19%	2.67%	0.321%
CFI-2024 EUR (post-swap)	1,450,496	CDI	12.25%	0.85%	13.10%	3.73%	0.419%
CFI-2024 USD (post-swap)	1,964,943	CDI	12.25%	1.20%	13.45%	5.06%	0.481%
JICA-2025 JPY (post-swap)	1,004,955	CDI	12.25%	–0.69%	11.56%	2.59%	0.289%
IBRD 7662/8916 (post-swap)	1,160,531	CDI	12.25%	–0.13%	12.12%	2.99%	0.252%
JICA 15 JPY (post-swap)	161,689	CDI	12.25%	0.82%	13.07%	0.42%	0.055%
JICA 17 JPY (post-swap)	99,103	CDI	12.25%	–0.25%	12.00%	0.26%	0.031%
JICA 18 JPY (post-swap)	145.27	CDI	12.25%	0.79%	13.04%	0.37%	0.049%
JICA 19 JPY (post-swap)	714,266	CDI	12.25%	0.32%	12.57%	1.84%	0.211%
Total / Gross Kd	**38,841,751**					**100%**	11.61%

Sources: Company releases

Sabesp capital structure

Ano	Capital de Terceiros (bn)	% Terceiros	Capital Próprio	% Próprio	Ativo Total
2016	11.9	28%	30.8	72.1%	42.7
2017	17.1	32%	36.1	67.9%	53.2
2018	13.1	32%	28.3	68.4%	41.4
2019	13.2	20%	52.4	79.9%	65.6
2020	17.2	37%	29.8	63.4%	47
2021	17.7	41%	25.1	58.6%	42.8
2022	18.9	34%	37.2	66.3%	56.1
2023	19.5	27%	53.6	73.3%	73.1
2024	25.2	33%	50.2	66.6%	75.4
2025	40.1	31%	87.7	68.6%	127.8

Sources: Company releases

WACC Sabesp

Year	Ke	E/Total	Kd pre-tax	Effe ctive tax rate	Kd afer tax	D/Total	WACC Final
2016	16.5%	72.1%	9.06%	29.0%	6.4%	27.9%	13.69%
2017	12.3%	67.9%	9.06%	28.0%	6.5%	32.1%	10.44%
2018	14.1%	68.4%	9.06%	28.0%	6.5%	31.6%	11.70%
2019	13.4%	79.9%	9.06%	28.0%	6.5%	20.1%	12.02%
2020	11.7%	63.4%	9.06%	27.0%	6.6%	36.6%	9.84%
2021	11.4%	58.6%	9.06%	27.0%	6.6%	41.4%	9.42%
2022	13.0%	66.3%	11.02%	27.0%	8.0%	33.7%	11.33%
2023	14.1%	73.3%	10.19%	26.0%	7.5%	26.7%	12.35%
2024	14.8%	66.6%	10.68%	30.0%	7.5%	33.4%	12.35%
2025	13.3%	68.6%	11.60%	28.0%	8.4%	31.4%	11.75%

$$WACC = \frac{E}{D+E} \times K_e + \frac{D}{D+E} \times K_d \times (1-T)$$

Sources: Company releases

Regulatory WACC Sabesp

Taxa de Remuneração Regulatória

Resumo

Taxa de Remuneração Regulatória	Série	Periodicidade	Janela Temporal		Medida	
			Início	Fim		
Custo de Capital Próprio Real (Re)	-	-	-	-	-	**8,84%**
Taxa Livre de Risco	**USTB10**	**Mensal**	01/01/1994	01/01/2024	Média	3,84%
Beta desalavancado	**US Water (NYSE ou NASDAQ)**	**Semanal**	01/01/2019	01/01/2024	Média	0,61
Beta Realavancado						0,73
Prêmio de Risco de Mercado (PRM)	(Rm - Rf)	-	-	-	-	7,17%
Retorno de Mercado	**S&P500**	**Mensal**	01/01/1994	01/01/2024	Média	11,01%
Taxa Livre de Risco para PRM	**USTB10**	**Mensal**	01/01/1994	01/01/2024	Média	3,84%
Prêmio de Risco País	**EMBI+Br**	**Mensal**	01/01/2009	01/01/2024	Mediana	2,52%
Inflação dos EUA	**CPI**	**Mensal**	01/01/1994	01/01/2024	Média	2,53%
Custo de Capital de Terceiros real antes impostos (Rd)		-	-	-	-	**7,13%**
Custo de Capital de Terceiros real após impostos		-	-	-	-	**4,71%**
Custos debêntures		-	01/01/2014	01/01/2024	Média	6,61%
Custo de emissão	ANEEL	-	10 anos (2013-2022)		-	0,52%
Participação de Capital Próprio (We)	Demonstrativos financeiros e Base Líquida	**Ano de referência (2023)**				76,38%
Participação de Capital de Terceiros (Wd)						23,62%
WACC real pós impostos						**7,86%**
WACC real antes de impostos						**11,91%**

Sources: Arsesp

KD Sanepar

	Indexer	Spread	balance (R$ mil)	Part. %	Total cost	Contrib.
Debêntures — CDI						
14ª Emissão - Série Única (DI+1,05%)	CDI	1,05%	615.277	8,45%	15,80%	1,34%
13ª Emissão - Série Única (DI+1,90%)	CDI	1,90%	428.626	5,89%	16,65%	0,98%
12ª Emissão - 1ª Série (DI+0,88%)	CDI	0,88%	153.599	2,11%	15,63%	0,33%
9ª Emissão - 2ª Série (107,25% DI)	CDI	—	157.580	2,16%	15,82%	0,34%
Banco do Brasil - NCE 1ª Emissão (100% DI)	CDI	—	358.200	4,92%	14,75%	0,73%
Debêntures — IPCA						
10ª Emissão - Série Única (IPCA+4,66%)	IPCA	4,66%	491.535	6,75%	10,16%	0,69%
12ª Emissão - 2ª Série (IPCA+5,89%)	IPCA	5,89%	367.199	5,04%	11,39%	0,57%
11ª Emissão - 2ª Série (IPCA+4,25%)	IPCA	4,25%	275.786	3,79%	9,75%	0,37%
11ª Emissão - 3ª Série (IPCA+4,49%)	IPCA	4,49%	213.781	2,94%	9,99%	0,29%
7ª Emissão - 2ª Série * (TLP: IPCA+4,79%)	IPCA	4,79%	77.840	1,07%	10,29%	0,11%
7ª Emissão - 4ª Série (IPCA+6,57%)	IPCA	6,57%	47.710	0,66%	12,07%	0,08%
7ª Emissão - 1ª Série * (TLP: IPCA+5,20%)	IPCA	5,20%	33.836	0,46%	10,70%	0,05%
7ª Emissão - 3ª Série (IPCA+6,97%)	IPCA	6,97%	20.789	0,29%	12,47%	0,04%
4ª Emissão - 2ª Série (IPCA+7,44%)	IPCA	7,44%	24.989	0,34%	12,94%	0,04%
BNDES — IPCA						
BNDES - Avançar (IPCA+3,59% a 5,60% — pond. 4,60%)	IPCA	4,60%	333.500	4,58%	10,10%	0,46%
BNDES - FINAME (IPCA+7,18%)	IPCA	7,18%	135.423	1,86%	12,68%	0,24%
BNDES - FINEM (IPCA+7,86%)	IPCA	7,86%	52.065	0,72%	13,36%	0,10%
BNDES — TJLP						
BNDES - PAC2 (TJLP+1,67% a 2,05% — pond. 1,86%)	TJLP	1,86%	112.309	1,54%	10,72%	0,17%
4ª Emissão - 1ª Série (TJLP+1,67%)	TJLP	1,67%	33.830	0,46%	10,53%	0,05%
Caixa Econômica Federal — TR						
Múltiplos contratos (spread md. 9,31%)	TR	9,31%	2.605.327	35,78%	11,01%	6,51%
Moeda Estrangeira — CDI-equivalente (swap)						
Banco KfW (Euro+1,35% → swap 81,63% CDI = 12,07%)	CDI	—	200.594	2,76%	12,07%	0,33%
Arrendamentos Mercantis						
Arrendamento Litoral (IPC-FIPE+11,14%)	IPC-FIPE	11,14%	308.730	4,24%	16,64%	0,71%
Arrendamento Direito de Uso (fixo 13,87%)	Fixo	—	232.338	3,19%	13,87%	0,44%
TOTAL			**7.280.863**	**100,00%**	—	
					Kd bruto	**12,5%**

Sources: Sanepar releases

Kd Copasa

	Indexer	Spread	balance (R$ mil)	Part. %	Total cost	Contrib.
Debêntures — CDI						
22ª Emissão - 1ª Série (CDI+0,65%)	CDI	4,40%	1.006.296	10,60%	19,15%	2,03%
19ª Emissão - 1ª Série (CDI+0,90%)	CDI	4,65%	496.606	5,23%	19,40%	1,01%
17ª Emissão - Série Única (CDI+1,30%)	CDI	5,05%	666.118	7,01%	19,80%	1,39%
21ª Emissão - 1ª Série (CDI+0,52%)	CDI	4,27%	308.855	3,25%	19,02%	0,62%
20ª Emissão - 1ª Série (CDI+0,60%)	CDI	4,35%	418.897	4,41%	19,10%	0,84%
18ª Emissão - 1ª Série (CDI+1,20%)	CDI	4,95%	114.369	1,20%	19,70%	0,24%
16ª Emissão - 2ª Série (CDI+1,30%)	CDI	5,05%	78.389	0,83%	19,80%	0,16%
Debêntures — IPCA						
22ª Emissão - 2ª Série (IPCA+8,57%)	IPCA	8,57%	1.003.595	10,57%	14,07%	1,49%
19ª Emissão - 2ª Série (IPCA+7,27%)	IPCA	7,27%	893.742	9,41%	12,77%	1,20%
18ª Emissão - 2ª Série (IPCA+7,10%)	IPCA	7,10%	881.692	9,28%	12,60%	1,17%
21ª Emissão - 2ª Série (IPCA+8,33%)	IPCA	8,33%	309.777	3,26%	13,83%	0,45%
20ª Emissão - 2ª Série (IPCA+8,21%)	IPCA	8,21%	505.843	5,33%	13,71%	0,73%
16ª Emissão - 1ª Série (IPCA+5,23%)	IPCA	5,23%	237.942	2,51%	10,73%	0,27%
11ª Emissão - 2ª Série (IPCA+8,85%)	IPCA	8,85%	44.115	0,46%	14,35%	0,07%
8ª Emissão - 2ª Série (IPCA+8,18%)	IPCA	8,18%	15.050	0,16%	13,68%	0,02%
14ª Emissão - 2ª Série (IPCA+4,30%)	IPCA	4,30%	25.862	0,27%	9,80%	0,03%
BNDES/Debêntures — TJLP (cap. 6% a.a.)						
11ª Emissão - 1ª Série (6%+2,62%)	TJLP	2,62%	71.897	0,76%	8,62%	0,07%
8ª Emissão - 1ª Série (6%+1,87%)	TJLP	1,87%	21.941	0,23%	7,87%	0,02%
Caixa Econômica Federal / Debêntures — TR						
Financiamento CEF/FGTS (TR+7,30% a 8,50% — pond. 7,90%)	TR	7,90%	691.382	7,28%	9,60%	0,70%
Caixa/Debêntures 5ª Emissão (TR+9,00%)	TR	9,00%	96.871	1,02%	10,70%	0,11%
Moeda Estrangeira — IPCA-equivalente (swap 100%)						
KfW / BEI / AFD (swap → IPCA+8,3109%)	IPCA	12,06%	1.541.388	16,23%	17,56%	2,85%
Arrendamentos Mercantis						
Arrendamentos (taxa desconto contratual 9,01% fixo)	Fixo	—	66.787	0,70%	9,01%	0,06%
TOTAL			**9.497.414**	**100,00%**	**—**	
					Kd bruto	**13,62%**

Sources: Copasa releases

Kd Aegea

	Indexer	Spread	balance (R$ mil)	Part. %	Total cost	Contrib.
Debêntures — CDI						
22ª–38ª Emissões (spread pond. 1.80%)	CDI	1.80%	16,747,786	40.89%	16.55%	5.77 pp
Debêntures — IPCA						
24ª–36ª Emissões (spread pond. 6.21%)	IPCA	6.21%	6,838,106	16.70%	11.71%	1.46 pp
Debêntures — Pré-fixado						
Múltiplas emissões (9.00% a 19.54%)	Pré	—	648,147	1.58%	14.27%	0.23 pp
BNDES						
Proj. BNDES (TJLP + 1.72% a 3.43%)	TJLP	2.58%	1,278,961	3.12%	11.44%	0.36 pp
Caixa Econômica Federal						
Proj. CEF (TR + 8.35%)	TR	8.35%	451,055	1.10%	10.05%	0.11 pp
Multilaterais — CDI (swap BRL)						
IDB Invest (CDI + 2.10%)	CDI	2.10%	385,791	0.94%	16.85%	0.16 pp
Multilaterais — IPCA						
IDB Invest (IPCA + 8.42%)	IPCA	8.42%	357,796	0.87%	13.92%	0.12 pp
Proj. BNB (IPCA + 6.09%)	IPCA	6.09%	651,558	1.59%	11.59%	0.18 pp
Proj. BASA/CCB (IPCA + 3.78%)	IPCA	3.78%	212,898	0.52%	9.28%	0.05 pp
Moeda Estrangeira — CDI-equivalente (hedge)						
Sênior Notes / Bonds (USD + 7.88%)	CDI	0.76%	9,485,866	23.16%	12.41%	2.67 pp
Loan Syndicated (USD + SOFR + 3.40%)	CDI	0.76%	3,254,494	7.95%	7.93%	0.63 pp
Loan Proparco (SOFR + 3.25%)	CDI	0.76%	22,225	0.05%	7.78%	0.00 pp
Loan JICA (SOFR + 2.20%)	CDI	0.76%	249,516	0.61%	6.73%	0.04 pp
Loan Sumitomo (Pré 6.68%)	Pré	—	373,900	0.91%	6.68%	0.06 pp
TOTAL			**40,958,099**	**100%**	**—**	**13,41%**

Sources: Aegea releases